Shyam Metalics (SHYAMMETL)

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"Shyam Metalics and Energy Limited
Q4 FY20 23 Earnings Conference Call"

May 25 , 2023

ANALYST : MR. NACHIKET KALE – ORIENT CAPITAL

MANAGEMENT : MR. BRIJ BHUSHAN AGARWAL – VICE CHAIRMAN & MANAGING DIRECTOR – SHYAM META LICS AND ENERGY LIMITED
MR. DEEPAK AGARWAL – DIRECTOR - FINANCE & CHIEF FINANCIAL OFFICER – SHYAM METALICS AND ENERGY LIMITED
MR. PANKAJ HARLALKA – HEAD INVESTOR RELATIONS – SHYAM METALICS AND ENERGY LIMITED

 Moderator: Ladies and gentlemen, good day and welcome to the Shya m Metalics and Energy Limited Q 4 FY2023 Earnings Conference Call . As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance dur ing the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Pankaj Harlalka from Head IR at Shyam Metalics . Thank you, and over to you Sir!

Pankaj Harlalka : Thank you Seema . Good evening and warm welcome to all attending the conference call of Shyam Metalics and Energy Limited which is for the Q4 year ending FY2023 and for the full year ending FY2023. We have on the call Mr Brij Bhushan Agarwal, our Vice Chairman and Managing Director and Mr. Deepak Agarwal, Director - Finance and CFO of our company. So before we start the presentation Q&A I just wanted to remind you that the discussions today will be covered under the safe harbor statement which is in the second slide of our presentation. H ope you have had the time to read and go through the same . We now start the concall and I wo uld like to hand over this to our Vice Chairman and Managing Director Brij Bhusha n. Over to yo u Sir!

Brij Bhushan Agarwal: Thank you Pankaj and a very good evening and warm welcome to everyon e who is attending this call. The past year for us has been a year of ad aption and adoption. With the multiple challenges in the geopolitical crisis leading to the regime of high energy costs nevertheless continuous learning both at the management and the team level . Despite the same we have been moving along well and achieving overall growth at our company on the back of continuous growth and expansion. We have been reaping the benefit of moving up in the value chain from the integrated steel chain business, improving sales mix, r evenue shares of pellets, sponges, billets have reduced from 63 % plus in FY2019 to 31% in FY2023. This shows that we had been always v alue adding our product and trying to increase the realization and getting into a much better market and price rise. G oing forward this share will be further reduced to 25% over next two years. O ur finished steel has improved from the contribution of 17 % in FY2019 to 48% in FY2023 to our revenues. T his will sustainably im prove our company profitability. While the steel prices faced headwind during the year our company has maintained healthy cash generation. It has been a year of a Brownfield expansion at ou r existing plants and also a year which opened a new avenue for us in the first year of the operation in the aluminum foil p lant. Today around 2 lakh tonne of alum inum foil are imported in India. Our venture in this business is tar geted towards import substitute. We are able to do a volume of around 11 400 tonnes approximately and the average foil rolling has been in between 6 to 13 microns making us a very extremely specialized niche player in the niche industry and a complete different product. Our product s are well accepted worldwide and we are exporting more than 60000 tonnes or 60 % of ou

r pro duction what we are
doing today. The monthly run rate is now around 1500 t onnes and the realization is around Rs.3.5 lakh per tonne. On the CRM plant work is underwa y at a full swing in our subsidiary

 company Shyam Metalics Flat Products Private Limited . The product is extremely interesting as it is going to add more value in our supply chain management. As we all know that the l ong product s dealers and d istributors where we h ave a very stronghold we will be able to maintain the same supply chain management and will add a lot of value in our new business as well as will give more sustaina bility in our existing business. T his project is approved under the PLI scheme. Once the pr oduction is on stream we shall add new products to our expanding distribution channel . Similarly a separate team has started working on the Ramsarup expansion and we are confident of meeting all the target timeline as it has been showc ased by our company i n the past. The low carbon ferrochrome facility is also ramping up and contributing further to the topline growth during the last quarter and we expect it to be completely stabilized in the year FY2024. Our Mittal Corp acquisition will benefit from the bac kward integration of the existing business and will help us to capture a large part of the value chain in this stainless steel business . As we all know the stainless steel the major raw material and the ingredient is iron, power, ferrochrome and ferromanga nese and I am very proudly today I can share that more than 90 % of the product mix in making stainless steel as ingredient is going to be a backward and forward in tegration to our existing setup. We have also been working towards the long -term vision of th e company scouting for the good value assets in the terms of iron ore mines and coal block. We have been able to identify and get iron ore mines in Maharashtra, Sundargarh which is spread over 1526 hectare and contains rich quality of iron in excess of 66 Fe content . We also would like to state that generally in the Odisha iron or e mine the gr ade are very low and the fine s generation is in the tune of around 70 % to 75 % but the min es what we have been allocated has around 65 % to 70% lump s and a re very extrem e Fe con tent. We have received a composite license as of now which has more than 10 years to st art the extraction for the same. We intend to use the exploration period before we decide the final usage of the material but potentially having consistent acces s to high quality resources can have invaluable synergy to our steel business . We will share more detail once we have further clarity on the material availability and quality . The ongoing growth project and the recent acquisition are integrating well withi n our overall strategy of th e efficient and low cost growth. The capex outlay for FY2023 was around Rs.1579 Crores and based on the existing plans we emphasize the total capex of Rs.1500 Crores in FY2024. W ith the exp ansion of our product portfolio and increase in the production capacity we expect to fund most of the upcoming cap ex through the internal accruals and continue to retain one of the best credit rating in the metal sector. We remain committed to our philosophy of ore to metal and vision to become a diversified metal company through a discipline d approach. Thank you. T hank you Pankaj.

Deepak Agarwal : Thank you Sir. A very good evening to all of you. I will give a quick review of the reported consolidated financial for the quarter and for the year ended FY2022 -FY2023. On a consolidate d basis the company o n Q4 reported an operating revenue of Rs.3380 Crores. T here is a growth of 18% over Q4 of FY2022. Like in the previous quarter in Q4 too we have been able to sell higher percentage of sale volume of finished steel at a high

er realization which has enabled the company
to grow in terms of revenue and EBITDA over the previous quarter. A s a result our EBITDA for

 the Q4 on a consolidated basis was at Rs.413 Crores a growth of 86 % over Q3 of the curre nt financial year and degrowth of 38% over the Q4 of the last financial year. Just to drive home the points the major raw material cost to operating r evenue ratio in percentage term s it has been decreased by 160 bps in Q4 of the current financial year over the previous quarter. We have reported a good EBITDA in Q4 of the current financial year in comparison to the previous quarter. In order to maintain this growth in EBITDA number we have been judicious and cautious on all other cost components. For the Q4 of the current financial year on a consolidated basis we reported EBITDA margin of 12.2% an increase of 460 bps over the previous quarter on the backing of also better realization across all product segments ranging from 3% to 18%. For the year ended for F Y2023 we reported total rev enue of Rs.12610 Crores and a growth of 21 % over the last year. On the EBITDA front our company has reporte d an EBITDA of Rs.1486 Crores ag ainst Rs.2600 Crores for the year ended last financial year that is 2021 -2022, t hey went downside of 43% . As you all aware that FY2022-2023 is totally a geopolitical crisis and the imposition of export duties on all our metal products. We have reported a net profit degrowth of 51% for the year over the previous year. We could achieve the higher margin owing to the increase in our steel volume growth with capital allocation policy and buying key raw materials at right time basis on our experience. We also focus on the improving the product mix which led to improvement to the b lended realizations and concurrently improving the operation al efficiency like cost optimization and rationalization of effort s, which enable us to report a good and consistent set of operating profit and net profit. We have achieved a good improvement to our working capital days for FY2023 our working capital days is at 24 as against 4 3 days at the end of the FY2022 vis -à-vis we achieved the massive improvement to our capital efficiency during the first half and the same change is being perpetuated. O ur return on capital and return on equity at the end of FY2023 are at 15 % and 14 % respectively . The gross debt which was at 0.09% at the end of FY2022 is slightly higher at 0.18% at the end of FY2022 -FY2023 . Our net debt position is Rs.448 Crores as on M arch 31, 2023 and we have a lso been a long term investor worth of Rs.910 Crores which has not been considered ar riving the net debt position. Moreover an amount of Rs.201.1 Crores is attribut ed to our joint venture partner in the case of Ramsarup Industries Limited and on the cash f low statement you can look out for FY2023; we incur a capital expenditure of Rs.15 79 Crores as against Rs.940 Crores in FY2022. In addition we incur Rs. 379 Crores for the acqui sition of Ramsarup Industries Limited from the net cash flow activities of Rs.15 07 Crores during FY2022 -FY2023. We have mostly spent on the capex undertaking at our company. I am glad to share that the financial risk profile of the company is very, very strong and our strategy has always been to incur the capital expenditure in a smal ler progress in a peaceful manner to ensure that the balance is never same. At all points of time w e closely monitor the liquidity, solven cy and capital efficiency ratio . I would like to assure you that the company sustained a healthy financial risk profil e despite purs uing the sizable capital expenditure plans. Out of the Rs.3950 Crores of capex announced during the IPO and further capex in March 2022 we have already cumulatively incurred Rs.3007 Crores up to the FY2022 -FY2023 and capital

ized Rs. 1574 Crore s worth of assets. We have completed almost 75% of our total state capex. The remaining Rs. 955 Crores shall be expanded over the next two years a nd the mission

to be completed in this financial year. We spent Rs.1579 Crores on the capital GCF and the next capex additional spend will be between Rs.1300 Crores to Rs.1500 Crores. On the announced plan for Ramsarup Indu stries we have incurred a capex of Rs.77 Crores till March 2022 -2023 out of which 60% of that cap ex from our account is 46.20 funded by us and t he rest by non - controlling joint venture part ner. On the CRM plant we have incurred a capex of Rs.53 Crores. We also expect a n outgo of Rs.351 Crores approximately for the completion of our acquisition of Mittal Corp during the FY2023 -FY2024. Aided by the internal cash generation and sufficient liquidity surplus which will ensure we take only limited debt in the ev ent of any fund flow which match . I would like to assume that the bulk limit utilization at the c onsolidated level is expected to remain moderate going forward to o. Annual cash approval should suffice for the capital requirements and debt repayment. We have been following a prudent capital allocation policy by which 70% of the capex generation is invested back into the business and 20% is retained to maintain our liquidity surplus and 10% is returned to the shareholders as a dividend . On the back of good operating and financial performance with a strong net cash flow from operating activity of the company yesterday i n its Board meeting declared an i nterim dividend of Rs.1.8 per share amount ing to an outgo of Rs.46 Crores. I am also happy to announce that we have also implemented the SMEL ESOP scheme to be approved by the Shareholders of the company for shares and options of 1335756 equity sh ares to be taken from the existing promoters here which comes to around 0.5% of the issue d share of the company. T his will go a long way to create a way for our partners and retain the great talent pool available in our company. Now I conclude my financial update and throw the floor open for the question and answer session. Thank you everyone .

Moderator: Thank you very much . We will now begin the question and answer session. Ladies and gentlemen we will wait for a moment while the question queue assembles. The first question is from the line of Mr. Amit Dixit from ICICI Securities . Please go ahead Sir.

Amit Dixit: Good evening everyone and thanks for giving me the opportunity. First of all congratulations for a good set of numbers and a turnaround performanc e as well as taking the initiative of putting operating numbers every month on BSE that is very helpful for us for tracking the company . Two questions I have the first one is essentially on the number of aspects that we are working on including Mittal Corp integration and the ramp up of low carbon ferrochrome project along with we ex pect that this year by June the steel capacity should also come up so what kind of revenue growth shall we expect in FY2024 and what is the target l evel of EBITDA margin that we should pencil in that is the first question?

Brij Bhushan Agarwal: See low carbon ferrochrome is an extremely niche product it is completely yo-yo business and it is a very high tech from the arms of the technolog ies and the process side. S ince we have commissioned first furnace in LC FC we have stabilized now almost 80% to 85% and w ith the expectation we are able t o now gain the desired result. N ow from the prospect of revenue side I can say that if we are doing say around 5000 ton nes a month today around Rs.100 Crores revenue we can generate additional from the LCFC. S imultaneously

it is a very high value added
product like it is almost 30 % to 40 % more I would say it is almost double more than double the value of the ferrochrome . This business generally en joys an EBITDA of around 20 % to 25% the product size so this is going to add a very good value and also the beauty of this product is it is a forward integration of our ferrochrome so we do not have to buy the raw material. If we talk in the terms of carry over of the inventory cost and all it is hardly negligible and your number two about Mittal Corp see this is a Danieli mill it is an Italian plant one of the top of the line in the country. It is right now doing some conversion of Baba Kalyani in the defen ce they are doing some product rolling in Mittal Corp as well so this stainless steel overall from next year is going to generate a revenue of around Rs.1700 Crores to Rs.1800 Crores. T his year might be we will be doing say around Rs.400 Crores to Rs.500 C rores because it is a plan where we have to do lot of modification since this w as under the NCLT lot of wear and tear has been observed a nd with today' s time we are upgrading the technology which is not a very major issue but this plant is going to c ome in full stream by next year. T he beauty of the Mittal Corp is they have a stainle ss steel TMT facility and TMT is our product. W hy we choose Mittal Corp first of all we are adding more value in getting into the stainless steel and stainless steel TMT. If you see from the TMT side none of company in the country today is doing TMT. Sunfl ag has tried but they are not very perennial they have a lot of quality issues and today NHI and a lot of government s other organizations who are doing coastal projects they hav e notified to use TMT and they are getting it regulated in the system because n ow they know the plant is in full swing they will be able to get it and with our technical presentation we have been given a comfort from their end like whatever this policy the y were not very stringent is going to be very strong in the time to come . Apart from that if you see the stainless steel what we will be doing in Mittal Corp is majorly of 200 series why because first of all 200 series does not attract any nickel percentag e. Number two whatever ferrochrome, ferromanganese, iron and power is required is going to be consumed from our existing plan t so it is almost like going backward integration so this is a very great synergy as adding a new product, getting into more value added products, getting into more supply chain business and it doe s not really we are in the wire rod and we are in the long product business. We have a customer who consumes stainless steel wire rod and carbon steel both so we are making our strength in t erms of the product basket and also increasing the numbers bottomline as well a s being a great risk management from the product mix si de. Thank you.

Amit Dixit: Thanks for the elaborate answer. T he second question is essentially on iron ore mine that we have acquired with the promoter company now while I understand from your opening remarks that the Fe content is really very attractive but first of all what are the timelines for starting this mine and what is the strategy going forward whether you will tran sport the ore all the way to your plants in Odisha and Bengal or you will sell it over here and do that kind of logistics hedge?

Brij Bhushan Agarwal: See first of all this is a very interesting question and we are ourselves contemplating a lot on this question so but whatever we h ave right now we are working on I am just sharing you my thought process. Iron ore is a very rare resource and most of the min es in the country right now are below

 60% so getting a min e of 66 % to 67% is a great achievement from th e company side . Number two it does

not have a challenge of a land acquisition b ecause the complete land is under the
forest and with the government policy of converting the forest land into a normal mining land is not a problem . Had th is been individual aggregator it would have been really difficult to start the mine. This m ine has a very high grade ore and if you are able to use this kind of a grade of o re your cok e consumption, your carbon consumption, the CO2 emission when we are talking of the product q uality everything changed drastically. We are now 10 years like the concerns what we have got has a deadline of 10 years so we are not in hurry. We have done initial survey. One of the mines is already operating and enjoying the common boundary so the mate rial is very well good and well established, t he resource is very beautiful there is no doubt. We have railway s adding 80 kilometers down from that mine so we can transfer the l umps to a railway and can transport to our Odisha plant and since we have such a high grade ore and with the lump s quality it is not fine s. Generally getting 70% and 65% fin es from the mine is something which is very, very rare so it is going to add lot of value but we are still under the du e diligence stage. A lot of homework we hav e to do on ce we go into a detailed exploration , risk analysis, and total busine ss plan so we are not in a hurry and it is not going to consume a big capex from the company side so it is a very nominal entry on the allocation side has been committed and may be some little bit more we have to spend in n ext one year on the exploration, so we will not be able to take any call

on our concrete plan till we do a complete due diligence, exploration, strategy working and t hen we will be able to share it, but yes it is not a kind of any kind of a risk we are going to carry over and whatever call we are going to take is going to be something a good value for the company side. Thank you.
Amit Dixit: Great. T hanks a lot and all the best Sir.
Moderator: Thank you Sir. We t ake the next question from the line of Ashutosh Somani from JM Financial . Pleas e go ahead Sir.
Ashutosh Somani: Thanks for taking my question. Sir the revenue profile which you mentioned from Mittal Corp what is the capacity utilization that you are forese eing in FY2024 -FY2025 and what is the margin profile one should be looking at f or this business in 2024 and 2025 that is my first question , the second question is what is the size of the gross block here and whether we have assumed any debt for Mittal Corp and what are working capital requirements here?
Brij Bhushan Agarwal: See the capacity of this plant is presently around 1 82000 to 2 lakh tonne per annum but we can easily make up to 2.5 lakh tonne with our technical study but I would not like to go all o ut on the commitment side . We presumed that in the coming year we will be doing around 1.5 lakh tonne of stainless steel and when we are talking from the margin side today it has a great product mix like we are putting a downstream the wire annealing plant and which is going to be commissioned by end of this year so it will have a di fferent product mix like we are expecting that 50 000 to 60000 ton nes we will be able to do a stainless steel TM T which is extremely niche.
 It generally generates a n EBITDA of ar ound 15 000 to 20 000 tonnes in today's time and in the time to come with our gen eral if I am prudent on the numbers I think we should be able to do EBITDA of around Rs.150 Crores average from next year onwards.
Ashutosh Somani: Sure and Sir on the balance s heet side if you have assumed any debts ?
Brij Bhushan Agarwal: No. Deepak can y ou just share on the balance sheet side and all if you have any .
Deepak Agarwal: Yes we are, as far as acquisition cost is concerned we will b

e incurring around Rs.351 Cro res that will be through our internal accrual and if the working capital requir ement will be between Rs.150 Crores to Rs.200 Crores for the final figure that will be from the bank .
Brij Bhushan Agarwal : But majorly we are going to contribute in the time to come we are going to integrate our downward so overall it is not going to have a mass working capital requirement. The ferroalloy inventory management what we are carrying over should be converted into stainless steel but yes we will be having a free marg in of around Rs.150 Crores of the business .
Ashutosh Somani : Sure and Sir if I can squeeze in another question on the iron ore plan what is the mining plan for the year , how much are we looking at in terms of tonnage for FY2024 and FY2025 ?
Brij Bhushan Aga rwal : No. There is no any t arget for 2024-2025 because we just have got a LOI. These kind of mi nes are virgin mines which will take its own course of time, maybe once we do a complete thorough due diligence or we will be able to not share but we have enoug h time 10 years we have to start the min e so may be around eight to nine months we will take to do the satellite survey and so it takes its own time. Maybe end of this year quarter we will be able to discuss about the iron ore final plans.
Ashutosh Somani : Sure I understood the stage of things. Thank you Sir.
Moderator: Thank you Sir . We take the next question from the line of Arijit Dutta from Kotak MF . Please go ahead Sir.
Arijit Dutta: Good set of r esults congratulations for that. T here are three questio ns starting with the iron or e block so it is just 126% premium initially we thought that we will not participate in the mining option why we have undergone to such extent of 126% premium because that will be even if the grade is higher it will be on the hi gher grade only the premium that we have to pay?
Brij Bhushan Agarwal: As usual you always play a googl y Arijit . See I will tell you this is a very high grade min e 66% to 67% lumps your mining cost is very less number one, n umber two you r overburden is har dly anything and when you are carrying over 66 % to 67% lumps to you r plant the strategy completely changes. If I am talking th ese mines is 66% to 67% at the value of 125% approx we have to say in the general option it could not be more than 80 % to 90 % with a carryover of the
 quality, with the carryover of the lump s, with the carry of the mining cost but still I totally appreciate we will do a detailed working . We have just got a n LOI. The risk carryover is hardly negligible. We will have a complete mining p lan, talk totally thoroughly due diligence by the best of big 4, we will defini tely like to evaluate and take the next course of action but this min e is very special extremely special in the terms of quality . Land challenges are not there . The government w ants to develop this min e, it is in Maharashtra , the governance is very good an d the alumin a silica content is also very low so overall the impact of this material down the plant furnace is going to be something extremely on the better side but yes still w e do not go in 1000%

detail we will not be going ahead in full go . We need to d o a due diligence and then we will take a final call . Thank you.
Arijit Dutta: Done Sir. Sir if I remember in 2021 we have sold some subsidiaries because we want to clean our books hardly any promoter entity overlap you wanted in the company then why a 49% stake we bought through a company where in the promoter ha s 49% stake why again the comp lication?
Brij Bhushan Agarwal: About the mines ?
Arijit Dutta: Yes Sir.
Brij Bhushan Agar wal: Deepak will be able to share. Deepak can you just share.
Deepak Agar wal: Yes Sir. Mr. Arijit as you know the government has come up with on a r

egular basis mining offers . What we do we are participating on a regular basis for application for min es which require more of a n et worth requirement and which is easily available from our promoting and we have six companies . Once the risk analysis is completely done and evaluated by our risk management team and once the bid is in our favor we shall ensur e to bring all right to the operating company . This is basically only to mainta in secrecy in participation as a part of our business strategy. There is no such intention to have any related party .
Brij Bhushan Agarwal: Because most of these mining bids wha t we do we create a subsidiary and we do not want to disclose the identity of o ur organization because once you disclose you will see a different competition jumping into this and all these mining due diligence and all we are very secretly and very, very closely they are monitoring it so this is the reason and once we are getting any thing we have disclos ed in the stock exchange. We cannot share anything in the past that we have got and we have not declared so this also clarif ies the clarity and the intentio n of the company . While we are doing this and once there is any development we have informed th e stock exchange.
Arijit Dutta: Sir all these things could have been done in a wholly owned subsidiary also?
Brij Bhushan Agarwal: But that also has been tracked know because the people who are doing the mining who are applying for the mini ng and all they al so track the shareholder list, t hey are also track they go in
 too much of detail. There are too many of issues so once you are doing the mining option particip ating a lot of strategy you have to follow so it is a part of our strategy .
Arijit Dutta: Now we got the mine anything that we would like to go so that it will be in under wholly owned subsidiary kind of thing ?
Brij Bhushan Agarwal: No not at all. We have not got any min es and if there is any development in the time to come in the in terest of the shareholders and in the interest of the good corporate discipline it will be stated and declared in the SEBI and with our investors.
Arijit Dutta: Understood . Sir my second question is on the cash flow so there is Rs.380 Crores outflow that i s there in the cash flow is within that acquisition of subsidiary if you can clarify w hich subsidiary and what is nature ?
Deepak Agarwal : Mr. Arijit the cash flow for acqu isition of subsidiary means the money deployment in our subsidiary Ramsarup Ind ustries Limited .
Arijit Dutta: So the Ramsarup we are addressing as a subsidiary it is not acquisition of method?
Deepak Agarwal : In total the acquisition cost of Ramsarup will be Rs.380 Crores.
Arijit Dutta: Yes Sir .
Deepak Agarwal : So acquisi tion cost of Ramsarup is Rs.378.99 Crores which is 100% our acquisition cost. Once if you see in t he cash outflow from financing activity there is a non -current borrowing of Rs. 200 Crores from our joint venture partner and our contribution is approximately Rs.240 Crores. If you see in the cash flow statement in the below line cash flow from financing activity there is proceed from non -current borrowing of Rs.205.96 Crores which h as come up from the joint venture partner. When you are netting this Rs.200 Cro res from this acquisition cost our contribution is approximately Rs.200 Crores.
Arijit Dutta: It is very clear. Also in the balance sheet there is a minority share, the minority share balance has shown to almost like Rs.386 Crores versus Rs.4 Crores last y ear, even if you look at the P&L there is a negative loss of Rs.9 Crores that is going to minority so if you can reconcile how Rs.4 Crores is becoming Rs.386 Crores in the minor ity account ?
Deepak Agarwal : If you see we are consolidating our total asset block of Ramsarup in o

ur Shyam Steel as 100% and we are showing 40% of non-controlling limited has a non -contr olling minority share of around Rs.386 Crores something. You ar e asking why this has been reduced from Rs.400 Crores to Rs.386 Crores right Rs .4 Crores to Rs.386 Crores right ?
Arijit Dutta: Yes Sir.
 Deepak Agarwal : This is o nly because of the differences and this is equivalent to 40 % of the joint venture

partner
which is basic.
Arijit Dutta: 40% will be 40% of Rs.380 Crores right Sir?
Deep ak Agarwal : No it is not 40% of Rs.380 Crores. We are consolidating the existing asset of asset block of Ramsarup in our operating company which is around Rs.1000 Crores t o Rs.1100 Crores and out of this Rs.1100 Crores the 40% is contributing approxi mately Rs.400 Crores.
Arijit Dutta: Understood and the Ramsarup capex guidance of Rs.750 Crores is still there or there is any change to it ?
Deepak Agarwal : No this is sti ll there and we have already incurred Rs.77 Crores March 31, 20 23.
Arijit Dutta : Understood. That is all from my side Sir. All the best and thank you.
Moderator: Thank you Sir. We take the next question from the line of Pruthul Jitenbhai Shah from Anubhuti Advisors . Please go ahead Sir.
Pruthul Jitenbhai Shah: Thank you for the oppor tunity and congrats on a great set of members. M y question is with respect to the volume so this year we have around 5% Y -o-Y volume growth for full year and our long product volume has grown by 41% so just wanted to have the idea that what guidance you want to give for next year with respect to total vol ume and the volume of long products?
Deepak Agarwal : As far as the sales volume is concerned this year on a Y-o-Y basis 2022-2023 our total sales value is 2 million tonnes and we are expecting that th e long steel product which compris es of long products, bi llets and sponge we are targeting to sell 2.4 million tonnes for the current financial year that is 2 023-2024.
Pruthul J itenbhai Shah: Sir can you repeat 2 .4 million tonnes for?
Deepak Agarwal : 2.4 million tonnes of our total steel sales volume and when we talk about the 2.4 million tonnes we are targeting 1.5 million ton ne of long products and r est will be steel billet and sponge iron.
Brij Bhushan Agarwal: So approximately we are targeting 15% yes more or less. 15% to 17%.
Pruthul Jitenbhai Shah: I am just asking that 15% to 17% overall based on total volume during th e year , long pr oduct s consol 15% to 17 % ?
Brij Bhushan Agarwal: Majorly it will be in the long product.
Pruthul Jitenbhai Shah: So like say total volume can grow at 15% but l ong product can even grow at 20% plus?
 Brij Bhushan Agarwal: We expect that it should be around 1 5% to 17% this year.
Pruthul Jitenbhai Shah: My question is with respect to tax rate in Q4 so what was the reason for this lower tax rate in this quarter?
Deep ak Agarwal : Yes as far as tax provision is concerned in Q4 why it is so low because we are anticipating in the Q1 of the last financial year that we were anticipating getting more profit and we are provisioning our tax provisions in the first three q uarters on the new regime basis but after completion of our Q4 we feel that we will not be conver ting our tax regime from old to new regime we will stay with the old regime that is why that adjustment of last three quarters in the Q4.
Pruthul Jitenbhai Sha h: Inaudible
Deepak Agarwal : Not 34%. From the current financial year definitely all , we have an option whether we will continue with the old regime or we will cho ose the new regime.
Pruthul Jitenbhai Shah: Okay so what woul d be the tax guidance for FY2024?
Deepak Agarwal : It wil l be between 27% and 30%.
Pruthul Jitenbh

ai Shah: Sir wanted to know the current realization of the products from pellets, sponge iron, billets and long products?
Deepak Agarwal : Similar w hatever is the current realization pellets will be approximate ly Rs.9000 per tonne, sponge iron is between Rs.27000 per tonne, billets realization current ly is going on Rs.43544, billet steel realization is between Rs.52500 to Rs.53000 an d ferroalloy realization is Rs.90000 to Rs.92000 .
Pruthul Jitenbhai Shah: Thank you so much. That is it from my side.
Moderator: Thank you Sir. We take the next question from the line of Raj Oza an Individual Investor . Please go ahead Sir.
Raj Oza: Thank you for this opport unity so my first question is about the alumin ium business it is good to see the aluminum plant getting operationalized in a record time so what are your plans to scale up the alumin ium business ?
Brij Bhushan Agarwal: See at present we have just stabilized the plant. There is a good demand. R ight now we are operating at around 55 % to 60%. We have to bring it to 90 % because the complete plant is streamlined and all the R&D s whatever development activity has to be done so we are trying to develop new products within the existing plan t only. We are trying to put up a lub ricating line
 which again generates a good income and good product based in the alumin ium space. Presently we are working right now but not very co ncretely I will be able to spell everything now till we

are able to operate this at 90% and once we are done then we will discuss about the expansi on of
the new alumin ium business.
Raj Oza: Sure Sir also in FY2023 our tonnage was around 11300 metric ton nes so like can you give some
information about th e tonnage in FY2024 what can we expect in FY2024?
Brij Bhushan Agarwal: We are expecting somewhere around close to 17000 to 18000 tonnes.
Raj Oza: Thank you.
Moderator: Thank you Sir. We take the next question from the line of Mr. Mulesh Savla from Shah n Savla .
Please go ahead Sir.
Mulesh Savla: Good evening an d tha nks for taking my question. Sir can you speak a little more detail on our
plant under PLI scheme what is th e incremental turnover required, how many years we are going
to get the incentive and w hat is the total expected incentive out of that plant ?
Brij Bh ushan Agarwal: Around Rs.2000 to Rs.2500 is overall commercial value and I will not be able to spell out very
elaborately because I just know the overall ball park number so this a dvantage we are going to get
for almost five years and likely in the terms of value if you ask we should be able to generate
more than Rs.20 Crores to Rs.25 Crores additional bonus in the terms of PLI benefit every year
so it should accumulate around Rs.100 Crores.
Mules h Savla: Okay so in all above Rs.100 Crores we can expect from this plant by way of PLI scheme
incentive ?
Brij Bhushan Agarwal: Yes very correct.
Mulesh Savla: Realization Sir your answer to the alumin ium plant you said you are expected to do about 70 000
to 80000 tonnes of alumin ium in FY 2024 have I heard correctly ?
Brij Bhushan Agarwal: Rs.17000 to Rs.18000.
Mulesh Savla: But we have total capacity of about 40000 tonnes and you said that we are operating at about
55% to 60 % and we are likely to reach to 90 % then we should be able to reach across at least
20000 tonne per year?
Brij Bhushan Agarwal: No it all depends upon the micron s. We are making a very thinner base and this 40000 tonne
capacity is on the average micron size of around 18 to 20 micron. Our a verage is 6 to 9 micron
which fetches more than Rs.40000 Crore s to Rs.50000 per tonne EBITDA and this is a very
 specialized product . On the return on per hour

basis on the tonnage side this multi plies 1.4 times
on the other side. This is an area where we a re focusing to increase our EBITDA and to get into a
deeper an d higher product margin base.
Mulesh Savla: Most of that is expected or it is consumed locally ?
Brij Bhushan Agarwal: Export more than 60 % is export .
Mulesh Savla: Is there any difference in the realization in export against the local sales?
Brij Bhushan A garwal: No export is much better realization. Our more than 80% of the export is in USA. This is a very
specialized product where we have obtained an FDA approval . It is being used by a company
who are making exclusive and they require foil s as a part of s o it is a very high value added
business what we have been able to develop so this is the reason why our margins are good and it
is an extremely very, very different quality in the terms of gene ral material because there is a lot
of things from th e quality side, the whole quality, the sustainabil ity quality, the tangibility of this
so we have been able to achieve every parameter so our focus is going to be majorly in the export
in the time to com e.
Mulesh Savla: Looking at these high value accretive product s and backward and forward integration can we
expect our margins to come back to our FY 2022 level or you feel still there is a time to reach to
2022 level , we have EBITDA margin of about 25% in FY2022 blended EBITDA margin?
Brij Bhushan Agarwal: We are fol lowing the industrial standard if you see. If there is a correction the finished price, the
raw material price it affects JSW, it affects Tata Steel, and also it affects us also . It will not be
wise for us to state that we will be able to generate 24 or 25 but we have to follow the market
trend and the market scenario on the pricing side.
Mulesh Savla: Sir looking at the current market trend and the competitive landscape what do you feel is the
achievable level ?
Brij Bhushan Agarwal: It is very difficult. T his is a question which is very difficult at this point of time because we have
all th e products and the raw material is highly volatile and today at the geopolitical crisis where
we are all suf fering it would not be wise so whether maybe after Q2 we will be able to visualize
more better .
Mulesh Savla: I thought that if you have any aspirational numbers with you or you must have some internal
targets so I just wanted to have some color on that ?
Brij Bhushan Agarwal: My target will not be appropriate for me to discuss in this forum. We have always work ed on the
higher targets but when we are talking in this fo rum we have to be very prudent and very
discipline o n all our values I believe in this thing.

 Mulesh Savla: I appreciate. Thank you so much and Sir one small clarification we have to reach to about 75 % promoter holding so any plan on dilution to the equity in the near future ?
Brij Bhushan Agarwal: The team is working. We have time. We have now more than a year and we are working and once we are done with the final strategy we will share the detail .
Mulesh Savla: Alright Sir. Thank you so much and wish you all the very best.
Moderator: Thank you Sir. We take the next question from the line of Nirvana Laha an Individual Investor . Please go ahead Sir.
Nirvana Laha: Good evening thanks for the opportunity . If I did not hear wrong I think you said that you have 10 years to operationalize the iron or e mine so is it 10 years for the lea se duration or 10 years for you to start operation ?
Brij Bhushan Agarwal: No we have got the 10 years like once they have given the concern within 10 years we have to start the operation . The lease license is more than 50 years I do not think there is any concern on this.
Nirvana Laha: Is there a theoretical capacity of iron ore from the mine that you ar

e aware of that?
Brij Bhushan Agarwal: It has been estimated around 300 million tonnes but still we have to do a lot of research and evaluate so the tentative numbers should be around 250 to 300 million tonnes.
Nirvana Laha: Got it and a few questions on the accounting side so the Q4 depreciation was lower than the Q3 depreciation I am just curious with assets coming online how that happened ?
Deepak Agarwal : There a lot of projects have been coming in Q3 bu t in Q4 none of the proj ects have been coming in Q4.
Nirvana Laha: Yes Sir the depreciation not increasing is fine but decreasing is a little I could not understand how it decreased from Rs.132 Crores to Rs.126 Crores?
Deepak Agarwal : Only because of the written down value, as in the Q4 will be written down value from the Q3 and most of the plant has been commissioned in Q2 and Q3 .
Nirvana Laha: Got it so the fixed asset addition that happened in H2 was only aroun d Rs.300 Crores that is what I can see so I think in this quar ter in Q1 there will be a large fixed asset addition are you in a position to tell how much of that will get added?
Brij Bhushan Agarwal: Yes in the Q1 of the current financial year most of the asset will be commissioned.

 Nirvana Laha: The number that you can tell right now?
Deepak Agarwal : It is 1.2 million tonnes of pellets for capex of approximately 250 crs and 90 MW CPP captive power plant is also coming. In Q1 it will be capitalized approximately Rs.500 Crores.
Nirvan a Laha: Final q uestion from my side so the cash flow statement if I look at the half yearly number the plant & pro perty investment there was Rs.2130 Crores and for the full year that number is showing up as Rs.1579 Crores so it appears that purchase of PPE number has dropped from half year to full year so could you explain this?
Deepak Agarwal : Sir I have to check in the half year number I do not know right now I will definitely share why it has been high.
Nirvana Laha: Because t he half year number purchase of PPE is Rs. 2130 Crores and the same number for the full year is Rs.15 79 Crores?
Deepak Agarwal : I have to check and then I can definitely share your number in chat box accordingly we will tell you.
Nirvana Laha: I do not have access to the chat I will drop an e-mail.
Deepak Agarwal : Sure.
Nirvana Laha: Thank you.
Moderator: Thank you Sir. Ladies and gentlemen that was the last question for the day . I would now like to hand the conference ov er to Mr. Nachike t Kale for closing comments. T hank you and over to you Sir!
Nachiket Kale : Yes thanks everyone. I would like to thank the management for taking the ir time out for this conference call today and also thanks to all the participants . If you h ave any queries please feel free to contact us. We are Orient Capital Investor Relations Ad visor to Shyam Metalics . Thank you so much everyone.
Moderator: Thank you. On behalf of Orient Capital and Shyam Metalics that conclude s this conference. Thank you f or joining us . You may now disconnect your lines.

Call: Aug 2023

SMEL/SE/202 3-24/43 August 03, 202 3

The Secretary,
Listing Department, BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai 400 001
Maharashtra, India
Scrip Code: 543299 The Manager – Listing Department
National Stock Exchange of India
Limited
“Exchange Plaza”, 5th Floor, Plot No. C/1,
G-Block, Bandra -Kurla Complex, Bandra
(East), Mumbai 400 051, Maharashtra,
India
Symbol: SHYAMMETL

Dear Sir/Madam,

Sub: Transcript of the conference call for Audited (Standalone and
Consolidated) Financial Results for the First Quarter Ended
30th June , 202 3

Pursuant to the Regulation 30 read with Schedule III of SEBI (LODR) Regulations, 2015, we forward herewith the transcript of the conference call with investors and analysts held on Friday , 28th July, 2023 for the Un-audited (Standalone and Consolidated) financial result of the company for the first quarter ended 3 0th June, 2023.

This is for your information and record.

Thanking You,

For Shyam Metalics and Energy Limited

Birendra Kumar Jain
Company Secretary
Membership No. A8305
BIRENDRA
KUMAR JAINDigitally signed by
BIRENDRA KUMAR JAIN
Date: 2023.08.03
10:39:56 +05'30'

“Shyam Metalics and Energy Limited Q1 FY -24
Earnings Conference Call”

July 28, 2023

MANAGEMENT : MR. BRIJ BHUSHAN AGARWAL - VICE CHAIRMAN &
MANAGING DIRECTOR - SHYAM METALICS AND
ENERGY LIMITED

MR. DEEPAK AGARWAL - DIRECTOR FINANCE & CFO
- SHYAM METALICS AND ENERGY LIMITED

MR. PANKAJ HARLALKA - HEAD INVESTOR RELATIONS
- SHYAM METALICS AND ENERGY LIMITED

MODERATOR : MR. NACHIKET KALE – ORIENT CAPITAL

Moderator: Ladies and gentlemen good day and welcome to Shyam Metalics and Energy Limited Q1 FY 24 Earnings C onference Call organized by Orient Capital.
As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference ove r to Mr. Pankaj Harlalka from Shyam Metalics. Thank you, and over to you sir.
Pankaj Harlalka: And thanks for connecting with , call. Particularly our shareholders and our industry analysts.
Thank you for taking the time out on this call to discuss our latest results and performance. Our results and a detailed investor presentation along with the safe harbor statement has been uploaded on the exchanges as well as our website. I hope everyone has had a chance to go through it.
To discuss our results we ha ve with us, our Vice Chairman and Managing Director – Mr. Brij Bhushan Agarwal , and our Director Finance and CFO - Mr. Deepak Agarwal , they will take you through our Results . And then we'll proceed to Q&A.
Handing over to Brij Bhushan Ji to take it forward. Thank you .
Brij Bhushan Agarwal: Thank you and good afternoon everyone. And thank you for joining us on the Result Call today.
We reported a very resilient performance in Q1 despite the seasonal softness compounded by the slowdown in the prices . This was possible due to the continuous enrichment of our product mix an d unwavering focus on cost. The roll product shipment rose from 36% year-on-year basis, while the volume of metallic and intermediate also improved. Quarter -on-quarter as the new capacity got commissioned revenue contribution from the roll product was 48% in the last quarter up from the Q1 of last vision, that was 41%.
EBITDA remains s table on the subsequent basis, despite 4% decline in realization. Q1 FY 24 EBITDA was 405 crores , with a stable margin of 12.2%.
As we come towards the end of the implementation of the growth plan, announced during the IPO two years back, the Board has appr oved new CAPEX plan of 3915 crores to kick start the next phase of growth for the company. This will energize our process, progress towards more enriched product mix and higher volume and consequently, a much stronger company in the coming years.
We are al so very happy to announce the change in our Board composition and statutory auditors, Mr. Malay Kumar De and Shashi Kumar have joined our Board as additional Director for the term of five years subject to the approval of the shareholder . Mr. Malay Kumar De is a retired

IAS officer. He was the Chairman and Managing Director of WB SETCL , WBSEPCL and he also served as the Chief Secretary for the government of West Bengal . Mr. Shashi Kumar also has a great experience of more than 50 years and he was the E x-Chairman of Coal India Limited and earlier he was Director Marketing from Coal India, and he has been also working in the advisory of NTPC IFCO in Chhattisgarh Power. Ba sed on the recommendation of the audit committee, the Board has recommended appointing MSK A & associate s Chartered Accountant s as a statutory auditor of the company. MSK A & Associate is the member firm of B DO International, which is the fifth largest international accounting tax advisory firm and is largest M/S network in the world.
The group projects and recent acquisitions are propelling our strategy of efficient and low cost growth. With continued robust cash generation and one of the lowest gearing ratios in the steel sector. We remain confident of financing the upcoming CAPEX requirements largely thr

ough
the internal accruals and retaining the strong credit rating. The company is developing in the area th at will allow us to constantly reinvest our profit and growth , while maintaining the balance

sheet strength the strategy is to be present in the multiple end products related to our expertise and presence on the metal purification value chain. The company looks very different today in the terms of profit mix vis -à-vis, what it was five years ago and we look very different five years from now.

With that I would hand over the floor to Mr. Deepak Agarwal – Director Finance and CFO to update you on the financial performance. Thank you so much.

Deepak Agarwal: Thank you, sir. A very good afternoon to all the participants and I thank all of you for taking time out on this call to discuss the results for the First Quarter of the current Financial Year .

I will be glad to share a quick review of the reported consolidated financials for the first quarter under review for the current financial year 202 4. Shyam Metalics G roup has been reaffirmed by external rating CRISIL AA stable for the long -term borrowing and CRISIL A1+ for the short term borrowing. This reading reflect the established market position of Shyam Metalics Group industrial sector . The rating validates the factors like the group comfortable financial risk profile backed by healthy debt protectio ns metrics reinforce our trust in our strong business model, which continue to generate healthy cash flow.

I would now like to draw your attention to the financials of the company on a consolidated basis :

In Quarter One of the current financial year on a consolidated basis the company reported operat ed its operating revenue of 3 307 crore a growth of 3% over Quarter One of the last financial year. The sales mix constitute a high percentage of volume from finished steel which account for 48% of the total value . Although there has been some motivation in the existing module , with the challenging macro environment, which has adversely impacted the commodity prices coupled with the domestic regulatory changes . The company has been able to book a n EBITDA of Rs.405 crore declined by 33% over the Quarter One of the last financial year, and

EBITDA margins o f Quarter One of the current financial year was 12.25%. In order to maintain the trade in the EBITDA numbers, we have been judicious and cautiously on all our cost component . Our profit after tax for the quarter stands at 235 crore, which has seen a decline of 43% year-on-year, PAT margins for the quarter is 7.11%, which is quite sound c onsidering the current market trend and PR comparison .

In the Shyam Metalics G roup, the working capital management is very prudent. Th e group focus main ly on selling items on advances or letter of credit basis learn ing to lower debtors and inventory period of 15 to 30 days and 70 to 80 days. With regard to the update o f acquisition of Mittal Corp L imited, at present all the pending litigation for the Mittal Corp has already been resolved and settled and application for approval for resolution plan has been filed with the NCLT Mumbai bench , the matter has been heard and reserved for order . At Shyam Metalics , we have always followed prudent capital allocation policy. We reinvest 70% of our total cash genera tion back into the business , return 20% as a liquidity surplus and return 1 0% to our esteemed shareholder as a dividend.

Our adequate CAPEX plan have been lead out in the investors presentation, our total CAPEX in aggregate 3915 crore which includes the 6 25 crore towards Ramsarup Industry Limited . Out of 625 crore 250 crore is attributed towards joint venture partner. In effect, our total CAPEX spend attributed to our Shyam Metalics , even aggregate of 3655 crore. O ur CPP portfolio of 357 megawatt with an addition of 20 megawatt

pending completion at Ramsarup will be 377 megawatts. Currently, we will enhance our power capacity by 220 megaw att, this 220 megaw att currently 90 megawatt will be commissioned at Sambalpur plant and another 20 megawatt will be at Jamuria plant, and additional 4 0 megawatt will be at Ramsarup industrial Kharagpur . The post all announced CAPEX implementation of our C PP will be 597 megawatt . Additionally, we are putting up to start with the 100 mega solar CAPEX implantation to enhance our renewal portfolio to 10 9.1 megawatt for sustainability and our first major step towards reducing our carbon footprint. The CAPEX emphasized is 1230 crore. I n the CAPEX program as per the plans of the company to move forward value added products. We are enhancing our downstream facility by additionally 1.6 million tonne including our CRM stainless steel DI pipe, hot flat products, parallel flange beam , and steel wire drawing at an aggregate CAPEX cost of 1395 crores wh ich is lower than the standard CAPEX cost .

To facilitate the sales, we will have to add intimidated capacity of delay in various form by adding 1.03 million tonne of capacity. We shall further enhance our DRI capacity by further 1.0 million tonne . And we are also adding a verification plan to increase to improve our margins at our plan t. The total CAPEX of our intermediate capacity which comes to around 1190 crore in our newly installed aluminium foil plant, we shall spend another 100 crore for aluminum mills with castor as a backward integration and battery foil plant enhance the product offering . We feel that t he CAPEX spend and the margin, may improve our margin for our company for near future and further in crease our product basket . The capacity has been stated based on present capacity, plus all capacity coming up based on the project announced earlier. We have made a few changes into the present investor presentation if you see in the last quarter this project well

we did not reduced the non -current investment portfolio of 798 crore which are parked in a fixed asset government bonds and mutual fund after reducing that to the total net debt of 448 crore. We had arrived at the net cash of 562 crore in the previous quarter. And as of in this quarter we are a net cash in this quarter is 499 crore. Now, I conclude my personal speech and throw the floor open for the question answer session . Thank you.

Moderator: Thank you so much. We will now begin the question -and-answer session. First question is from the line of Amit Dixit from ICICI S ecurities . Please go ahead.

Amit Dixit: I have a couple of questions. The first one is essentially on the new CAPEX plan, if you could also let us know the timelines of broad categories, let us say hot flat products, parallel flange beam, when can we see these coming , similarly aluminium plants that battery coil plant along with that and if you could clarify on ferro alloys this 0.2 whether it is yo ur I am sure it is like low carbon ferro chrome only . So, if you can just clarify that , that is the first question.

Management: Hello Amit, t hank you . As far as new CAPEX is concerned, the commissioning of the new CAPEX will be majorly the new CAPEX will be commissioned in the Year ‘24 -25. A few capacity likewise the aluminium foil and DRI capacity of ferro alloy will be commissioned in this financial year that is ‘23-24 and the power plant and the aluminum foils, battery foils, will be commissioned in the Year ‘24 -25 and the rest will be in the year 25-26.

Amit Dixit: Okay. So, what we can expect that in FY 26 essentially all these capacities will be up and running and will be ramped up to 100% utilization possibly ?

Management: Correct all this capacity which we are going to announce that will be 90 % will be commissioned at the end of the financial year 25-26.

Amit Dixit: Okay, fine

. The second question is essentially if I look at the financial statements, The EBITDA margin is still at 12.2% and thermal coal prices have come up significantly in the quarter. So, it looks like the complete benefit of thermal coal prices has still not be en passed on. If you could just let us know the thermal coal prices on an average that were surpassed into P &L in Q1 FY 24 and what is the change that we can expect to see in Q2 and similarly for iron ore prices ?

Management: Amit, a s far as the pathway of the correction in the coal target, we have already taken into account in the current quarter of the current financial year if you see the realization has been corrected by 4% despite of the realization corrected by 4% because of the other side , all sizes has been correctly that has already been taken into the first quarter and 100% it will be further effected in the second quarter as well . And as far as iron ore price is concerned we have not yet, the correction of iron ore is not be en happening in the first quarter , it will be happening in the next quarter .

Brij Bhushan Agarwal: Amit, I would also like to suggest , if you see our the new expansion module what we have suggested on the flat product side this is a specialty steel because we are already in the stainless

steel now, and this flat product is going to be on the side of the specialty steel and stainless steel side. So, we are proposing a half a million tonne of flat product where the best strategy for the organization right now is since we are in the business of making specialty alloy , low carbon, ferro chrome, manganese , iron , we have a captive power plant, and we don't have t o rush on the scrap side for procuring the stainless steel scrap. So, it makes a lot of value for us to go forward. So, if you see the expansion, the new expansion what we have declared it is completely a downstream , adding upstream values as well as the v alue chain , as we know the stainless steel demand is going to become robust in the country and there is a lot of, with the acquisition of the Mittal Corp now with our good team, which we have right now, we are doing a lot of changes in the strategy of the stainless steel and we see that we have to be in the complete supply chain management of the stainless steel business . By doing this flat product of stainless steel, all these stainless steel pipes manufacturers, the component manufacturers, the household manufacturers , the white good manufacturers, lot of consumer will come within the foothold of the within the product mix. So, I really see a great value where the new expansion is coming up. A lso, if you see all of our major expansions, when we are talking of we are going to add a billion tonne of DRI, we are going to add a power plant , these are all either it is driving towards the cost side by adding a power plant we are reducing the cost of the power because our new expansions are also going to require a lot of power and also with the new capacity addition of the pelettization plant. And we see that we have almost 2 million tonnes , one and a half to two million ton ne of additional pallets which we have in our system we need to consume that. So, overall it is a

complete value drive from the iron ore pallet to the steel. So, this is going to create a great value for the organization and it is almost, all the projects ar e majorly the brownfield projects and it is in the same stream where we are working right now. I don't see there is any challenge in understanding the business and the business where we are , we are going to increase our more market share and also create in to a better market and add more value to the company.
Moderator: Thank you. The next question is from the line of Nirvana Laha from Nirvana Capital . Please go ahead .
Nirvana Laha: So, my first question is on long st

eel volume this quarter. So, if we look Q-o-Q, there is almost a 10% decline in long steel while our more capacities have come online during this quarter. So, what has caused this, are we seeing some demand softness and how do you see this panning out in the next few quarters?
Brij Bhushan Agarw al: I actually don't see any kind of reduction or any kind of correction in the process of the sales volume side, but since this is a second quarter and we all know that we are in the monsoon quarter and during th ese time there is a slowdown in the construction activity there might be some pressure on the price side, but that also with the today's market, I see everything is bottomed out. So, I don't see any challenges on the front of the field side . Yes, the margins where we are right now, it has already bottomed out and the market internationally is also reviving and we will be able to maintain a decent numbers this quarter as well as hence forth.

Nirvana Laha: Okay. But the 2 8,000 kind of reduction in long steel volume that you think is nothing structural and it should be up in after monsoon ?
Brij Bhushan Agarwal: Yes. And during this time we take plant maintenance because of the slowdown in the demand there is annual maintenance shutdown also , activities happen in the power plant area and once you take the activity of the power plant then downstream facilities also so these quarters generally we also do a preventive maintenance in the plant . So, s ome effect also come from the plant si de also as a annual shutdown and all . But nevertheless, I can visualize that the position where we are right now and the kind of market where we are with our cost advantage. The we are growing year-after-year, I don't see that there is going to be any correction in the sales side of the volu me of the long products and all .
Nirvana Laha: Okay, thanks. And I heard your answer on margin. But if you could give some more color on that, so we were all expecting that margin should expand a little Q -o-Q because coal and coking coal, everything has go ne down. So if you can talk a little bit about that, how do you think margin might progress in the quarters coming ahead?
Brij Bhushan Agarwal: You are right , the coal prices are going down and this quarter we can see the iron ore prices will also come dow n. But, if you're talking on the average margin side you have to also see that we are in the monsoon time and like we said , there might be some kind of pressure on the seasonal side of the monsoon. And I don't see that the margin where we are operating rig ht now that it would decline further, these are chances of going upward. But yes, we will definitely get the advantage on the input of the raw metal pricing and the correction what we are seeing in the energy prices , coal, iron ore and all .
Nirvana Laha: Okay . And one question on the new CAPEX. So, you r older CAPEX , post IPO CAPEX the downstream product have still not come online. So, one would have thought that you would like that to come online or products to go to the market and then announce the second phase of expansion for downstream products. So, just want to understand what is the thought behind going with such a large CAPEX before the first phase has also come online.
Brij Bhushan Agarwal: If you see, first of all, I would not say that it is a very large CAPEX. If you see, on the time of the IPO, the initial CAPEX, what we declared was around 3100 crores. Later on, we added and it went to around 3900 crores , I'm talking of one year from now and on that 3900 crores we have already invested 3200 crores , all the downstream activity of the long product side has been commissioned, six months to nine months back. Now, the new commissioning, what is going to happen is for the pig iron plants which is in full stream, the power plant which we just now commissi

oned. So, these are all going to add the value and increase the numbers , EBITDA numbers on the bottom li ne side, because today we are buying the pig iron and we are consuming , if we are able to produce this backward integration pig iron with our own captive coke oven plant , we generate a lot of power and we get a lot of advantage on the reduction of the powe r cost as well as the raw material ingredient what we are buying for making steel. So, I see we are very much within track and downstream all the cold rolling mill complex what we

declared six months back it has to come in the scheme from the coming year o nwards. So, I don't
see that it is a large CAPEX and today the CAPEX what we are declaring right now, it has to be
completed in next two to three years, we are talking of three years, we will be almost over with
the old CAPEX by March coming year. So we will have enough time and enough cash in the
system that we will be able to invest and increase the better performance in the company.
Nirvana Laha: Sir, if I may just my question actually was that we haven't still seen our products go commercial
from the cold rolling mill , etc. that you've announced already. And we are even now going ahead
with more products and downstream. So I'm just asking from a market acceptability of products
point of view there are no concerns , that is not something that ?
Brij B hushan Agarwal: Not at all.
Nirvana Laha: Okay. And for the new power CAPEX that you're doing on power. So right now, 75% of your
power is through captive. So after FY 26, with this new power CAPEX that you're doing with
the other CAPEX, how much of the pow er is expected to be captive?
Brij Bhushan Agarwal: It will be in the same range of around 75 % to 80% because the new capacity what we are adding
will also be requiring more power. So, it is almost going to be in the same level of around 75 %
to 80%.
Moderator: Thank you. The next question is from the line of Gaurav Gandhi from Glory tail Capital
Management . Please go ahead.
Gaurav Gandhi: Sir, in earlier calls you have mentioned aspiration to be a B2C company to overcome the cyclical
nature of the bus iness. Can you update on that, where do we see ourselves presently and future
progress towards that goal?
Brij Bhushan Agarwal: Very correct. If you see from last two years, the volume what we have penetrated in the long
term, the tonnage what we were doin g, three years before and every year how much we are
already penetrating towards the B2C market. We are doing structural steel, we are doing long
product , construction steel and all of our products what we had planned two years before was
focusing on the B2C that is the major integration and the ideology of the company which we are
focusing on . And in the new CAPEX plan also if you see , majorly it is on the downstream side,
it is not on the upstream side like whatever iron we are doing , whatever specialty alloy we are
doing, we are trying to convert into a value added steel so that we can add more value on the
B2C space as well and as well as B2B.
Gaurav Gandhi: Okay. And the second question is, you mentioned about forming an advisory committee on
various business opportunities and strategies. Does it include existing members associated with
the company or any external experts in that committee?
Brij Bhushan Agarwal: Your question is not clearly dear, can you just repeat once again?

Gaurav Gandhi: In the press release by the company there is mention of forming an advisory committee on
various business opportunities and strategies. Does it include existing members associated with
the company or any external experts , can you share more details?
Brij B hushan Agarwal: These are all external experts like, we are talking of the people who are the legenda

ry in the
metal business, they are going to be with the big name , with a great experience and all. So,
majorly they will be all from the outside who has be en serving the big conglomerates and the
big giant in the industry.
Moderator: Thank you. The next question is from the line of Jem Allice , Individual Investor . Please go
ahead.
Jeme Alison: Thank you. My name is Jeme Alison , my first question was, what was the cash flow from
operations figure like this quarter ?
Management: As far as cash flow is concerned, we have a total cash flow as of now is around Rs.300 crores in
the first quarter and we expect the total capital for the current financial year, which will be in
between Rs.1800 crore.
Jeme Alison: Okay. The next one is on the new CAPEX that you guys have announced if you can just give
me a sort of approximate number that you will be spending , in each of the three years in FY 24,
FY25 and FY 26?
Management: Yes, we are projecting the total CAPEX which we are going to implement and which we have
already announced in the year '23-24, we are going to incur a CAPEX cost of around 2100 crores
in the year '23-24, 24-25 we will be incurring Rs.2300 crore and 25 -26 we will be incurring
Rs.1000 crore.
Jeme Alison: Okay. And I know this was asked by a previous participant, and you've also given us the number
of the cash that we have on our books, but you guys are confident that we won't be able to take ,
we don't need to take too much debt for this new by doing this new CAPEX between the money
that you guys will be raising from the QIP, etc. ?
Management: Yes. All has been planned, with the planning of the present cash reserve, and the money what

we are using, we have taken all that into consideration.
Moderator: Thank you. The next question is from the line of Darsh in Shah , Individual Investor . Please go ahead.
Darshin Shah: First of all, let me just start by appreciating the scale of CAPEX plans been very well laid out in the presentation. So as an analyst it helps us a lot to analyze the company. So kudos to you and the team for that. So, m y question is more relating to the renewable energy part, I see this significantly moving towards that. So , if you could just paint some picture what is the rationale behind it?

Brij Bhushan Agarwal: I'm not clear with your question, can you just repeat onc e more please.
Darshin Shah: Sir we are moving significantly towards the renewable energy part. So, wanting to understand the rationale behind it ?
Brij Bhushan Agarwal: See, first of all we have , our expansions are going on. And we have already , we are working on our ESG plans within the ESG plans, we have a plan that we should be as a good entrepreneur as a good institution we have to also focus on the green energy . We have also drawn the carbon footprint for the organization where we have to work on this , so all the se renewable energy what we are evaluating right now we don't have to look for a market to sell the energy because and all the CAPEX , IRR what we are planning is first of all, it has a good IRR of more than 20% because if we are doing the renewal within the company, you get the advantage of tax and other advantages. And number two, we don't have to look for a market to sell the power. So, all these makes a very good combo and very holis tically if you see one side we are generating power, we are reducing the footprint we are getting into a renewable space green power and also we are utilizing that power in our existing system. This is the major issue.
Moderator: Thank you. The next quest ion is from the line of Nirvana Laha from Nirvana Capital. Please go ahead.
Nirvana Laha: Can you please let me know the net fixed asset and capital work in progress position as on this quarter?
Management: Sorry?
Nirvana Laha: Can you let us know the net fixed asset

s and capital work in progress position as on this quarter ?
Management: In this quarter, we are capitalizing 80 5 crore what we are projecting earlier this consists of we are commissioning in this quarter pellet 1.2 mil lion tonne . We are commissioning sponge iron 0.39 million tonne , we are commissioning steel melting of 0. 3 million tonne, we are commissioning long steel 0 .3 million tonne and we are commissioning 90 megawatts of power plant and one railway siding . Total C WIP as of 31st March 2023 is 24 65 crore.
Nirvana Laha: Sir can you give the figure as on 30th June or 1st July, is it possible?
Management: 30th June, 2465 crore is 30th June CWIP .
Nirvana Laha: Okay. Thank you and one more question on the CAPEX the existing CAPEX so if I look at .
Moderator: The next question is from the line of Dinesh Kumar Padmanabhan , Individual Investor . Please go ahead.
Dinesh Padmanabhan: Thank you for the opportunity. Quick question, can you throw some light in what do you think is the target in terms of revenue or EBITDA whatever the new CAPEX I know that when we

were planning the first phase, we want it to be 25,000 crore revenue company by 2025. Now with this investment of the second CAPEX, could you tell us what will be your targets please in terms of the top lines and the EBITDA and whatever you can throw light on ?
Management: As we rightly said all the time like Shyam Metalics we are targeting at a CAGR of around 15 % to 20% year -after-year. So, this information, Pankaj can you share this infor mation you have right now, year -after-year what is the?
Management: Sir we cannot share any forward looking number , we can share only we will be growing with a CAGR of with this CAPEX announcement, definitely our top line will be enhanced year-after-year by 20% , more than 20 %.
Moderator: Thank you. The next question is from the line of Miraj from Arihant Capital . Please go ahead.
Miraj: I have one question , I wanted to understand with the new CAPEX so that we've announced through fund raise , just to understand over here the promoter entity would be putting in through the fundraise to bring down the promoter , they have to bring it down to 75% . So am I right in that understanding, they won't be putting or they will be also putting in money . That's my first question.
Management: We will be doing the QIP and maybe some portion of OFS. But this is very much in the discussion stage right now because we it is under the booth to review and our merchant bankers

they are working maybe short while we'll be coming out and disclosing everything.
Miraj: Understood. And the second question I jus t wanted to understand in one of the previous answers, you said that with CAPEX IRR will be upwards of 20%, am I right in hearing that ?
Management: Perfect.
Moderator: Thank you. The next question is from the line of Rakesh Roy from Omkara C apital. Please go ahead.
Rakesh Roy: Sir m y first question regarding , you have mentioned that you are doing the from 400 to 500 crore for Mittal and for FY 24, so FY25 you are targeti ng nearby 1700 crore from Mittal. You are still intact on this number sir ?
Management: You are not very audible. Can you just repeat?
Rakesh Roy: My question is sir, in last call you have mentioned you are expecting nearby 400 to 500 from Mittal Corp for F Y24 and nearby 1700 to 1800 for FY 25. So we are still intact with this number ?
Management: Yes, you are talking of the revenue model right ?
Rakesh Roy: Yes.

Management: Yes, very much, we are very much in line with what we discussed .
Rakesh Roy: So, trying to understand in Mittal Corp generally we are making 800 crore or we are doing some different also sir there in Mittal Corp?
Management: We are in the process of , we have acquir

ed we are doing the modification and upgradation in the plant , we are doing some EMT stainless steel TMT bars, we are doing some rolling for the for the company who are the defense suppliers like we are doing some kind of job work for them right now because this is something which has been going for during the time of the RP process . The time to come yes company will enhance it's more value and more value in more specialty alloy and stainless steel and we are also thinking in to add the downs tream in the Mittal Corp like the wires and the bright bars and all these are also , so we'll see that we have to be one of the most sustainable and the most value added business in the terms of the stainless steel .
Rakesh Roy: Understood. Sir my next quest ion regarding for Q1 our volume increase overall, but sir when we see realization is d own, year-on-year basis or Q -on-Q basis , why should any reason is?
Management: Every steel company what is the reason , every company realization is coming down.
Rakesh Roy: Yes, sir , but compared to other players our realiz ation like let’s discuss on the 10% but our company is just need a flat any reason ?
Management: Its not about , I don't see because the price and the re alization we have to be governed by the market we can only cover the , we can only improve on the margins by our efficiency of the plant and the marketing strategy. So, the overall the global market has come down , over all the prices corrections has taken place . So, this is one of the reason where we are also, we are also seeing this kind of .
Rakesh Roy: Or sir we are seeing more correction in coming fourth quarter sir?
Management: See this is bottom out, if you see overall the things are now started getting better next year is election year a lot of development is going to happen and after this monsoon which we see that in next month , one and a half month situation will resume and the demand will start coming up . Actually don't see now the major corre ctions like we are more concerned on the margin side and further advantage what we are seeing is on the raw material side as well.
Rakesh Roy: Sir next question is regarding your aluminum foil business , sir still we are , in Q1 how much export from this one aluminum foil ?
Management: Almost 65 % to 70% of the product what we are manufacturing we are exporting .
Rakesh Roy: Okay. And sir any plan to add another like a currency we have so me 40,000, any plan in the near future to add more capacity ?

Management: Right now, we are not adding any foil capacity, but we are working , we have already developed a battery foil for the E V batteries and all , because the plant when we took we took with the compliance of the EV battery foil . The market for the bat tery in the country is going to spike from 25 , 26 onwards . We are all prepared and with a very minimalistic CAPEX we can start developing and manufacturing the battery foil .
Rakesh Roy: Okay. So, is your foil under development phase or we have already deve loped ?
Management: It is already developed because it's one of the best company in the world and we are the biggest collaborate in developing battery foil. Machine supplier what we have the technology tie up and all is all battery compliant. We are enhancing the value later on , once we see the battery manufacturing start in the country .
Rakesh Roy: And still you are looking for only domestic market or expert export market both sir?

Management: At present, so, we want to start with the domestic market and later on we will be penetrating both in the domestic and the international because we don't want to do anything which is completely based on one market. And since we are very new company in the battery , in the aluminium foil we established the pl ant and now it is a time for us to add value with the future thoughts the futu

re markets .
Rakesh Roy: Sir any other company in India who are making same line of business EV foil ?
Management: No, not to my knowledge, but Hindalco is also now thinking foil what we are manufacturing Hindalco is not doing that. Our is very precision foil but I was reading an article where I understand that they are also right now working on the battery foil but battery foil is going to be a big market.
Rakesh Roy: So sir this EV foil it comes under 40,000 , they have separate capacity?
Management: No, it is a part of the same installed capacity .
Rakesh Roy: So part of this sir?
Management: Yes.
Moderator: Thank you. The next question is fro m the line of Nirvana Laha from Nirvana Capital. Please go ahead.
Nirvana Laha: In slide number #15 in your presentation, you have said that around 508 crores of CAPEX is pending for the CRM , the cold rolling mill. So this is an addition to the 717 crore which is pending for the other capacit y?
Management: Yes.

Nirvana Laha: Okay, so is there anything else apart from this 507 also which is in the works or which is pending , because I'm just trying to make sense of how much CAPEX from what you've already ann ounced before this new CAPEX. How much is spending so it's 717 plus 508. Is there anything else also?
Management: So, if you see the Ramsarup slide, which is one slide earlier there is some amount pending there also. So, we've already incurred about 193 crores there so out of the 747. So 448 is towards our company which is Shyam Metalics , that additional is also pending. And we've also done an acquisition of this company Mittal Corp , so towards that whatever we need to pay the acquisition price that is also finding .
Nirvana Laha: Okay, how much does that value ?
Management: 351 crores is the acquisition price plus we may be spending around 75 to 100 crores modification and all .
Nirvana Laha: Okay, so this entire all these items put together around 2000 crores do we expect to incur that in this financial year itself?
Management: Yes.
Nirvana Laha: The entire amount right. Okay and overall, from a debt position for the financial year end FY 24 what kind of debt to equity metric are we looking at , I'm sure there must be a capital structure target. So can you tell us about that , because there's a lot of CAPEX happening ?
Management: So, if you see the debt equity today is about 0.08. We don't see it going upwards of that because we have about +1300 crores in terms of treasury and we are going to make some money this year also. So, put forward to that we are no t going to take debt to implemen t the CAPEX . So, the debt equity is going to remain the same or it will be better than that.
Nirvana Laha: Okay, better than the current debt equity position ?
Management: Yes. So, it could be lower but not higher .
Nirvana Laha: Okay. And overall with your current CAPEX plus the new CAPEX plan am I right in saying that you will try to deploy around 3000 to 3500 crores of CAPEX this year or is that number too high?
Management: No. So, what we have projected we are going to deploy like that only . It. may be a 50 crore or an 80 crore plus minus not the numbers that you are thinking .
Nirvana Laha: Okay because for the new CAPEX if I heard right in answer to an earlier participant you said that around 2000 crores was going to be spent and all this around 2000 crores is already pending?
Management: The 2000 crores includes for the pending CAPEX also.

Nirvana Laha: Okay . So, total CAPEX for FY 24 you envisage is around 2000 crores am I right?
Management: Yes, total CAPEX cost
Moderator: Thank you. The ne xt question is from the line of Jeme Alison , an Individual Investor . Please go ahead.
Jeme Alison: Thanks for the opportunity again . Could yo

u just guide us on the additional , the CAPEX that is
yet to be implemented from what was announced earlier, we have about 1.45 million all in all between ductile pipes, sponge iron and blast furnace , etc. . So, if you can just give some rough timeline on these, when these will be coming onl ine?

Management: So, basically if you look at a blast furnace of six lakh tonnes , we are expected it to be commissioned by December this year. Along with that, we will have the coke oven plant which is of 0.45 million tonnes so, that should be commissioned either in November or along with the blast furnace in December. So, this is about 1 million tonne already . 6 lakh plus 4, 50,000 and then we have the ductile iron pipe which is pending which is a two lakh plant that is expected in September 25.

Moderator: Thank you. As there are no further question s. I would now hand the conference over to Mr. Nachiket from Orient Capital foreclosing.

Nachiket Kale: Thanks to all for sparing their time and answering all their queries . Orient C apital is the investor relations advisor to Shyam Metalics . For any queries please feel free to get in touch with us. Thank you everyone.

Management: Thank you everyone.

Modera tor: On behalf of Shyam Metalics and Energy Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: Feb 2024

SMEL/SE/2023-24/100 February 07, 2024

The Secretary,
Listing Department, BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai 400 001
Maharashtra, India
Scrip Code: 543299 The Manager – Listing Department
National Stock Exchange of India
Limited
“Exchange Plaza”, 5th Floor, Plot No. C/1,
G-Block, Bandra-Kurla Complex, Bandra
(East), Mumbai 400 051, Maharashtra,
India
Symbol: SHYAMMETL

Dear Sir/Madam,

Sub: Transcript of the conference call for Audited (Standalone and Consolidated) Financial Results for the Third Quarter and Nine Months Ended 31st December, 2023

Pursuant to the Regulation 30 read with Schedule III of SEBI (LODR) Regulations, 2015, we forward herewith the transcript of the conference call with investors and analysts held on Wednesday, 31st January, 2024 for the Un-audited (Standalone and Consolidated) financial result of the company for the third quarter and nine months ended 31st December, 2023.

This is for your information and record.

Thanking You,

For Shyam Metalics and Energy Limited

Birendra Kumar Jain
Company Secretary
Membership No. A8305
BIRENDRA
KUMAR JAINDigitally signed by
BIRENDRA KUMAR JAIN Date: 2024.02.07 11:14:38 +05'30'

“Shyam Metalics and Energy Limited
Q3 and 9-M FY24 Earnings Conference Call”
January 31, 2024

MANAGEMENT : MR. BRIJ BHUSHAN AGARWAL – VICE CHAIRMAN AND MANAGING DIRECTOR – SHYAM METALICS AND ENERGY LIMITED
MR. PANKAJ HARLALKA – INVESTOR RELATIONS – SHYAM METALICS AND ENERGY LIMITED
MR. DEEPAK AGARWAL – DIRECTOR, FINANCE AND CHIEF FINANCIAL OFFICER– SHYAM METALICS AND ENERGY LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Shyam Metalics and Energy Limited Q3 and

9 Month FY24 Earnings Conference Call hosted by Orient Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pankaj Harlalka from Shyam Metalics. Thank you and over to you, sir.
Pankaj Harlalka: Good afternoon, everyone, and thank you for joining the conference call to discuss Shyam Metalics Q3 and 9-Month FY24 Results and Financial Performance. Our results and detailed investor presentation along with the safe harbor statement has been uploaded on the exchanges, as well as on our company website. I hope everyone has had a chance to go through it.
To discuss the results today from the management, we have with us our Vice Chairman and Managing Director, Mr. Brij Bhushan Agarwal, and our Director of Finance and CFO, Mr. Deepak Agarwal. They will take you through the results, post which we will open the forum for Q&A session.
I now hand over the call to Brij Bhushanji for his opening remarks. Thank you.
Brij Bhushan Agarwal: Thank you, Pankaj. Good morning, good afternoon, everybody. Jai Shri Ram and wish you all a very Happy New Year.
I would like to thank you for joining this call to discuss about the financials of your company, Shyam Metalics and Energy Limited, Third Quarter FY24. We reported a decent good performance in Q3, despite industry challenges. This was possible due to the increase in the volume, prudent product mix, softening of energy cost, unwavering focus on the cost, which resulted in impressive growth in the EBITDA number and PAT.
Our EBITDA and PAT both registered a remarkable growth of 83% and 94% respectively on year-on-year basis. In line with the SEBI requirement of the minimum public holding and our commitment to the financial strength and the compliance, we successfully completed the QIP in January 2024, which was a part of our fundraising program, which was decided by the board in Q1 FY24 and we raised INR1,385 crores from 38 qualified institutional buyers at an issue price of INR576 per equity share. The fund raised has been used to pay off working capital loans and we are now a net cash positive company.
We appreciate the trust and confidence shown by our institutions and investors. We are aggressively expanding our portfolio and we are pleased to announce our successful completion of acquisition, Mittal Corp at a consideration of INR351 crores in October 2024. This development marks our foray, into the stainless steel segment, positioning ourselves as a comprehensive solutions provider for stainless steel requirements catering the diverse industry.

Our venture into the stainless steel adds a good value to our company, as we all know that we are the specialty alloy manufacturer and more than 85% of the ingredient of stainless steel is going to be the forward integration and the backward integration to our existing portfolio. The expansion also represents a significant step in diversification approach within the metal industry.
We have successfully streamlined the plant operation and achieved a capacity utilization of around 35% - 40% in the first three months of its inception after the huge modification and the redo of the engineering and stabilizing the project.
With this, we are now a conglomerate with our presence in the carbon steel, stainless steel, aluminium foil, specialty alloy and energy going forward. Each division shall be contributing meaningfully to both

our revenues and path.
To strengthen our board composition, we are very happy to announce the appointment of Mr. Sheetij Agarwal as a Whole Time Director of the company. Sheetij currently overlooks and spearhead strategy and the business development at Shyam Metalics and manage aluminium businesses in West Bengal.
His expertise lies in the market intelligence, evaluating growth opportunity, capital investment as well as the governance with consulting the best of the advisors to strengthen the company governance and look forward. Before joining into the business development he has a stint in the ETF analyst at the Brown Brothers Harriman, USA Boston.
On behalf of Shyam Metallics I extend a very warm welcome to him. We expect a huge exploration opportunity in the metal space to obtain synergy with our manufacturing facilities. This will enable us to keep our operating cost under control.
We remain extremely confident of financing the upcoming capex requirement largely through the internal accruals and retaining the strong credit rating. The entire metal industry is evolving

and we are positioning to thrive in the dynamic landscape. We remain committed to delivering the values, innovation and sustainable growth.
Now I can put a call to Mr. Deepak Agarwal, Executive Director Finance to take up our financial performance of the quarter under review and for the 9 months on the current financial years. Thank you. Thank you so much.
Deepak Agarwal: Thank you sir. A very good afternoon to all the participants and thank you for joining us on the call. I will give a quick review of the reported consolidated financials for the quarter under review and for the 9 months.
On a consolidated basis, the company for quarter 3 of the financial year 2024 reported a revenue of INR3,315 crores with a growth of 13.5% over the last year of quarter 3. The volume growth in product has led to the growth in spite of decrease in the price across all product lines. As a result, our EBITDA for quarter 3 of the current financial year on a

consolidated basis which reached at INR407 crores which is increase of 83% over the last year of quarter 3.
Just to drive home the point, a decrease in the other expenses mainly attributed greater contribution of our captive power energy which has at 83% of our total power consumed along with our lower energy cost and higher volume have led to a better EBITDA. Simultaneously, there was a decline of 1.5% to 4% across all product with only pellets and stainless only showing some improvement in quarter 3 as far as realization is concerned in comparison with the previous quarter. Now I will quick review the 9 month financials.
For the 9 month financial of the current year, we reported a revenue of INR9,589 crores which is a growth of 3.9% over the last 9 year performance. In terms of revenue mix, the higher value added segment accounted for a 47.8% of 9 month of the current financial year revenue as against 45.5% in 9 month of the last financial year. For 9 month of the current financial year, we reported an operating EBITDA of INR1,128 crores and increase of 5.2% over the last 9 months. In 9 month of the last financial year, we reported an EBITDA margin of 11.6% and we achieved EBITDA margin of 11.8% in the 9 month of the current financial year.
The PAT has been considered after deferred tax charge which has arisen out of credit in quarter 2 of the current financial year which will for the future benefit of tax on account of merger of Mittal Corp Ltd. The era of high energy cost seems to be now behind us and going forward we shall be reporting a normal profits and we have commenced the revenue of our stainless steel business which has contributed to 5.2% to our total revenue mix for the quarter already. We shall see this mix improving as we achieve the higher production efficiency and also incr

ease in volume as well.
We are focusing on improving the product mix, operational efficiency, cost optimization to mainly healthy margin. Our strategy has always been to incur a capital expenditure in a smaller doses or in a peaceful manner to ensure that the balance sheet will never stretch. At all point of time we closely monitor our liquidity, solvency and capital efficiency ratio.
As far as our capex plan which is in course and we have already invested till 9 months since from our listing we incurred a capex of INR4,334 crores in the last 3 years against the total capex announce of nearly INR9,000 crores and have generated a cash since from the last 3 years an amount of INR4,124.24 crores through operating cash flow till financial year 2023. We have raised INR 2,042 crores through our equity in our company. The latest being INR1,385 crores raised through QIP in January 2024.
We had been very good interest and participation from the institutional investors both in India and abroad. Currently our company is in net cash position of INR1,209 crores through the money coming in through our QIP process. I would also like to assure you that the company sustains a healthy financial risk profile despite pursuing the capital expenditure plan for the remaining INR4,332 crores over the next 3 years added by the internal cash generation and sufficient liquidity surpluses.

Apart from the INR1,327 crores already spent till December 2023, for the remaining project a further spend of INR450 crores is expected in the current quarter and we shall further spend INR2,000 crores in the financial year 2024-'25 and INR1,800 crores we are projecting to be incurred in the financial year '25-'26 and the remaining would be incurred in the early 2027 to complete our announced capex program till date.

As far as our energy portfolio, we are currently at 357 megawatt and further as a part of our expansion we will enhance our energy capacity by 240 megawatt taking out to total capacity of nearly 600 megawatt, which would be achieved through our WHRB which means the Waste Heat Recovery Boiler and AFBC route.

This will also help to reduce our power cost and improve our margin going ahead.

Additionally, in our first step towards reducing our carbon footprint, we are in the process of adding 100 megawatt solar capacity.

With this, our total renewable portfolio would be 109 megawatt post expenses. We look forward to maintaining this positive momentum and delivering our continuous success in the upcoming quarter.

With this, I now open the forum for question-and-answer. Thank you. Thank you to everyone.

Moderator: Thank you very much, sir. We will now begin the question and answer session. The first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: Yes, hi. Good afternoon, everyone, and thanks for the opportunity. I have a couple of questions. The first one is on the stainless steel. Pretty impressive plans you have outlined in slide number 11. I just wanted to understand where we are in this process because, you know, the equipment that we are considering, there is, I think, hot melt capacity also planned.

So I just wanted to get an idea where we are getting this equipment from. And since we will be manufacturing by sponge iron route, so have we done any testing where we are? I mean, on that front. And also the potential of this particular segment, stainless steel segment that you see in the future. That is the first question.

The second question is essentially now that QIP is over and do we see net debt peaking out in December? And henceforth, we will see that, you know, we will be in a net cash position or thereabout. So these are the two questions I have.

Brij Bhushan Agarwal: Hi, very, very good afternoon, Pankaj -- Amit. See, we all understand that, you know, the future metal, potential

stainless steel has a very great future. And our going into the stainless steel business was, number one, we need to add value to our existing integration by utilizing our specialty alloy, iron. And then we have our captive power so that we process all the raw material within our integrated plant and do a finishing line in Indore.

We just have acquired Mittal Corp. Right now we are operating at around 35%-40%, which I have already stated. It is a Danielle plant, which is Danielle is one of the world's highest level of top three conglomerates in the terms of technology and machine supply. Very well

established plant in Indore. We are also adding a solar facility in Indore to create the value of green into the stainless steel.

Number two, we are also planning to do something in the downstream, like since we will be making a wire or we want to go to end-to-end to a bright bar to the stainless steel wire, we have the project for that. Once we decide everything internally with the proper, prudent evaluation, we will share on that aspect also. And presently we are, there was an SMS shop in Indore, which we have refurbished at the world class time commitment.

We are trying to -- we have almost 60%, we have regularized everything. Another 30% will take another two, three months to properly re-regularize all the process and all. So when I am saying that we are today working at around 35%-40% down the line, we will be doing almost, close to somewhere around 75%-80% by the coming year.

And we will be also adding a lot of value. So this is completely going to be a supply chain, from the ore to metal. Like we always say that Shyam Metalic is an ore to metal company.

And with our captive power plants, capitalizing on the benefit of the cost on the logistic side, where we are making the iron, we are making a specialty alloy.

In the time to come, we will be adding a wonderful value to this stainless steel division. And none of the plant in today's time has this kind of a value chain from ore to stainless steel at presently. And in the long product segment, there is a lot of potential internationally. There are a lot of demands for the specialty wires, specialty wire rods.

And India being today on the plus, China plus sector side, the advantage, we are seeing a lot of good vibes coming out from the international market, where we are seeing a lot of new inquiries, a lot of new engagement with the new customers, which we are trying to develop.

Apart from that, we are also doing some kind of a steel rolling in the defence side, like we are doing some kind of a job work for a very big defence company.

One of the largest defence conglomerate in the country. So they are also buying. And we expect that in the time to come, there will be a lot of innovation, value addition in Mittal Corp.

And what was your number two question? I'm skipping it. Can you just...

Pankaj Harlalka: Sir, I'm answering that question. Number two was on net debt. So basically, when you look at

our September number, so we were at a net debt of INR246 crores. And in terms of numbers internally, our net debt in December was INR235 crores. 8th of January, we did our QIP. So after that, we are a net cash company by INR1,209 crores today. I hope that answers, Amit ji.
Amit Dixit: Yes, that answers it very elaborately. I thank you and all the best.
Brij Bhushan Agarwal: And see, one thing we have to understand, like, now we are not a new company. It is almost more than 18 years old company. And this last 18 years, we are company, like we are all the shareholders. I know we are in the investor's call. Whatever we have promised, if you see, pre-IPO, whatever we discussed, we have delivered more than that. Whatever our business projection, like we want to make Shyam Metalics a different value.

Where we see that, in the time to come, we are not only dependent on one flat product or, you one product where if there is any change in the scenario, in the coking coal or any kind of geopolitical changes, the institution should not suffer.
So if you see, we are marching towards a very, very extremely sustainable value in the complete system management where we are making a very, very specialized product. We are focusing into B2C market. And we are increasing, see, the ramping on the long product side. If you see, in last one year, it is an enormous increase, in the tune of around more than 80%. So we are looking at a very, very sustainable long value and making sure that, we should be least affected in the time to come from any kind of changes in the geopolitical situation. Thank you.
Moderator: Thank you. We'll take the next question from the line of Nirav Shah from GeeCee Holdings. Please go ahead.
Nirav Shah: Good afternoon, sir. Thanks for the opportunity and congratulations on a strong set of numbers. As mentioned, it's heartening to see that the improvement has come from volumes and cost control rather than price improvements. So that's a positive answer. I still have a few questions.
So first question is on our costing for fourth quarter. I mean, we have seen coal correcting, even the imported coal prices correcting the South African grade and the Australian grade. So how much of cost saving can we expect on that front in the coming quarter, in this quarter, fourth quarter?
Brij Bhushan Agarwal: You are correct, Neeraj. There is a reduction in the coal prices. The availability has improved. So we will see that, the inventory level is also going to be much better because the availability of coal from the ministry side is extremely very smooth. Presently, I would say that there are some old carryover, the old stocks, inventories, and majorly, when we do any coal planning, it is always on the quarterly basis because you are buying the coal from the auction, you have linkages, and you do a proper planning from the logistic side and all.
It is going to be on the positive side. It would be difficult for me right now to answer anything specific. But we will see the real changes in the coal prices from the first quarter of the next year. But definitely, in comparison with the last quarter, we will see that the price, the cost has substantially, there will be some changes here.
Nirav Shah: Got it. Got it.
Brij Bhushan Agarwal: Thank you.
Nirav Shah: Yes. So second question is, I mean, once the current round of capex is over and we have value-added segments in the non-steel space like aluminium and stainless steel, so in terms of EBITDA contribution, how big can these segments be once the entire capex plan is completed, which can also reduce the volatility that we see from the steel products?
Brij Bhushan Agarwal: 100%. You are right. Like in aluminium, in our new capex, we are planning for a recycling green aluminium foil plant where we will be making our own, foil stock, and which will help

us to, take the extreme incredible advantage of the new products once we have a metallurgy in the control. We can create a different kind of metallurgy and get into a more niche segment. Number two, we will find a lot of advantage on the different product make, the wastages, like once you are able to control your raw material, you can plan your foil stock sizes according to the requirement of the demand and the market. So there will be good changes. And this new capex, what we are talking right now in the aluminium backward integration, this is just a very recently announced capex on our total outlay of around INR9,900 crores.
So but long term, definitely it is going to add an extremely great value to the aluminium business, like when we are doing the lithium battery foil, the metallurgy of the li

thium battery
foil is completely different. And once the metallurgy is within our grip, in our foray, then, we can create a different kind of metallurgy for different kind of lithium battery foil.
Like we have already discussed in the past that we have done a trial, and we have also signed an NDA with the most, credible battery manufacturer in the country, where our team is working to establish the market and join business collaboration with them. So in the time to come, we will see things are going to be extremely different.
Nirav Shah: Got it. So just one clarification. So just one clarification, if you may permit me to ask. So the capex number for 24 and 25 is how much you mentioned? I just missed those numbers.
Brij Bhushan Agarwal: So for 24-25, I think, you know, we have shared that we will be doing the total capex of around INR9,900 crores since IPO. And around INR4,300 crores has already been capitalized in last two years from the internal accruals. So this balance of close to around INR5,500 crores is going to come in next two to three years.
Nirav Shah: You mentioned some numbers for 25 and 26.
Deepak Agarwal: Yes, yes. Out of INR5,000 crores, we will be incurring the capex INR377 crores in the fourth quarter, INR2,000 crores we will be incurring in 24-25, INR1,800 crores we will be incurring in 25-26, and balance we will be incurring in 26-27.
Nirav Shah: Great. Thanks a lot, sir. That's from my side and wish you all the best.
Moderator: Thank you. Participants who wish to ask questions, may please press star and 1 on their touch-tone phone. The next question is from the line of Rakesh Roy from Omkara Capital. Please go ahead.
Rakesh Roy: Hi, sir. My first question is regarding, sir, your Mittal Corp. So in the last call, you mentioned that for FY24, you are targeting nearby 400 and for next year, it is nearby 1,800. Still, we are intact with this number?
Brij Bhushan Agarwal: Next year, we have shared that we will be doing revenue of between INR1,500 crores to INR1,800 crores. We are intact with that, yes.

Rakesh Roy: Okay. I say, any guidelines for volume number for Mittal Corp for next year or for this year also, for Q4?
Brij Bhushan Agarwal: Q4 has been a trial period, you know. I think we have already stabilized the plan and we are doing our innovation on the different product mix and all. So this is just a trial number on the volume side, the trials, the development of the project and products, both sides. But coming year, yes, we will be almost doing a revenue of around INR1,500 crores from Mittal Corp.
Rakesh Roy: Mittal Corp, sir. And sir, how much is the utilization level for FY25 or FY26 also? We are targeting, currently we are nearby 30 to 35 to 40 percent.
Brij Bhushan Agarwal: It should be around, it should be around 75% to 80%.
Rakesh Roy: For FY25?
Brij Bhushan Agarwal: Yes.
Rakesh Roy: Sir, just you mentioned, you are doing some rolling work for defence side also. So what we are doing for, currently for Mittal Corp?
Brij Bhushan Agarwal: This is some kind of a defence equipment, you know, the rolling, which the company creates, you know, they do into the defence side and all. So it's something, you know, some kind of a specialization in steel where they do a rolling in Mittal Corp.
Rakesh Roy: Okay. So still we are doing or, still we are doing for defence side?
Brij Bhushan Agarwal: Yes, still we are doing, yes.
Rakesh Roy: And how much we are targeting for, how much we are targeting in near future to defence side will grow in so and so percentage of total Mittal Corp?
Brij Bhushan Agarwal: No, that I will not be able to share right now because we are still under the development and the, you know, the business strategy side. Once we are done with this, we will discuss.
Rakesh Roy: Okay, sir. My next question is regarding, sir, recently NMDC high prices. Same w

ay we are
increasing any prices high, we have taken price hike in near future, sorry, in January?
Brij Bhushan Agarwal: Yes, yes. The prices are, the prices are getting stabilized. There has definitely, there has to be a pass on because NMDC dominates the iron ore price. So, but it takes time. Once they increase the price, it takes almost a month or two months to stabilize on the price side because a lot of old inventory carryover is also there. And with the demand and with the market condition, it gets regularized.
Rakesh Roy: Okay, sir. Right, sir. My last question is, sir, any plan for dilute promoters in near future?
Brij Bhushan Agarwal: Not at all. Not at all. No, no, no.
Rakesh Roy: Okay, sir. Thank you, sir.

Moderator: Thank you. The next question is from the line of Dhyey from Niveshaay Investment Advisors.
Please go ahead. Dhyey, I have unmuted your line. Kindly proceed.
Dhyey: Yes, congratulations on the good set of numbers, sir. I had this question regarding the margins which we had in this quarter. So, considering that the iron ore prices and the end product prices remain, you know, stabilized in the future, how much margin improvement can we see or what are the sustainable margins for the business?
Brij Bhushan Agarwal: See, today, if you see, we are at the most bottom pricing from the product side. And seeing the growth in the economy, we are seeing there is a completely headroom on the pricing side, on the growth side, on the demand side. Definitely, it is going to be on the positive side because, you know, what our nation is doing is something very miraculous.
And in the time to come, with the growth of the GDP, you know, what we are targeting, if we talk very conservatively also, it is around 8% to 9% conservative side. The demand is increasing and today we are only producing, you know, around 130 million ton of steel. So, I expect that, you know, there will be enough headroom and we will see good numbers in the time to come from the pricing side and from the results side.
Dhyey: So, sir, is it possible for you to quantify a number for the margins?
Brij Bhushan Agarwal: Not possible presently.
Dhyey: Okay. Also, sir, we talked about the volumes, increment and cost savings measures. I also wanted to understand the operational efficiency which we are going to attain because of the iron mines if we get the lease?
Brij Bhushan Agarwal: Can you just repeat your question again, please?
Dhyey: So, I wanted to understand the operating efficiency which the business could get if we get the iron ore mines, you know, which is, I guess, under proceedings, I guess.
Brij Bhushan Agarwal: It is not immediately it is going to affect the company because, you know, we have bidded and we are qualified as a bidder. And this mine, we have a long period of around 10 years what we have been given by the government. So, once we get the complete, complete due diligence and reports and business plan, then we will be able to share from which year we can see the iron ore hitting the plant.
But presently, I don't think we will be able to share because we don't see the captive mines, iron ore getting into a system in next two to three years.
Dhyey: Okay. Correct, sir. Also, sir, I wanted to understand the psyche behind the DI plant which we are setting up.
So, on the DI plant side, I believe that, you know, the Jal Jeevan mission which the government is carrying right now has almost peaked out around 70% is almost reached and our

plant is going to come in FY25 or later. So, how are we seeing the demand and which markets are we trying to cater to?
Brij Bhushan Agarwal: We have taken an acquisition of Ram Sarup Industries. The DI plant what we were planning to set up in Jamuria, we have shifted to Ram Sarup. So, we expect the DI

plant should come in
year 26.
So, the demand is very good and strategically we have lot of advantage. And the capacity what we were planning to build up in our existing premises, we are almost doubling the capacity because of the feasibility and more sustainability in that plant.
Dhyey: Correct, sir. Also, sir, I wanted to understand how… So, on the export side, we export just the aluminium foil, right? We do not export the carbon steel products.
Brij Bhushan Agarwal: We do export.
Dhyey: So, what is the export percentage?
Brij Bhushan Agarwal: We do export iron. We do export sponge iron. We do export speciality alloy. We do export foil. So, these are the three major products we are exporting.
Dhyey: What would be the percentage of export, sir?
Deepak Agarwal: Just 10% out of our total revenue. The export is contributing almost 10%, the total revenue.
Dhyey: Okay. Also, sir, just the last question if you would allow me. How has the distribution network of the company grown in the past few quarters?
Brij Bhushan Agarwal: Almost at a CAGR of more than 30%.
Dhyey: Okay. Thanks a lot, sir. It was very helpful.
Moderator: Thank you. The next question is from the line of Viraj Shah from Arihant Capital. Please go ahead.
Viraj Shah: Thank you for the opportunity, sir, and congratulations on a great set of results. I just had a couple of questions. Firstly, I wanted some clarification on the aluminium plant that we have.

So, please correct me if I am wrong, but we have a 40,000 ton capacity. Our plans over here include to also make foil for the battery. So, can you just break down what exactly our plan is over here with the 40,000 tons and what is the current utilization for it?
Brij Bhushan Agarwal: See, this 40,000 tons is the capacity of an aluminium foil, you are correct. We are making the extremely very thinner gauge foil, which is of 5, 5.5, 6 micron, which is a very high value, and we export more than 60% of this category foil what we produce. We are exporting to the rest of the countries in Europe and America, and they utilize this foil in their defence industry, in the ammunition, the explosives and all.

We have also, this plant was from day one, is a battery-compliant plant, and there was some auxiliary equipment to be addressed, which we have already addressed, and we have taken the trial of that material. It has been almost 98% through, which we are right now, I have already discussed that we are right now talking in a business collaboration for a, with the best of the, EV battery manufacturers, which is coming up in India. We have already signed the NDA, which we expect that their plant will be on stream by '26, and we will be playing a very dominant role in the business collaboration for their EV batteries.
We have also developed a house foil as well in our present business, which is again a B2C, and with the demand of all these, Zomato and all these, packed food and all, we have also developed a special foil with a different kind of an organic lamination, where we are trying to create a brand. We just recently launched it, and we see that in the time to come, we will have good surprises in the terms of, the special product in this, in this, yes.
Viraj Shah: Understood. So, sir, what was the utilization this quarter for this plant?
Brij Bhushan Agarwal: Around 70%.
Viraj Shah: 70%, and we export 60% of our production. Whatever we make, we export 60%.
Brij Bhushan Agarwal: Correct. Correct.
Viraj Shah: So, from this 40,000 tons, going ahead, in FY'25 and '26, how much do we aim to divide between our battery foil and the house foil that you've mentioned over here?
Brij Bhushan Agarwal: Very difficult presently, till we collaborate 1000% with the, the business partner, with their perfect business plan, but basically what we are looking like, we have to start with 20%, 25%, and we have to ramp up to around 60% or 70%. But it's very difficult to answer this question right now. But on our visionary business plan, this is what we are targeting.
Viraj Shah: Understood. And, sir, we are not planning any further expansion in aluminium foil as of now, right? It's just this 40,000 what we have.
Brij Bhushan Agarwal: No, no. We will be definitely doing, we are working on that, because we are seeing the demand is going to go up. But it's too early for me because a lot of diligence is happening. Once we are completely in sync with our full business plan, we'll discuss. But it's not possible for me right now to say, because it's under the planning stage.
Viraj Shah: Understood. And just to reiterate the capex part, I think I missed something over here. You mentioned on the capex part, we have INR5,100 crores worth of capex left. Q4 will be close to INR370 crores or FY'25 will be INR2,000. So FY'26 will be INR1,800 crores. And remainder INR1,000 crores in FY'27. Is that right?
Brij Bhushan Agarwal: Almost, yes.
Viraj Shah: Okay, understood. And, sir, in terms of guidance, FY'25 and FY'26 are volume and top-line guidance. Could you please reiterate that?

Brij Bhushan Agarwal: See, we expect to grow, since we will be commissioning in the middle of the coming year, a lot of the plant, what we have done, the capex. The major commissioning is going to happen in the middle of coming year. Like, we are going with a color- coated plant, which will be commissioned in the middle of this year. We are commissioning our blast furnace, which will be in this year.
So this year, we expect that there should be a growth of around 15%, 12% to 15% coming yet. And later on, we will see a major jump happening, which will be another around 20%. So we expect that '26, March, is going to be a very, very fantastic value, what we will be seeing in the company.
Viraj Shah: So, I am sorry, 12% to 15% is for FY'25, right?
Brij Bhushan Agarwal: Correct, correct.
Viraj Shah: Okay, sir. And in terms of margin guidance, is there anything that you would like to highlight?

Brij Bhushan Agarwal: Not presently.
Viraj Shah: Okay. I will get back in the queue if I have any further questions. Thank you. All the best.
Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Sumeet Khaitan from Orient Capital for closing comments. Over to you.
Sumeet Khaitan: Thank you everyone for connecting on the call today. I would also like to thank management for sparing that, answering all the queries today. We are Orient Capital, investor relation advisors to Shyam Metalics and Energy Limited. For any queries, please feel free to reach out to us. Thank you everyone and have a nice day.
Moderator: Thank you, members of the management.
Brij Bhushan Agarwal: Thank you. God bless. Thank you.
Deepak Agarwal: Thank you everyone.
Moderator: Ladies and gentlemen, on behalf of Shyam Metalics and Energy Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

SMEL/SE/202 4-25/44 August 05, 202 4

The Secretary,
Listing Department, BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai 400 001
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Scrip Code: 543299 The Manager – Listing Department
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“Exchange Plaza”, 5th Floor, Plot No. C/1,
G-Block, Bandra -Kurla Complex, Bandra
(East), Mumbai 400 051, Maharashtra,
India
Symbol: SHYAMMETL

Dear Sir/Madam,

Sub: Transcript of the conference call for Audited (Standalone and Consolidated) Financial Results for the First Quarter Ended 30th June , 202 4

Pursuant to the Regulation 30 read with Schedule III of SEBI (LODR) Regulations, 2015, we forward herewith the transcript of the conference call with investors and analysts held on Wednes day, 31st July, 202 4 for the Un-audited (Standalone and Consolidated) financial result of the company for the first quarter ended 3 0th June, 2024.

This is for your information and record.

Thanking You,

For Shyam Metalics and Energy Limited

Birendra Kumar Jain
Company Secretary
Membership No. A8305
BIRENDRA
KUMAR JAINDigitally signed by
BIRENDRA KUMAR JAIN
Date: 2024.08.05
14:42:03 +05'30'

“Shyam Metalics and Energy Limited
Q1 FY ’2 5 Earnings Conference Call ”
July 31, 2024

MANAGEMENT : MR. BRIJ BHUSHAN AGARWAL – VICE CHAIRMAN AND MANAGING DIRECTOR – SHYAM METALICS AND ENERGY LIMITED
MR. DEEPAK AGARWAL – EXECUTIVE DIRECTOR , FINANCE AND COMPLIANCE – SHYAM METALICS AND ENERGY LIMITED
MR. PANKAJ HARLALKA – HEAD OF INVESTOR RELATIONS – SHYAM METALICS AND ENERGY LIMITED

MODERATOR : MR. SUMEET KHAITAN – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Q1 FY 2025 Earnings Conference Call of Shyam Metalics and Energy Limited hosted by Orient Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pankaj Harlalka from Shyam Metalics and Energy Limited. Thank you. And over to you, sir.

Pankaj Harlalka: Thank you , Shlok . Thank you, ladies and gentlemen for joining us in the call. I, Pankaj Harlalka, Head of Investor Relations at Shyam Metalics, wish you all a very good evening and a warm welcome to the first quarter FY 2025 post results conference call.

Before we delve into discussing the quarterly numbers, I hope you all had an opportunity to review our press release and the attendant investor presentation. Read along with the Safe Harbor statement, which are available under the investor section of our w ebsite and the same are accessible in the BSE and NSE websites.

To discuss the first quarter results, I am joined by Mr. Brij Bhushan Agarwal, Vice Chairman and Managing Director of our company, Mr. Deepak Agarwal, Executive Director, Finance and Compliance, and Mr. Sumeet Khaitan from Orient Capital. For our investor, our Investor Relations partner.

Now I would like to invite Brij Bhushan ji to provide his perspective on the performance of the first quarter of the current financial year. He will also provide his thoughts on our strength and strategies of the future. Thank you. And over to you, sir.

Brij Bhushan Agarwal: Yes. Hi. Good evening, everyone. We thank you for joining the call. We missed to conduct the last analyst meet post our March quarter result , going to be my in US for a prolonged period of for business. We should ensure that we shall have analysts call every quarter. And as we to learn from the questions raised by the knowledgeable audience.

We are pleased to have a blessing and the mentorship of Mr. C. S Verma, who has been a stalwart consented to join our board as an Independent Director. He was the ex CMD of SAIL , NMDC and the Chairman of International Coal Venture Limited. And yesterday he attended his first board meeting in our company . Despite the election being conducted this quarter , the performance of our company has been quite satisfactory, and we are reaching towards the multi metal companies with the consistent to the EBITDA perfo rmance. Let me provide you our strategy as a management and how to evaluate to enter into the new business area in our company. We are ore to metal company, and we understand some metallurgy and high capex business.

Being very disciplined in our capital allocation. We are able to navigate the adverse situation much better and with our philosophy to implement capex through the internal accrual and take bank funding only to meet our working capital requirement, we have been able to steer a steady ship over the last two decades of being in this business.

We entered the business with a marginal working marginal capital allocation, which is up to the 10% of our net worth to understand the neediness before committing a large capital to that business. The business we enter into should contribute independently to both our top -line and bottom -line, with an IRR of 18% on the capital and the business should be able to scale up to provide an EBITDA of mini mum INR500 crores for that business in next seven to eight years.

Apart from the existing business of carbon steel , Speciality alloy, we had foray into a busi

ness

of Aluminium foil and stainless steel. I must compliment my entire team here, who has been very supportive and is able to overcome all these challenges to stabilize the Aluminium foil plant in the record time and also to get the order from across the world mainly from US and Europe.

We have become the highest exporter of Aluminium foil in the country today and we have been able to develop the product fitment into numerous applications of our product, which is now given us the confidence to announce and enhance the further capacity with further capex for the metal for future. The backward integration and the forward integration will facilitate in bringing us the higher EBITDA over the next three years to five years. Similarly, we see a lot of potentials in the stainless -steel business w ith renewed focus of the government in development of the coastal infrastructure and the numerous bridges announced across the sea in the various parts of the country after the success of the Worli -Bandra Bridge.

The requirement of time tested and quality stainless steel in the construction of such a project. Our company has been able to stabilize the quality and product to this sector and our product is now well established and is being accepted by the largest EPC contractor like Ashoka Buildcon and LNG and many others.

We have a capex of INR1,160 crores spend over next three years to be increased the stainless - steel manufacturing facility through the primary route and we have our own power, our own iron and our own ferro product and special Speciality product. We see a tremendous growth in the industry and the clear visibility of the big EBITDA numbers in next five years from the division alone.

Our company has set a clear goal to move up on the value chain and product value added product offering. The contribution from the value -added product in our revenue is likely to move up to 80% of our revenue in next five years from the present contribution of more than 50% to the revenue presently.

We have always maintained a very cost effective and ensure to maintain leadership on that front along with the planned expansion with the best product and at the most competitive price. At our Odisha plant, we have implemented four railway lines with our siding, and which can enhance and overcome the movement of the material by handling more than 120 rakes in a month.

We already have also invested in 17 railway rakes and have ordered for two more under the own wagon scheme there. We get a perennial assurance for the supply and handling of the material management from the raw material to the dispatch of finish. Our power portfolio is also going to increase up to 700MW ensuring the contribution of the capital requirement, captive power requirement and shall be through our captive production and shall be in the range of around more than 85%, 90% of our energy consu mption.

With this, I would now like to hand over the floor to Mr. Deepak Agarwal, the Director of Finance and the CFO to update you the financial performance for the Q1, FY 2025. Thank you so much.

Deepak Agarwal: Thank you, sir. A very good evening to all the participants, I thank all of you for taking time out on this call to discuss the results for the first quarter of the current financial year. I will glad to share a quick review of the reported consolidated fi nancial for the first quarter under review for the current financial year ended 2025.

There has been an 8.4% revenue growth in the quarter 1 of the current financial year vice versa quarter 1 of the last financial year, we have been consistently cash positive with a net cash of INR1,338 crores in quarter one of the current financial year, as against the positive of INR1,514 crores in last quarter of the last financial year. As you all are aware that, the power is a ma

jor
ingredient in any steel industry, and we have a substantial captive power capacity and that capacity will further enhance as our MD is already speaking.

Therefore, our total power requirement, we are sourcing 82% of the total power requirement from our captive sources with a lowest cost of INR2.37 per kilowatt, which will improve our margins as well. Therefore, we are achieving, or we are maintaining our sustainable margin quarter -on-quarter basis, while average power cost, including the grid power, our total power cost is approximately INR3.12 per kilowatt. And this brings a huge delta to our EBITDA.

I would now like to draw your attention to the financials of the company on a consolidated basis. In quarter 1 of the current financial year on a consolidated basis the company reported an operating revenue of INR3,612 crores , a growth of 8.4% over a quarter of the last financial year. The sales mix constituted a high percentage of volume from Finished Steel, which accounts for 45% of the total revenue. The company has been able to book an EBITDA of INR488 crores and which is increase of 18% over the current over the quarter one of the last financial year and the EBITDA margin of the current financial year was 13.5% in order to maintain the trend in EBITDA margin, we have been judicious and cautiously on all other cost component.

There has been a significant increase in EBITDA margin across all product categories on a quarter -on-quarter basis apart from pellets . We registered a healthy growth in part-time revaluations across several products, Finished Steel, Billets and Sponge Iron.

Our profit after -tax for the quarter ended as stand at INR276 crores , which has seen an increase of 37% year -on-year basis. The PAT margin is 7.6%, which is quite sound considering the current market change and peer comparison. In Shyam Metalics Group the working capital

management is very prudent and the group focusing mainly on the selling, either on the advance or letter of credit. This is leading to our lower debtors and inventory period to the tune of 15 to 30 days and 70 to 90 days, respectively. At Shyam Metalics, we have always followed prudential capital allocation policy. We reinvest 70% of the total cash generation back into the business. We retain 20% as liquidity to maintain our liquidity and return 10% to our valued shareholder as a dividen d. The policy shall fascinate us to be a cash positive even at the peak of our cash cycle. Our hope towards the policies also ensure us with a steady other income, comprising of interest income from investments made in various government sovereign bonds and also ensuring time ly capex implementation for our company.

Our ambitious capex plan had been laid out in the investor presentation and we are well on track to execute them as per the expected timelines. We have incurred a capex cost of INR4,948 crores till first quarter of the current financial year, which accounted a more than 40% of the total capex exercise to the tune of INR10,025 crores in the last three years, out of which INR2,650 crores have been capitalized and in quarter one we have invested INR308 crores as in capital expenditure, which is incurred in ca pacity expansions, enhancing portfolio and cost efficiency. We have also procured 17 rakes under Own Your Wagon scheme from the Indian Railways. This will help us in freight cost optimization. We have commissioned operational 0.15 million tons of D RI unit and 20 mega watt of captive power plant unit in Ram Sarup Industries plant through industry plant at Kharagpur in the last quarter. We had further 12 capex line items to be announced in current financial year, comprising of Coke Oven plant with a capacity of 0.45 million tons, which light up is already been done.

The blast furnace which will be implemented in Jamuria. The heat are

expected shortly and the
commercial production expected to be start in next 45 to 60 days. The blast furnace at Kharagpur, the project expected to be commissioned in December 24. Since th e plant expected to be commissioned in September 24. DRI plant 0.23 million tons stainless steel blades of 0.13 million tons. CRI M Phase I of 0.25 million ton, cold and hot coil run have already been begin oxygen plant, battery, foil battery foil plant an d many more will come up in the upcoming year.

We look forward to maintain this positive momentum and delivering continuous success in the upcoming quarters. With this, I now open the forum for question answer session. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Dikshit from ICICI Securities. Please go ahead.

Amit Dikshit: Yes. Hi. Good afternoon, everyone and thanks for the opportunity. Congratulation for a good set of numbers and adhering to the growth plan and the momentum. I have two questions here. The first one is on the aspirations along stainless steel and aluminum. What we have seen that o ver a few quarters the plans regarding both of these segments have been quite a bit. So I just wanted to understand from a three to four year perspective that what are our plans for in stainless steel? We are currently ramping up the call for 200, 400 while our margins currently might be might be lower compared to some of our peers. But what is the ultimate target over there, that is on stainless steel? On aluminum in particular, whatever our plans on the on the downstream units,

particularly battery enclosure. So, if you could highlight that this would be great. That is my first question.

Brij Bhushan Agarwal: Hi, Amit. If we recall all my past, you know, uh, investors call conversation what we had. I was absolutely super optimistic on the business of aluminum as well as stainless steel. The acquisition of Mittal Corp was one of our strategy from the group side of entering into a stainless steel business, learning and maturing more and more to understand the bigger era in the investment o f the stainless steel business.

As you are aware of like, we have lot of strength on the ingredient used for making stainless steel. You beat iron, the captive power, the specialty alloy. So this was basically a strategy, what we had planned like getting into the business of stainless steel is not going to be a very new organic forum but it is going to be a forward and backward i ntegration in the terms of the new metal and adding the synergy of the business, going value forward and entering into a market which is growing for more than 18% to 20% year on year.

The Mittal Corp plant is more or less it is stabilized and it has been a big learning on our part to go for a bigger decision, as we have always been mentioning in our forum that we like to always

invest with a small capital and after the learning, we go for a major expansion and we only go into a business when we see the numbers are big. And we always have a opportunity to enhance and expand year on year.
So, in related to the stainless steel, I can tell you like, we have a plan, like in next three to four years, which should be close to 0.7 to 0.8 million tons of stainless steel. And we are entering into a flat product and flat product in the stainless steel is a very big market in the country, as we know the key business and the high-end utensils and the decorative material in the stainless steel, some component on the automobile in this industry, the railway in the stainless steel. So, there is lot of op portunity in the flat product. And in the time to come, after this new plant is going to be commissioned with our own integrated facility of stainless steel, raw material, billets and slab, what we are going to do

internally in our plant. It is going to enhance a lot of value as
a strategy and for our investors in our company Shyam Metalics.
In related to Aluminium, yes, now we are more or less, I would say we are 90%, 95%. We are through with our thought process, our inception of participation in the Aluminium, our focus foray into the special grade of foil and the easy battery foil. It is all onstream. Today our utilization is more than 80, 85% in the Aluminium. And we are – we should be very proud to know that more than 55% we are exporting to the best of the country. In spite of such a huge geopolitical issues and other issues, we are able to maintain a decent margin and we are particularly pretty well.
We are going to double the capacity of the foil in the Aluminium since the demand is very good, and to integrate the complete business from the supply chain side, we are setting up a foil stock plant where we will be making our own foil stock, and we will be converting that into foil. And there are other Aluminium sheets and other specialized material which is used in the automobile .

As we know that in the automobile business, the major strategy for an automobile producer is to make the vehicle lighter and aluminium being a very lighter and very persistent metal in the automobile in the EV space. This is going to add a lot of value. And we see that with this new venture the complete holistically the aluminium business will make a good change and we can see a lot of value addition and particip ation in the new era the new product of the aluminium, apart from the foil and the other item what we are doing now. Thank you.
Amit Dikshit: Thanks for a very comprehensive reply. The second question is essentially on Ram Sarup. So if I look at the capex that has been actually put on ground, the share of the -- capex that has been put by the other partners, if not in the same proportion as we h ave in the same proportion of the partnership. So, I just wanted to understand why we are ourselves putting a lot of capex upfront ending it. While the joint venture partner has, I think, invested around 40 -odd crores up till date. So, what i s the plan or thought process regarding that?
Brij Bhushan Agarwal: Deepak, can you answer this?
Pankaj Harlalka : Yes. Amitji, I think, there is some misconception. So, the entire contribution is a 60:40. So we are contributing 60% to the joint venture, and 40% is contributed by the joint venture partner for every penny spent.
Brij Bhushan Agarwal: I think we can share the data and all.
Amit Dikshit: If I look at the capex that have been spent so far, our -- the total contribution of the joint venture partner is around 50%.
Pankaj Harlalka : We are not showcasing as a 60%, 40% capex. We are showcasing the entire capex together. So the initial project, the first phase was around INR747 crores. Then we were to spend around INR625 crores in the second phase. So, whatever – till now, whatever we have spent for the Ram sarup, it's been contributed as 60% from the Shyam group and 40% from the joint venture group.
Brij Bhushan Agarwal: Okay. Maybe we can ask Amit to share his view, and you can give your complete detail of the financials what is required. But there should not be any difference maybe. Maybe some little bit of INR2 crores, INR5 crores, INR10 crores here and there. But I don't think there is any big difference.
Amit Dikshit: No, no, I'll take it up offline. No problem. Okay.
Brij Bhushan Agarwal: Yes.
Amit Dikshit: Thank you. Great. Thank you so much. Bye.
Moderator: Thank you. The next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.
Pradeep Rawat Yes. Good afternoon and thank you for the opportunity. So, I would like to know what would be the revenue and EBITDA, like peak revenue and EBITDA po

tential after the capex has been

concluded, all the capex that are planned till date, keeping the current realization as the –
realization for those revenue potential?
Brij Bhushan Agarwal : We expect that in next whatever capex which is being capitalized this year will be completely stream in operation by next year because end of this quarter, October, November, it will take couple of months to stabilize the plant and all. You see, there will be a huge revenue jump in terms of sales going on. And we expect that, you know, in next by 2026, 2027, we should be able to do a top line of around INR25,000 crores.
And if you see the sustainable EBITDA of any company like, where we have been pursuing so perennial in last three years, it's very difficult to tell you the exact number, but it will be in line with the present, you know.
Deepak Agarwal : I would also like to add about that EBITDA and revenue, if you see the past also, we are going with meet a CAGR of more than 30%, and we hope so that we will continue with this run rate in the next four to five years.
Brij Bhushan Agarwal: Now we will try to, we will try to, but our target is always more than 20%. But we should be little prudent and we are giving our best.
Pradeep Rawat : Yes, after the capex, what would be the captive power consumption from our captive source?
Deepak Agarwal : It would be around 80%.
Pradeep Rawat : So, it would be similar to current?
Deepak Agarwal : Yes.
Brij Bhushan Agarwal: So, lot of expansion is happening. You know, everywhere will be requiring powers and all and just finishing plant expansion, we are putting up an SMS will be and, you know, doubling the CRM capacity, which is going to be commissioned. So all these are in line maybe six months here and there, but everything is in line with the manifesto that we have to be more than 80% should be our captive.
Pradeep Rawat Yes. Understood. Thank you. That's all from my side.
Moderator: Thank you. The next question is from the line of Rakesh Roy from Boring AMC. Please go ahead.
Rakesh Roy Hi, sir. Yes, this is Rakesh here. My first question regarding sir, do you see any surprise decline for the coming one or two months from here onwards?
Brij Bhushan Agarwal: Rakesh, see metal industry and all, you have to see a very holistic situation for a year and basically majorly any decline in the prices of the finished product and all automatically there is a correction in the raw material prices. So, it might affect a couple of months here and there, but overall we are in line to the product, the delta of the raw material more or less. It is varying in

the similar way might be taking time for the raw material correction, but and the stock advantages and the stock disadvantage. But more or less I would say it would be in line.
Rakesh Roy Okay. So the prices remain the same sir or the same like a Q1? We can hope for a full year?
Brij Bhushan Agarwal: No, no, no. It's not because it's a monsoon time. You cannot say, because we are hitting the monsoon time and the festival is there. So always the second quarter are a bit, on the tighter side from the pricing and the supply chain management process. But p ost Diwali again, we are expecting a price which should be equal to Q1 or maybe the better one Q1.
Rakesh Roy Okay. My next question is, recently in budget, the government announced reducing the stamp duty for this one, the ferroalloy and this one. Is there any help to us?
Brij Bhushan Agarwal: Not really, actually. For the very rare minerals and lithium and nickel is one of the components it will definitely make some betterment on this from the nickel front but with the kind of business portfolio it will have a very marginal support.
Rakesh Roy: And that's how the demand scenari

o for your access bar diva in and for which geography you are more focusing currently?
Brij Bhushan Agarwal: Currently I would say it is decent and because of the monsoon side and all, the construction activity is a little slow but more or less, I would say it is not bad.
Rakesh Roy: Okay. And last question regarding the area you have you stated this year you are targeting nearby INR1,500 crores , INR1,600 crores from the Mittal Corp SS. So, we are intact on this top end guidance from SS?
Brij Bhushan Agarwal: Your question is not very clear.
Rakesh Roy: No. I guess I am saying that under this you are targeting nearby INR1 ,600 crores from SS i.e Stainless Steel for FY25?
Brij Bhushan Agarwal: Yes, because we are adding lot of downstream facilities, we are adding a bright bar facility, we

are adding a wire facility from the wire rod and we are going to the complete supply chain, end to end solution. So, the project is going on in full swing and by the end of this year, we should be able to commission the complete bright bar and the wire plant. And it will be in the line approximately what we have been discussing.
Rakesh Roy: So, you are saying bright bar and wire system?
Brij Bhushan Agarwal: Wires are there, finished wires are there. And the bright bar is there, the re-bar is there. These are all the specialized products. We are only focusing on the specialized products.
Rakesh Roy: Sir, any plan to enter into specialty for supplying to like for defense or any other for semi -skilled in near future or you are working on that?
Brij Bhushan Agarwal: No, we are already supplying to the defense company and all they are buying -- they are making some specialized products for their defense and all. But it is not directly to the defense from us,

but there are the intermediate processing company who make specialized wire, they supply to the defense and all. So, right now we are already supplying to this railways and defense companies.
Rakesh Roy: Railway and defense companies. And so, what is the utilization for Mittal Corp. in Q1?
Brij Bhushan Agarwal: It is, I think, close to 65%, 70%. Am I right, Deepak?
Deepak Agarwal : Yes.
Brij Bhushan Agarwal: Yes. Close to.
Rakesh Roy: All right sir. Thank you, sir . Thank you.
Moderator: Thank you. The next question is from the line of Nirav Shah from GeeCee Holdings. Please go ahead.
Nirav Shah : Yes. Good evening, sir. Thanks for the opportunity and congratulations on a very strong set of numbers in a tough environment. So, I have two related questions. One is sir, I mean, what was the movement in our coal costs from Q4 to Q1? And based on our inventory levels? I m ean, what is the indicative trend for Q2? And same for the iron ore, sir if that's possible?
Brij Bhushan Agarwal: We are in line, I think more or less the coal prices are very stable. I don't see this much changes. I'm talking as an overall seeing the scenario and all because the coal is available in abundance. And I don't see there is any kind of a challenge which will come up in the time to come from the coal stack. And the beauty of Shyam Metalics is we are dependent on the Indian coal and we are not depending on -- we are not very dependent on the coking coal fluctuation and the high volatility. And after our blast furnace commission, also the percentage of the coke vis -à-vis coal will be very minimum. So, this is one of a very great trend from the cost of the energy side, whether we talk of power or whether we talk of th e fuel in the terms of coal and all. So, more or less I would say it will be perennial.
Nirav Shah : But directionally, I mean, how do you see the overall COP moving for Q2? Because prices are down because of the seasonality defect as well. But on the costing front, should there be any savings in the key cost components?
Brij Bhushan

Agarwal: Yes. iron ore prices are -- have -- there have been correction in the iron ore prices and the overall I would say it will not be very big difference. But yes, there will be a marginal difference in the cost.
Nirav Shah : Got it. And sir the second question is on our capex, on our current expansion plan. How do you see the outgo for the current year and FY 2026?
Deepak Agarwal : We have incurred capex is around INR5,000 crores. We are targeting INR2,000 crores , which will be incurred in the current financial year and INR2,000 in the next financial year and balance will be in the financial year 2026 -2027.

Nirav Shah : Got it. Great, sir. Thank you very much and all the best, sir.
Moderator: Thank you. The next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.
Pradeep Rawat: Yes. Thank you for the follow -up. So, I have a question regarding our DI pipe plant. So, when would be this plant be commissioned?
Brij Bhushan Agarwal: No, this plant is going to be commissioned in FY'26 because we have shifted this plant from the existing Jamuria plant to the Ram Sarup; new acquisition, what we have done. So now we are building up a new blast furnace and all the steam will be coming up in because the cost feasibility and the synergy of that plan t is a deadly better than the existing plant. So, we are targeting to commission this in FY'26.

Pradeep Rawat: Okay. So, as we can see, many other players are also expanding in DI pipe. So would it create a risk of overcapacity by the time our plant would be running?
Brij Bhushan Agarwal: See, the demand is also increasing, and the capacity is also increasing. Today, the EBITDA margin is around INR18,000 to INR20,000 a ton. But I don't see this is a very realistic number from the point of ductile business. Our conceptualization on the business is at the level of around INR7,000 to INR8000 or maybe INR10,000 maximum. And today, if you are investing close to INR300 crores on the ductile pipe business, in addition, because we only have a blast furnace. So, if you are makin g close to 300,000 tons initially for next two years. So, we have a pretty decent ROC and IRR on the business. So, it's nothing very risk from the company point of view.
Pradeep Rawat: Okay. Understood. And with respect to DI pipe only. So, is the OPVC a potential replacement of DI pipe as said by many plastic players in the industry?
Brij Bhushan Agarwal: Well, it is going to be -- it's a new product. And lot of penetration is there, but it will also be in the market. So, the people who -- because ductile pipe has a very different feature and it's very strong, very robust and the application of ductile pipe will be there. The increasing market will be also replaced by OPVC, yes, 100%. You are correct. But the market is ver y big and lot of ductile is being now exported from India to the Western world, you beat USA, Europe and all. The ma rket overall globally is also increasing because everybody is spending, among this, money in the infrastructure across the globe.
And here we are talking from a very, very, low capacity. It's not a very big capacity. What we are adding and we are not doing the complete ductile pipe of making an investment of INR2,500 crores. For us, it is hardly a few hundred crores, so we don't see any kind of a risk. And on the balance sheet of the Shyam Metalics also, this is going to be a very, very, one of the products of the company product. So as a company, I don't see that we are going to have any kind of surprises in this project.
Pradeep Rawat: Yes. Understood. Thank you very much.
Moderator: Thank you. The next question is from the line of Rakesh Roy from Boring AMC. Please go ahead.

Rakesh Roy: Hi, sir. Again, one question sir. So j

ust your -- want your view, sir? Sir, people are talking about GFRP rebar, glass fiber reinforced polymer. So how is the market and how is the impact on SS or carbon steel rebar in near future?
Deepak Agarwal: Very under mature. I cannot comment on this. You know I'm also listening. But you know, if you make your house, would you like to make a polymer house or a steel house? You know, these are myths across the world you are seeing, you know, the things are very different everywhere. The construction is happening. I've never seen.
Rakesh Roy: Okay, okay. So it's okay. And, sir, any progress on your aluminum foil business for EV batteries?
Deepak Agarwal: We have already signed the MOU with the best of the battery manufacturers in the country, and we are expecting that they will be in full swing from FY'25-FY'26. So, we are fully geared up. Our sample has been all approved and I don't see any challenge because from day one I have been always stating that, you know, our main prime focus will be on the EV battery foil once. We see the battery plant coming up in the coun try.
Rakesh Roy: Okay. And, if I'm right, the our EV, EV battery fall capacity is near by 5000?
Deepak Agarwal: Very, very smoothly we can do 5000. No problem. And we are also expanding more foil. We are supplying foil to the defense company in the US who are using for the ammunitions and all, and they are much other better product. Also, we have been able to discov er during the business transformation. So, we will have a multiple healthy product in our foil business.
Rakesh Roy: So, sir – Our captive power plant cost?
Deepak Agarwal: I'm not able to hear you properly. Can you speak loudly?
Rakesh Roy: Sir, I'm saying our captive power cost is how much? INR2 you can said. Maybe I missed. INR2 something you said?
Brij Bhushan Agarwal : Around INR2 .30 Correct.
Rakesh Roy: INR2, slightly better. Right. And the last question sir, any plants to enter into new business or new segment income index next two -to-three -year, sir.
Deepak Agarwal: Not really as on date. If something comes, which is very good for the company, for our investors, we will evaluate. But as on date we are busy with execution of our business projection. What we have shared in last 1, 1.5 years.
Rakesh Roy: Any company are you looking to acquire a India and outside India to expand?
Deepak Agarwal: So, we keep on evaluating all the proposals. But you know, you wouldn't like to invest anything which has a the supply chain or the strategy part. But this is ongoing day in, day out. It's not no from my side, but we are not doing anything aggressive as well because I don't see anything very attractive as on date on the board where we see that, we are going very strong on that.

Rakesh Roy: Right. Thank you, sir .

Moderator: Thank you. The next question is from the line of Sunidhi Joshi, who is an Individual Investor. Please go ahead.
Sunidhi Joshi: Congratulations on the good set of numbers, sir. And I had one question. Can you provide latest developments on the iron ore block at Maharashtra by when we are expecting it to operationalize?
Brij Bhushan Agarwal: Yes, this is a block where we had got the license now and we have ten years time. I've never shared my position on the iron ore block, but we will be doing the due diligence. And once we have to create the infrastructure, also, once we are through with our blueprint, then I would to share the business plan on this.
Sunidhi Joshi: Okay. And can you help us understand how has our distribution network grown in the past few quarters?
Brij Bhushan Agarwal: So, it is growing, quarter -on-quarter. It is growing, we are increasing. And we are trying to, capitalize on the better network on the high price zone with a better realization, a perennial market. It's a continuous process. We are on

that.
Sunidhi Joshi: Okay. Thank you. All the best.
Moderator: Thank you. The next question is from the line of Manav Gogia from YES Securities Limited. Please go ahead. Mr. Manav, you may go ahead with your question.
Manav Gogia: Yes, sir. So, one question I had was on the cost front. On Q -o-Q basis, the cost of material consumed, went up by 11% on sort of joined the call late, so I might have missed this. Can you just underline the factors behind this rise in the cost of material?
Brij Bhushan Agarwal: Deepak, can you answer this? I'm not very clear with this question.
Pankaj Harlalka : So, Manav, you got to look at the cost of material along with the change in inventory. Then you see that, you will see that it's on the positive side. That's why we've had a better EBITDA.
Manav Gogia: Okay.
Deepak Agarwal : You see, if you see the inventory level of the finished goods, which was enhanced by INR231 crores.
Manav Gogia: Yes, sir. Okay. Yes, sure. Thank you so much.
Moderator: Thank you. The next question is from the line of Mudit Bhandari from IIFL Securities. Please go ahead.
Mudit Bhandari: Yes. Hi, sir. Good evening. Regarding aluminum plants, specifically for our plant, I just wanted to know what is the supply chain of aluminum? What parts will be at Jamuria, what parts will be at Sambalpur and Caster will be there. And how it shall flow?

Brij Bhushan Agarwal: Mudit, we are planning to set up this Foil stock. Green Foil stock plants. Basically, the Foil raw material is a Foil stock. Right now, we are importing and sourcing from the Indian manufacturer. In the time to come, we will be utilizing the recycled scrap and will be taking some English from Hindalco Vedanta, which is across our existing plant within the 10 -15 kilometers. With our cheap source of power what we are producing now will be converting the same into the specialized Foil, which has a very different metallurgy.
And we will be utilizing the same foil for our Giridih plant as well as for the Pakuria plant. In addition to that, we are also doubling the capacity of the Foil where we are. We have developed few more metallurgy of certain more value added Foil for the other businesses, other utilization which will be devel oping and will be able to cater the market.
Mudit Bhandari: So, under the existing plant is at Jamuria, if I'm correct, and…
Brij Bhushan Agarwal: The existing plant is at Pakuria. Foil plant is at Pakuria.
Mudit Bhandari: Okay. And for Foil plant which you are planning will also be nearby 10, 15 kilometers you said.
Brij Bhushan Agarwal: Yes. The new Foil plant. We are doubling the Foil plant, which will be coming up in our Odisha plant only where we have a Steel plant. Yes, adjoining the same plant we are setting up where will be utilizing our own resources, our own infrastructure, which we don't have to make it as a Greenfield which is a kind of a brownfield. And we're making the steel.
Mudit Bhandari: Okay. And is it possible? And is it possible to share EBITDA per ton, broadline of Stainless Steel, what we are currently at?
Deepak Agarwal: As far as EBITDA per ton is concerned and that is in the case of Stainless Steel for the quarter, it is around INR8,000 per ton.
Mudit Bhandari: Okay.

Pankaj Harlalka: We have it in the presentation.
Mudit Bhandari: Okay.
Moderator: Does that answer your questions. Mr. Mudit?
Mudit Bhandari: Yes. Thank you.
Moderator: Thank you so much. As there are no further questions, I would now like to hand the conference over to Mr. Sumeet Khaitan from Orient Capital for closing comments.
Sumeet Khaitan: Thank you, everyone for connecting on the call today. I would also like to thank the management for sparing the time and answering all the queries today. We are Orient Capital Investor Relations Advisors to Shyam Metalics & Energy

Limited. For any queries please feel free to reach out to us. Thank you everyone. And have a nice day.

Moderator: Thank you, sir. On behalf of Shyam Metalics & Energy Limited that concludes this conference, thank you for joining us and you may now disconnect your lines .

Call: Nov 2024

ORE TO METAL
SMEL/SE/2024-25/86 November 14, 2024
The Secretary, The Manager - Listing Department
Listing Department, BSE Limited National Stock Exchange of India
Phiroze Jeejeebhoy Towers, Limited
’ “Exchange Plaza”, 5th Floor, Plot No.
Dalal Street, Mumbai 400 001 C/1, G-Block, Bandra-Kurla Complex,
Maharashtra, India Bandra (East), Mumbai 400 051,
Maharashtra, India
Scrip Code: 543299 Symbol: SHYAMMETL
Dear Sir/Madam,
Sub: Transcri confer call for i alone an
Consolidated) Financial Results for th: arter and Half
r En S mber, 2
Pursuant to the Regulation 30 read with Schedule III of SEBI (LODR) Regulations, 2015, we forward herewith the transcript of the conference call with investors and analysts held on Friday, 08" November, 2024 for the Un-audited (Standalone and Consolidated) financial result of the company for the second quarter and half year ended 30th September, 2024.
This is for your information and record.
Thanking You,
For Shyam Metalics and Energy Limited
Company S cretary"
Membership No. F13320
OUR BRANDS:
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HEC. OFFICE: Trinity Tower. 7th Floor, 83, Topsia Road, Kolkata - 700 046, West Bengal, C/1\: L40109WB2002PLC095491 5111 19AAHCS5842A27D
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“Shyam Metalics and Energy Limited Q2 & H1 FY-25
Earnings Conference Call”

November 08, 2024

MANAGEMENT : MR. BRIJ BHUSHAN AGARWAL – VICE CHAIRMAN AND MANAGING DIRECTOR , SHYAM METALICS AND ENERGY LIMITED .
MR. DEEPAK AGARWAL – EXECUTIVE DIRECTOR , FINANCE AND COMPLIANCE – SHYAM METALICS AND ENERGY LIMITED .
MR. PANKAJ HARLALKA – HEAD (INVESTOR RELATIONS), SHYAM METALICS AND ENERGY LIMITED .
MODERATOR : MR. SUMEET KHAITAN – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Q2 & H1 FY2025 Earnings Conference Call of Shyam Metalics and Energy Limited hosted by Orient Capital.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pankaj Harlalk a from Shyam Metalics. Thank you and over to you, sir.
Pankaj Harlalka: Thank you Michelle. Thank you, ladies and gentlemen for joining us in the call. I, Pankaj Harlalka, Head of Investor Relations at Shyam Metalics, wish you all a very good afternoon, Shubh Deepawali and a warm welcome to the 2nd Quarter FY25 post results conference call. Before we delve into discussing the quarterly numbers, I hope you all had an opportunity to review our press release and the attendant investor presentation. Read along with the Safe Harbor statement, which are available under the investor section of our w ebsite and the same are accessible in the BSE and NSE websites.
To discuss the 2nd Quarter and H1 results FY25 , I am joined by Mr. Brij Bhushan Agarwal – Vice Chairman and Managing Director, Mr. Deepak Agarwal – Executive Director, Finance and Compliance and Mr. Sumeet Khaitan from Orient Capital our Investor Relations partner.
Now , I would like to invite Brij Bhushan ji to provide his perspective on the performance of the 2nd Quarter of the current Financial Year. He will also provide his thoughts on our strength and strategies of the future. Thank you and over to you, sir.
Brij Bhushan Agarwal: Very good afternoon. Wish you all a very Happy Diwali and Prosperous Year. Dear esteem Investor/Analyst , we wish you and all my best wishes to the family of Shyam Metalics.
Since 2021, India has been the key driver of steel demand growth, and this trend is expected to persist. Steel demand in the developing world, excluding China is projected to grow 4.2% in 2025 while we are holding steady with our strong growth projection for India, forecasting 7% to 8% increase in the demand over next few years. This growth is driven by the expansion across all the steel consuming sector, with infrastructure investment continuing to be the major contributor. We have been growing at a steady pace over last few years, and have implemented fresh capacity from the internal accruals , in the phase manner nearly every quarter. This quarter, we have announced the commencement of the coke oven plant in Jamuria, West Bengal. The new facility began production, reflecting a significant step forward in the company expansion goal. This backward integration will enhance the company bottom line by reducing the cost and increasing control over the supply chain.

We have also announced the green field cold rolling mill CRM in Jamuria, West Bengal. The mill will specialize in producing pre painted gal volume coils and coil of galvanized iron, galvanized steel, GI/GL . This expansion is very crucial step in our journey towards the value - added product, Shyam Metalics , the coal rolling mill will support housing, warehousing, industrial sheds, infrastructure, affordable housing through the initiatives such as PMAY . We already have a vast distribution set up, specifically in the Eastern India. Our plant is one of the few Eastern located plan t in India where there is a good demand of color coated sheet, especially in the North Eastern region, hilly track region. We foresee a healthy contribution in our top line , bottom line from this facility to our company in the coming years . We have commissioned a blast furnace

of 0.77-million -ton capacity, a sinter plant of 1.1 million ton in Jamuria.
This f acility will improve India's Steel production capacity. This development demonstrate s our commitment to encouraging industrial growth, creating employment and opportunities in this region . To improve operational efficiency the plant has a 18 megawatt top gas pressure recovery turbine, which contributes 10% energy recovery, the specialized cooling system of water, which makes the plant more efficient and very, very competitive. The furnace is designed with a zero process water discharge to optimize the proce ss efficiency as a part of the organization growth strategy. In addition to the blast furnace, the company has commissioned the sinter capacity to convert the iron o re fines to the feed stock of the blast furnace .
The Brownfield expansion demonstrate Shyam Metalics strategic emphasis on increasing production efficiency, reducing the cost, improving the bottom line and top line . At Shyam, we understand high CAPEX business and metallurgy post our foray in the aluminum foil and stainless steel, which has facilitated us to image as a multi metal company . Aluminum and stainless steel are the metal of future, and we see a tremendous growth in this metal, alongside simultaneous growth in our carbon steel specialty alloy busi ness. We have grown our capacity

across numerous product at a CAGR more than 18% on our existing facility and product line. However, the focus has been on the value added product, where the revenue has grown at a CAGR of 43.2% in last five years. We expect to do well and to add more value added products in next few years . We have announced the CAPEX of close to 10,000 crores since 2021 being an IPO year, we have already incurred a CAPEX close to 5000 crores till FY 25 which accounts of 50% of the total CAPEX announced. Out of the incurred CAPEX , more than 2600 crores has been capitalized, switching to the assets which has begun and contributing in the growth of the company. In the stainless steel we shall grow four folds over next five years, from our existing capacity of 1.5 lakh ton to close to 6 lakh ton capacity .

In aluminum segment and specialized foil and product, we are planning to grow two-fold to 2.5 fold in next five years, adding more multiple high niche product basket for the specialized application, and increase our volume, and will improve the bottom line and the top line. The carbon steel as well. We will further like to grow, and we will like to add the capacity close to 1.5 to 1.8 fold in next two to three years, from 2.32 million to close to 3.6 million tons . The

incremental capacity in the captive power plant of existing 386 megawatt to 706 megawatt is being 1.8 fold growth over the period. If you see on the overall growth pattern, I would like to share that all these product what we are doing is a brownfield expa nsion, and we are adding our existing capacity, which will help us to reduce our cost and help us to take more market share as we are very much mature in major expansion what we are taking right now . We look forward to maintaining the positive momentum, de livering continuous success in th e upcoming year.

Looking ahead, several upcoming project facilities are expected to begin operational in the current financial year, including the DRI , the stainless steel b illet plant, the oxygen plant, the captive power plant which has both add value and increase the margin profile. Thank you so much.

Now , I would like to hand over to Mr. Deepak Agarwal – our Director CFO to share few more words on the financials and other growth.

Thank you so much. Deepak, carry on to you.

Deepak Agarwal: Thank you, sir. A very good afternoon and happy Shub Deepawali to all the participants . I thank all of you for taking time out on this call to discuss the results for the 2nd Qu

arter of the current financial year . In India a favorable monsoon is expected to boost the rural economy and as we move into the second half of the year, we anticipate an improvement in government capital expenditure, which was subdued in the first half due to elections and weather related disruption . A strong fiscal balance and robust tax collection should support ongoing CAPEX spending. The Indian Steel Association is actively engaging with the government to ensure a level playing field for the domestic industry . RBI shift to a neutral stance is expected to be positive, potentially paving the way of interest cuts in the coming months. Thus, in turn should stimulate investments and boost consumption across the country.

Now, I would like to share a quick review of the reported Consolidated Financial for the 2nd Quarter Under Review for the Financial Year '2 4-25:

There has been a 23.6% revenue growth in Quarter 2 of the current financial year vice versa Quarter 2 of the last financial year. We have consistently cash positive with a net cash balance of 1099 crore in Quarter 2 of the current financial year, against the positive of Rs.1338 crore in the quarter one of the current financial year. As you all are aware that the 82% of our power sourcing from our captive power plant at a cost of Rs.2.47 per kilowatt in Quarter 2 of the current financial year, while our aver age power cost including the grid power, at a Rs.3.04 per unit. This brings a huge delta to our EBITDA. I n Quarter 2 of the Current Financial year on a consolidated basis, the company reported an operating revenue of Rs.3635 crore, a growth of 23.6% over a Quarter 2 of the last financial year . The sales mix constitute a high percentage of volume from finished steel, which accounts for 43% of the total revenue . Our export is contributing 11% of our total revenue. The company has been able to book an operating EBITDA of Rs.407 crore.

There is an increase by 32% over a Quarter 2 of the last financial year, and the EBITDA margin in Quarter 2 of the current Financial Year was 11.2% .

When we talk about the overall EBITDA for the quarter, which was amounted to Rs.481 crore that is because of 74 crore is generated through income from our treasury investments made in various government securities , sovereign bond, arbitrage fund, etc. Primarily in order to maintain the trend in EBITDA number, we have been judicious and cautious, yes on all other cost components . Our profit after tax for the quarter stand at Rs.216, crore. There is a decrease of 55% on year-on-year basis. This is because of Quarter 2 of the last financial year, the PAT was high owing to the adjustment of Rs.328 crore for the deferment of taxes, deferment of assets and the reversal of income tax provision , which was made earlier on account of broad forward losses arises on acquisition of Mittal Corp L imited. Actually , we have a PAT positive if we compare with the Quarter 2 of the current financial year to the Quarter 2 of the last financial year. The PAT margin in the quarter is 5.9% which is quite sound considering the current market trend in peer comparison .

In Shyam Metalics G roup, our working capital management is very, very prudent. The group focuses mainly on selling, either on advances or letter o f Credit basis leading to lower debtors and inventory period of 15 to 20 days and 80 to 95 days respectively. On the other side, we also book majority of our purchases in LC considering our good credentials, this helps us in keeping the creditors also on checks . I am also happy and glad to announce that recently, our credit rating has been further upgraded by CRIS IL from AA stable to AA (Positive), which is reposed the company's credentials and confidence by the CRISIL.

Certainly, the corrections in the steel prices did impact our profitability, causing d

ecline in our
EBITDA margin on a quarter -to-quarter basis, which is apart from the seasonal factor, local supply demand imbalances and policy impact geopolitical and China export factor played a major role. Its aggressive export strategy, coupled with steep prices undercutting amidst its own economic crisis is disturbing the global steel export dynamics, parallelly the raw material prices India have not corrected to that e xtent. The Indian steel prices remain under pressure on a higher import and comparatively weak export. The domestic iron prices remain firm, while the price of iron sponge also fell . In stainless steel and aluminum segment, our revenue per ton has increased by 31% a nd 6% respectively on a quarter -on-quarter basis . We are on the consolidation phase in these segment, and volume will increase in near term , margin will also further increase over a period of time.

At Shyam Metalics , we have always followed prudent capital allocation policies. We reinvest 70% of our total cash generated back into the business, retain 20% as a liquidity surplus, and 10% to distribute to our steel shareholder as a dividend. The policy shall facilitate us to be cash positive even at the peak of our CAPEX cycle. Our policy also ensure us with a steady other income comprising of income from our investments made in government sovereign bonds, ensuring timely CAPEX implementation for our com pany . As on 30th September, 2024 the

amount parked in government bonds and other liquid investments to the tune of 2165 crore, which will help also in going our upcoming project also . A synopsis of CAPEX and a growth bond has been laid down in the investors presentations, and we are well on track to execute this as per the expected timeline. We look forward to maintaining this positive momentum, delivering continuous success in the upcoming quarter.

With this, I now open the forum for question -and-answer session. Thank you , thank you to everyone.

Moderator: Thank you very much, sir. We w ill now begin with the question -and-answer session. The first question is from the line of Amit Di kshit from ICICI. Please go ahead.

Amit Dikshit: I have couple of questions. The first one is on aluminum division. Now, in case of aluminum, we are seeing that cost is increasing across the value chain, whether it is alumina, I know of course alumina we don't use, and others raw materials such as scrap, etcetera , worldwide. Do you also see a similar cost escalation in our foil stock and if so, do we see margins coming under pressure in aluminum division in coming quarter ?

Brij Bhushan Agarwal : Thanks , Amit. I appreciate you understand the pressure of the 2nd Quarter in spite of such a rough and tough scenario, we ha d been able to perform decently. Aluminum as a commodity in the business of foil stock or alumina that is different, b ut if you see the product variety what we are manufacturing, we are manufacturing a very specialized quality. Where we are exporting more than 50% in the western world be it USA, Europe and all. And most of this product what we manufacture is a specialized product. There has b een a recent change in the scenario in the aluminum business because some imports which was coming in the country and there was some kind of a free import on the finished material, has created more better margins in the country and demand. And the product what we are making it is basically a converter where we buy foil stock and we convert into a specialized foil. So, the margins have increa sed because there is a shortage, the Europe market has opened, the demand is good. And I would say the business and the margin in the aluminum business is on the better trend side. If you see quarter -on-quarter basis this quarter vis -à-vis the last quarter, we have done fairly decent and better .

Amit Dikshit: Okay. The sec

ond question is on the, we have recently announced yesterday that we have
commissioned the color coated complex . So, just wanted to know how much volume should we
expect from this complex in this year. And from the commissioning of coke oven what kind of
cost benefits that we can see. And if you are seeing any pressure on marketing front as far as
color coated is concerned?
Brij Bhushan Agarwal : We have just commissioned the plant and I believe like in next few weeks maybe by end of
December we should be able to recently control and commercialize the complete operation
properly. We expect that from the next quarter onwards the December, January qu arter onwards
we will be able to resume complete operation and we expect that this year we should be able to
do a business of close to around 70 - 80,000 tons.

Amit Dikshit: Okay, that's good. And the last one if I can squeeze one more, we saw that the short term
borrowings have increased in this quarter so, any specific reason for that and whether we will
see them coming back to our normal position going ahead?
Deepak Agarwal : See the short -term borrowing in the last quarter that was decreased because of, if you see last
quarter QIP proceed has been received and which was repayment into the working capital. The
increase in the working capital only because of that and also we are increasing our inventory to
the tune of 200 crore including raw material advances.
Amit Dikshit: Okay. So, this would actually be beneficial for you because now iron ore prices where they are .
Deepak Agarwal : And also in the last quarter, if you compare with the last quarter, in the last quarter there was a
repayment of working capital out of other proceeds, QIP proceed received, that is the main
reason. If you look at the working capital from March to September.
Moderator: Thank you. The next question is from the line of Prithul Shah from Anubhuti Advisors. Please
go ahead.
Prithul Shah: My question is with respect to the margins so, as you said that currently in this quarter, current
quarter was not good and we posted around 11% margin, so are we expecting Q3 , and Q4 to
remain in this range or we can expect some positive EBITDA margin growth in next two quarters
for the balance year?
Brij Bhushan Agarwal : See, generally if you see the trend of last so many years, quarter three is the end of Quarter 2
end of festival and we see once generally after November onwards we see there is some kind of
changes on these scenario. But yes, I don't see there is going to be major change in the present
scenario, we should the major change it's very difficult to determine on the numbers presently,
on the margins and all we are determined only by th e demand, supply and the price. But I feel it
should remain decent, in spite of so much odd in the other results, like the way we have
performed, if you see the margins, if you see the volume growth, if you see everywhere, we had
been able to , I expect that, this will add a good value, the new product, the new production, will
increase our margins, and will increase our volume, will increase our top line as well. So for us,
we should be doing better on this fourth quarter. And third quarter is , since it is we commission
the plant, and everything is getting stabilized, so we don't se e major changes in the third quarter.
Prithul Shah: Okay, sir got it. And sir another question with respect to our capital work in progress. So
currently, around 4300 crore is in the capital work in progress. So b y end of this year, that is
March 25 how much amount we are expected to capitalize out of this 4300 crore ?
Deepak Agarwal : As far as capitalization is concerned, if you see in the last quarter, we are capitalizing coke oven
plant and our color coated plant, and this quarter we are going to capitalize blast furnace center
plant, and

we expect that out of 4000 crore, 800 crore, we have already incurred in the first half,

and we expect that another 1000 crore we will be incur in the second half of the current financial
year.
Moderator: Thank you. We wi ll take the next question from the line of Shaleen Kumar from UBS Securities
India. Please go ahead.
Shaleen Kumar: Few questions from my sides, one on our color coated sheet, any sense what kind of EBITDA
per ton we will be looking for to begin with from the next quarter?
Pankaj Harlalka : So, in the color coated sheets, we expect an EBITDA, because we will be buying HR from the
market right now. We don't have our own HR, so around 3500 goes there. So we should be
making anything between 5500 to 6500 that is the expected line of EBITDA right now. That is
when we go to the col or coated, right now we are selling more of CR coils right now. So as we
graduate to the color coated that time we should be making around 6500 .
Shaleen Kumar: And timeline for us to graduate to the color coated?
Pankaj Harlalka : Another month and a half .
Shaleen Kumar: So, from next quarter onward we can assume right that we should from the January quarter

onward, we should be in a position to self -color coat it right ?
Pankaj Harlalka : Right.
Shaleen Kumar: Got it. And with respect to, there is too much pressure we could see on the carbon steel over here. Just want to ask you, partly you have answer ed but, how has been your October been like, is it the same number, same kind of pressure wind, facing in October as well, in terms of the profitability EBITDA per ton?
Pankaj Harlalka : In October , we have seen some relief in terms of realizations, the prices have slightly moved up, and there have been a slight change even in the raw material prices . So, in the 2nd Quarter whatever the margin was around 11% , in the third quarter we should be able to at least better that by 100 basis points.
Shaleen Kumar: Okay, right. But in our third quarter, we also have these two things coming up coke oven/ our coated sheet. So, with that there's a cost saving as well as new project as well. So how should we think about it on that front. So our sales will grow and our margin s will also grow?
Deepak Agarwal : Yes, definitely with the implementations of coke oven , blast furnace and center plant, the margin will definitely improve from the fourth quarter onwards. After stabilizing all the commissioning plan, it will be stabilized within this quarter, and we will definitely look into the improvement will happe n in the fourth quarter onward.

Shaleen Kumar: But Deepakji, then that will be on top of whatever the market thing is, right , that's because of the cost saving ?
Deepak Agarwal : Yes, 100% .
Shaleen Kumar: So, whatever Pankaj has replied of 100 basis point likely improvement that is not taking into consideration of the benefits of these, coke oven , blast furnace , Sinter plant , you are including that as well ?
Deepak Agarwal : Yes.
Shaleen Kumar: So that cost saving is on top of the market environment, better market environment in 3 Q is it right?
Deepak Agarwal : Yes, very correct. Our m argin has been improved by 100 basis point in the October month. What Pankaj spoke, there is little bit improvement in the realization in the October month with the implementations of blast furnace , coke ovens and color coated, our margins will definitely improve in the carbon steel because of implementations of blast furnace, it will be stabilized. We expect that it will be stabilized within this quarter and the margins with the implementations of blast furnace you will get from the fourth quarter onward, and as and when the realization will improve. Definitely, our EBITDA margin will further improve.
Sha

leen Kumar: Any ballpark estimate, what kind of a contribution, I don't want to put you on a tight spot, but anything if you can range or something you can give us what kind of improvement you envisage with blast furnace coming in ?
Brij Bhushan Agarwal : Let me take it over. Hi, Shaleen . See, t oday we are making steel , we are buying the pig iron from the market. And giving them the premium the market is good, you r logistic cost, and there's lot of advantage, we will be using it captively . Now, whatever we will be producing now we will be consuming around close to 30 %, 35% captively. And since we have a railway siding, we have a power plant, we have a captive coke oven plant. Our cost of manufacturing this hot metal pig iron is extremely competitive, and with the kind of design, the technology, what we have done the oxygen enrichment process, the PCI, the Bhelai stock , these are the all top level one automation. These are the top class, design we have incorporated. So once we are able to res ume the plant completely , we expect that, we should be able to increase around 3.5 to Rs. 4000 per ton EBITDA on the complete supply chain of this new project. Once everything is stabilized, we operate at 90 %, 95% everything is, we are using the gas or our pellet plant. The gas of the blast furnace is going to the pellet plant. We are using the c oke oven gas in the CRM complex , where people are using the energy , we will be using our by product gas, lot of combination, synchronization, and the balancing of the product , by product everything is going to , so it is definitely going to add good value in the time to come.

Shaleen Kumar: Sure Bhushan Ji . Just moving ahead on to our aluminum segment , we were hearing about there is a anti possibility of anti -dumping duty on Chinese product in aluminum foil. Is there any update that you have heard about?
Brij Bhushan Agarwal : It has been filed , so there are some restrictions I will not be able to share completel y, because my business unit head who handles this will be able to brief as on the status. But yes, it is very much on the positive line. The import from the China is almost, at a very, very slow down or

maybe it's hardly , people are doing a fresh import. So there is a good vibration and g ood energy
in this business now.
Shaleen Kumar: Right, sir . And sir, if I can again, a little bit over here. Any status update on our battery foil , we
were working with some of th e battery manufacturers, and what's the status over there , in terms
of our application ?
Brij Bhushan Agarwal : The battery foil has been all almost established. We have got all the test, and all done. We have
signed the NDA, an agreement for few battery manufacturers which is coming up in the country,
and once they commercialize the production in 25 -26 we expect that w e will be participating
with major battery supplies in the country .
Shaleen Kumar: So, probably in FY26 we should see that,
Brij Bhushan Agarwal: we are not waiting for the battery to be .
Moderator: Thank you. The next question is from the line of Rakesh Roy from Boring AMC Erstwhile
Omkar a Capital. Please go ahead.
Rakesh Roy: My first question is regarding realization for sponge iron compared to peers our realization is
very low, why sir because if I see sponge iron realization is down by 25,000 . So, why down
compared to other peers in same business line?
Brij Bhushan Agarwal : No, I have to check, because it cannot be maybe, if you are comparing the sponge iron prices in
the Western India, which is a market, then it is different. Otherwise, it's a very open commodity
and it is all , there cannot be a major change maybe 100 or Rs.200, if you can just share your
information, I will be able to give you an appropriate reply.
Rakesh Roy: I hear it from the Llyods metals bec

ause the pig iron, and the sponge iron realization is really
high so that’s why I asked this question.
Brij Bhushan Agarwal : Because they are in the Nagpur belt, you are correct. Their area is little in the Maharashtra. And,
because they need to carry the cost and all from the raw material from the other part of the
country. So it is little on the higher side , but it cannot be Rs.1000, maybe Rs.300, Rs.400 or
maybe something like that.

Rakesh Roy: It is more than Rs.1000. Okay, regarding RM pellet sizes if you see your pellets realization
awareness compared to the last few down by nearby Rs.1000. So, can we see the same trend will
go on in Q3 or this will bottom out sir?
Brij Bhushan Agarwal : See it all depends on the market, demand and supply , if you see the iron ore prices going down,
the pellet price goes down. If you see the pellet price goes up , there iron ore prices goes up. So
it's all depend on what cycle are we calculating the numbers, the pricing. So there is not a major
change as or now, I would say maybe because the market is quite stable presently. But maybe
we expect that, we are still, we are able to share this number with such an odd situation where
we are suffering from the geopolitical issues. So much pressure is there in the metal industry,
still if you see the overall as a group level, overall product side, we are able to insulate with lot
of challenges, whether it be the flat product, or you be it any other sector of the carbon resource
and all. So, as said that, at this this point of time it is a stability is there , not a major impedance
but in the time to come, we expect that from the fourth quarter onwards, we will see good
improvement. We just expect, I can't say, 1,000% but yes, we are all very optimistic. Thank you
.
Rakesh Roy: Okay, right sir. Sir, my l ast question is regarding SS, earlier you had said that your target is
nearby 1500 crore for FY25 from right now , for full year revenue . So we are still stick on that
target?
Brij Bhushan Agarwal : Your voice is not audible, can you please repeat again?
Rakesh Roy: Sir again you are saying that you are targeting nearby 1500 crore for SS, stainless steel revenue.
Brij Bhushan Agarwal : Correct.
Rakesh Roy: So, we are still intact on that guidance of 1500 crore for FY25?
Brij Bhushan Agarwal : We should be close to between 80 % to 90% , because the market, the prices correction has taken
place in this stainless -steel price also. If you see the numbers on the price, and also so there is
an impact on the revenue once you see the correction in the sale prices and all, but maybe close
to around 1100 crores or so maybe we should be able to close it, but again I hav e to recheck and
reconfirm you.
Moderator: Thank you. The next question is from the line of Neerav Shah from GeeCee Holdings. Please
go ahead.
Neerav Shah: Sir two questions, firstly is on the CAPEX, we did mention in our opening remarks that the
CAPEX in second half will be around 1000 odd crores, taking the full year CAPEX to close to
1850 crores, but based on the current expansion plans, and with some modifications, adjusted
for the cycle, how much do we expect to spend next year and in 27 for the current expansion
plan?

Brij Bhushan Agarwal : See, ballpark I am saying we have a very strong capital allocation policy. And if you see as Shyam Metalics Energy we are a very, very diversified company where we have a energy power plants are there, aluminum, stainless steel, carbon steel, and all . On an average we are targeting that we are spending close to 1700 to 1900 crores every year, seeing the cash, seeing the strong allocation, capital allocation policy .
Neerav Shah: Okay. So, our commissioning timelines will revolve around that , if our cash flows are f

aster, we
will do more CAPEX?
Brij Bhushan Agarwal : Yes, correct. We always review, you have seen that we had been always very prudent in sharing our CAPEX plan and once one CAPEX is done, we declare the second CAPEX , third CAPEX , and all we always review quarter -after-quarter, see the cash, see the businesses and then we take up the matter there . So this is the way we operate .
Neerav Shah: And sir second question is on the specialty alloys side, for the last two quarters we are seeing our profitability jump remarkably from around 12 to Rs.14,000 per ton to Rs.20,000 per ton. So is it primarily because of a mixed change or is it sustainable now , the base is now slightly higher than what we have been indicating in the past ?
Brij Bhushan Agarwal : It is sustainable , but there has been a major correction in the European market because we export majorly in the European market because we have a big export and the specialized alloy, because of some changes in the international market, there has been some corrections. So, but as a product it will be very sustainable because you have your own captive power plant where we are generating at a very competitive price of around Rs.2, Rs.2.5 a unit. And we make a multiple product where we consume captively also, and this business is extremely sustainable. We don't have to look back anytime.
Moderator: Thank you. The next question is from the line of Tushar Khurana from Desalado Advisory. Please go ahead.
Tushar Khurana: I just have a one question, what specific measures are being implemented to improve the utilization rates at Mittal Corporation , are there any targets set for the next quarters?
Brij Bhushan Agarwal : See, it's a very, very micromanagement question which I will not be able to answer you in detail, but briefly I will be able to share. Please apologize for this. I would say Mittal C orp we acquired the plant last year, and we had resumed the sinter plant. Plant is under operation, we have introduced lot of new grades in the stainless steel, which is a welding rods, wire rods, which is extremely, very, very critical grade what we had been able to develop, we are now been getting the order from the European market also, we are able to stabilize, because all the international company, they have lot of criteria of approvals and all. So we are making lot of new grades. And we are putting up a bright bar plant also downstream , wire plant also downstream. In the time to come, you will see that , we are planning from end -to-end solution, there is no company in the country presently who is making from ore to wires . So, Shyam Metalics is going to be a company

by next year end where we will be able to make the fasteners , we w ill be able to fasteners grade rods, not fasteners but wires , bright bar which is on the industrial application and which has a great export potential in the engineering segment and all.
Moderator: Thank you. We will take the next question from the line of Mudit Bhandari from IIFL Securities . Please go ahead.
Mudit Bhandari: Just a confirmation , the number of CAPEX that you said 1700 to 1900 crore is for the period from FY25,26,27 for each year. And secondly, is there any what changes in working capital can be expected for the , as we are stabilizing and the expansion is going on. So considering that, what net debt number can be expected at around one year or two year down the line, net cash ?
Deepak Agarwal : Mudit, as far as CAPEX incur for the next two to three year, the remaining CAPEX required is 4551 crore. Out of this 4551 crore in the next six month, we will be incurring 1000 crore , 2300 crore will be incur in the year 25 -26 and remaining 1200 crore will be incurred in the 26-27. When we talk about the working capital utilizations, we will see with the commissioning of all our CAPEX or something,

definitely the working capital will increase. But if you see in the past also, our average working capital utilization will be around 50% to 60% level. We will be always be in the cash positive. So , you will see it will be in between 1000 odd crore to 1200 crore something average utilization for next one and a half year .
Mudit Bhandari: And expected net debt, net cash, increase or decrease ?
Deepak Agarwal : Net cash always be positive.
Moderator: Thank you . Ladies and gentlemen, as there are no further questions, I would now like to hand

the conference over to Mr. Sumeet Khaitan from Orient Capital for closing comments. Over to sir.

Sumeet Khaitan: Thank you for connecting us on the call today. I would also like to thank the management for sparing the time and answering all the questions today. We are Orient Capital Investor Relations Advisors to Shyam Metalics & Energy Limited. For any queries please feel free to reach out to us. Thank you everyone.

Moderator: Thank you very much. On behalf of Shyam Metalics and Energy Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2025

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C/1, G-Block, Bandra-Kurla Complex,
Bandra (East), Mumbai 400 051,
Maharashtra, India
Symbol: SHYAMMETL
Dear Sir/Madam,
Transcript of the conference call for Unaudited (Standalone and
Consolidated) Financial Results for the Third Quarter and Nine
Months Ended 31st December, 2024
Pursuant to the Regulation 30 read with Schedule III of SEBI (LODR) Regulations,
2015, we forward herewith the transcript of the conference call with investors and
analysts held on Wednesday, 29" January, 2025 for the Un-audited (Standalone
and Consolidated) financial result of the company for the third quarter and nine
months ended 31st December, 2024.
This is for your information and record.
Thanking You,
For Shyam Metalics 3 65
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“Shyam Metalics and Energy Limited
Q3 FY ’25 Earnings Conference Call”
January 29, 2025

MANAGEMENT : MR. BRIJ BHUSHAN AGARWAL – VICE CHAIRMAN AND
MANAGING DIRECTOR – SHYAM METALICS AND
ENERGY LIMITED
MR. DEEPAK AGARWAL – EXECUTIVE DIRECTOR,
FINANCE AND COMPLIANCE – SHYAM METALICS AND
ENERGY LIMITED
MR. PANKAJ HARLALKA – HEAD OF INVESTOR

MODERATOR : MR. SUMEET KHAITAN – ORIENT CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of Shyam Metalics and Energy Limited, hosted by Orient Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pankaj Harlalka, the Head of IR from Shyam Metalics. Thank you, and over to you, sir.

Pankaj Harlalka: Thank you, Aleric. Thank you, ladies, and gentlemen, for joining us in the call. I, Pankaj Harlalka, Head of Investor Relations at Shyam Metalics, wish you all a very good afternoon, a very happy new investing year, and a warm welcome to the third quarter FY '25 post results conference call. Before we delve into discussing the quarterly numbers, I hope you all had an opportunity to review our press release and the attendant investor presentation read along with the Safe Harbor statement, which are available under the Investors section of our website and the same are accessible in the BSE and NSE website.

To discuss the third quarter and 9-month results FY '25, I'm joined by Mr. Brij Bhushan, Vice Chairman and Managing Director; Mr. Deepak Agarwal, Executive Director, Finance and Compliance; and Mr. Sumeet Khaitan from Orient Capital, our Investor Relations partner.

Now I would like to invite Brij Bhushanji to provide his perspective on the performance of the third quarter of the current financial year. Thank you, and over to you, sir.

Brij Bhushan Agarwal: Hi. A very good afternoon to everyone, and thank you for joining the call. This quarter, we achieved a very strong operational and financial performance despite facing a challenging macroeconomic environment. Our proactive approach to managing these challenges has enabled us to maintain profitability while staying aligned with our long-term growth objectives. Our diversified business model continues to yield positive results, further reinforcing our confidence in our strategic vision.

This quarter, financial performance has validated our innovative approach, reaffirming our expansion effort and steering the company towards sustainable growth and long-term success. Our production capability and facilities have remained robust, driven by our commitment to operational excellence, continuous investment in advanced technology. Though modernization and process enhancement, we have significantly improved both capacities and product quality across our portfolio.

During the quarter, we successfully commissioned operations at our blast furnace at our Jamuria plant. This marked a significant milestone in our expansion strategy. With the facility already in production, the plant is expected to enhance our bottom line by improving the cost efficiency. As a part of progress, we sold the trial production of liquid steel pig iron from the plant in this quarter, which was well accepted in the market as a quality product.

Additionally, we have also commissioned our cold rolling mill complex, and we were able to start with a small tonnage of cold rolling coils during this period. Our focus on value-added products remains as a key driver of growth, having achieved a CAGR of 43% over the last 5 years.

We as well anticipate continuous expansion in this segment, supported by the introduction of new high-value products in the coming year. Since our IPO is in 2021, we have announced a capex in the multiple phases. And out of the total capex of INR10,000 crores, close to INR5,873 crores has been incurred in 9 months FY '25, amounting to nearly 59% of the total p

lanned
investment. Of this, close to INR4,350 crores have been capitalized by FY '25 in the 9-month quarter.

With the successful commissioning of the coke oven plant, batteries, the power plant, blast furnace, cold rolling mill, a substantial portion of the incurred cost has been capitalized, including a significant amount in the last quarter alone

In the aluminium segment, particularly, in the specialized foil product, we have emerged as country's largest exporter of specialized foil. And looking ahead, we plan to strengthen our presence in the space by better niche product in the specialized application, which will drive both in the terms of volume, profitability in the coming years to come.
The trust which has been shared by our investors and as a participation in this institution in the last few years, we had strengthened and identified efficiencies, both vertical and horizontal integration, enabling us for perennial sustainable profitability, diversifying into B2C space, reducing the cost, increasing the efficiency of the existing plant, and also enhancing our forte more into the specialized and value-added products and increase our contribution in the terms of revenue and also increase the bottom line and profitability in the organization.
We are pleased with the progress made in this quarter, both in operational execution and strategic advancement. We remain confident in our ability to deliver long-term value to our shareholders.
Our unwavering focus on the operational excellence, sustainability, innovation, and cost efficiency will allow us to navigate short-term challenges, while positioning us for sustained growth in the year ahead.
At Shyam Metalics, we leverage our deep expertise in high capex business and metallurgy to drive sustainable growth by continuous execution on the long-term strategy and improvement on our daily learning and application and implementation for the betterment in our business strategy that boost volume and relentlessly optimize the efficiency.
We are positioning to achieve a minimum of double-digit CAGR annually. This approach not only fuels our growth strategy trajectory, but also enhances the profitability through the continuous cost effectiveness and improvement in the performance.
Now with this, I conclude my speech, and I would now request our CFO, Director, Mr. Deepak Kumar Agarwal, to take us through our financial performance. Thank you so much.

Deepak Agarwal: Thank you, sir. A very good afternoon and a happy New Year to all the participants. I thank all of you for taking time out on this call to discuss the results for the third quarter of the current financial year ended 2025. The global operating environment remains influenced by geopolitical and ongoing economic slowdown in the major region. Steel exports from China averaging 9 million tons per month in 2024 have contributed to a decline in the steel prices worldwide, including in India.
Though we are not directly affected, ripple effect is seen. Moreover, for the first time, we have been seeing the long products price have been higher than the HRC prices. The macro environment has been challenging since the start of this year, driven by the factors like sluggish retail demand and a slowdown in the government spending. I would like to share a quick review of the reported consolidated financials for the third quarter under review.
There has been a 13.2% revenue growth in quarter 3 of the current financial year, vice versa quarter 3 of the last financial year. We have been consistent cash positive with a net cash balance of INR768 crores in the quarter 3 of the current financial year as against the positive of INR1,099 crores in the quarter 2 of the current financial year.
As you all are aware that the power -- we have 82% of the power sourcing from our own captive power plant at a price of INR2.

4 per unit in quarter 3 of the current financial year, while the
average power cost, including the grid power, our total power cost, including the grid power is INR3.03 per unit. This brings a huge delta and also contributed and huge in our total EBITDA.
In quarter 3 of the current financial year, on a consolidated basis, the company reported the operating revenue of INR3,753 crores, a growth of 13.2% over quarter 3 of the last financial year. The sales mix constitute a higher percentage of volume from finished steel, which account for 49% of the total revenue. The export is contributing 11% to our total revenue. The company has been able to book an operating EBITDA of INR456 crores, increase of 12% over the quarter 3 of the last financial year.
The EBITDA margin in quarter 3 was 12.2%, while the overall EBITDA for the quarter amounted to INR507 crores, that is INR51 crores is generated through interest income from investments made in government security, sovereign bond, arbitrage fund, etcetera. Parallelly, in order to maintain the trend in EBITDA number, we have been judiciously and cautiously on all our other cost components.
Our profit after tax for the quarter stands at INR197 crores, an increase of 57% on a year-on-year basis. The PAT margin in this quarter is 5.3%, which is quite sound considering the current market trend and peer competition. The realization of pellet, sponge iron have also improved by 7% and 4%, respectively, quarter-on-quarter.
In quarter 3 of the current financial year, we've sold -- as you are all aware that during this quarter, we are commissioning our blast furnace and cold rolling mill, and we have sold a little

bit 27,414 tons of pig iron and 3,741 tons of CR coil from our newly commissioned plant.

We are on the consolidation phase in this segment. As volume will increase, margins should also be increased over a period of time. The Indian steel prices remain under pressure on higher import and competitively weak export. At Shyam Metalics, we have always focused on our capital allocation policy. We reinvested 70% of our total cash generated back into the business, remaining 20% as a liquidity surplus, and returned 10% to our esteemed shareholders as a dividend. The policy shall facilitate us to be cash positive even at the peak of our capex cycle. Keeping this policy in mind, the Board has announced an interim dividend of INR2.25 per share, disbursing around INR63 crores in the form of dividend to our valued shareholders out of the 9-month PAT of INR689 crores. The above policy also ensures with us a steady other income comprising of interest income from investments made in government sovereign bond, and ensuring timely capex implementations for our company. As on 30th September 2024, the amount parked in government bonds and other liquidity amounted to INR2,172 crores.

A synopsis of capex and growth plan has been laid out in the investor presentation, and we are all well on track to execute them as per the expected time line. We look forward to maintain this positive momentum and delivering continued success in the upcoming quarter as well.

With this, I now open the forum for question-and-answer session. Thank you. Thank you to everyone.

Moderator: The first question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit: First of all, congratulations for a good set of numbers in a very testing quarter. I have a couple of questions. The first one is essentially, if I look at the EBITDA per ton, which is outlined in Slide number 24, so compared to your peers who have shown a decline of roughly INR500 to INR800 a ton, I mean, from the results that have been declared so far, your EBITDA per ton in carbon steel has actually gone up by almost INR1,000 a ton.

So just wanted to understand the key drivers behind that, whether it was because of more downstream products or cost -- because iron ore cost, I know went up in the quarter, but surprisingly, your EBITDA also went up. So just wanted to understand the key drivers behind this?

Brij Bhushan Agarwal: First of all, we have been working continuously on the reduction of the cost side. So once we had commissioned the blast furnace, we were able to extract the heat which comes from the blast furnace, and we were able to utilize some energy balance of the hot gases into the plant, in the steelmaking process, iron making -- in the steel rolling process.

Number two, we have been always focusing on the -- concentrating on the upgradation of the technology, how to improve the yield, efficiency, and also -- all this, overall, I would not say that just on some ground of the coal prices, we have got the benefit. But yes, it is a combination of -- if you see, the efficiency of the plant has gone up; the heat balances we have been able to improve.

And also continuously, we are accelerating our marketing process on the B2C side with better distribution, sales management, and all. So overall, this is one of the overall basket where we have seen that we have been able to push and accelerate the bottom line. Thank you.

Deepak Agarwal: And in addition to, that, I would also like to say something. If you see the realization on carbon steel in the second quarter was INR43,205 per ton. But if you see in the third quarter, the realization is INR43,684 per ton. That is also impacted in improving our EBITDA in carbon steel.

Amit Dixit: Sure. Got it. The second question is on the -- it was the first quarter where we actually got into the, I would say, flat product, where we sold cold-rolled coil. So just wanted to understand the market feedback of the same. How has the response been? Which region if you can share, I mean, where you have targeted this? And how is the demand shaping up for this product?

Brij Bhushan Agarwal: See, we have just commissioned the cold rolling mill complex. And I would say that we are still at the process of stabilizing our market. The product quality is well established because we have put up the world-class facilities. There is no concern as such majorly on any of the product. But since all these B2C, on the cold rolling mill, color coated side and all is all under the annualized marketing quantum strategy. So since we are entering into the new year of contracts and all, we'll be able to do more better.

And from the quality point of view, there's hardly a concern. Rather we are considered to be one

of the good one, if not the best one today. And our major focus right now is on the Eastern
market, because Eastern market is a market where we are able to generate a better delta in the
terms of the logistics and the availability of material near to the consumer. And the other part is
the Northeast. So these are the major areas of marketing. I would say more than 75%, 80%, we
are concentrating in this belt. Thank you.
Amit Dixit: The last question is on -- if I look at the Slide 15 and 16. So while it is very heartening to see the
capex being executed well within time lines, and we have seen that capacities have come every
quarter. And therefore, that has provided a cushion against -- a cushion for the revenue growth.
But going ahead, Slide 15 and 16 suggest that many of these capex programs outlined are still
in the initial stages or close to 10%, 15% of capex has been spent. So just wanted to understand,
over the next 2, 3 quarters, where the growth is going to come from? Is it from the ramp-up of
cold-rolled mill and maybe external sales of pig iron? Or is it more contingent on some of the
stainless steel plant initiatives?
Brij Bhushan Agarwal: See, this coming year, since the blast furnace is being commissioned and it is getting stabilized,
we expect that the commissioning of our oxygen plant should t

ake place early March. So where
we see that close to around INR2,000 per ton we'll be able to save our cost, because it is a process
where you have to stabilize the blast furnace, sinter plant, coke oven, and then you start feeding
the oxygen. So we'll see a lot of improvement coming up from the margin side from the pig iron
businesses.

Cold rolling mill as well as the color-coated business completely is under the process of
stabilization in the market. So the new growth we are going to see in this sector as well. In the
stainless steel business as well, we are going to commission the wire plant, the stainless steel
wire and the bright bar unit in the coming year.
So we'll see the enhancement of the value addition and the improvement in the bottom line is as
well going to have a good impact in the product portfolio, because we see that we have to target
till the end of the product, so that we are able to extract the best value of our product, what we
arefrom the ore to the steel. So these are the three areas.
Apart from that, we will be commissioning the power plant in Odisha by early next quarter,
maybe April, May. So we'll see a substantial value in the terms of the benefit from the cost side
coming up from the power plant commissioning, because power has been always our forte on
the cost side. So cumulatively, it's a mixture of all side, I would say, 360 degree, where the new
innovation on the product is happening.
And the new expansion, as you said, rightly, we are concentrating on -- we have started the
construction work for our aluminium business, complete -- we are putting up the green
aluminium facility with the casters and we are adding the foil capacity, where we will be making
the multiple -- special grade of foil, because metallurgy-wise, you have to have a control if a
specialized product is required. We can't depend on the other sources to cater to a better market
with a higher realization.
And on the stainless steel side also, we have started the construction work on the flat product. In
Odisha, where we see that in the time to come, we'll be entering into the flat product of stainless
steel, where we are seeing there is a lot of potential in the stainless steel pipe side. Though we
don't have any such strategy on making the stainless steel pipe right now, but we will be focusing
ourselves as one of the producer from the stainless steel side, where we'll be making the stainless
steel from the ore to metal.
So this is right now the major domain, and some additional facility on the DRI side has been
happening, where we see that in the end of the coming year, we'll be able to commission some
portion of the DRI. So these are the major expansions, which are going on. And apart from that,
the beneficiation plant is also going on where we will see the substantial cost and quality benefit
coming up from the iron ore side, because we see there is a lot of benefit on the steelmaking side
if we are able to improve on the iron ore beneficiation. Thank you.
Moderator: The next question is from the line of Aryan Sharma from B&K Securities.
Aryan Sharma: So what I wanted to understand was how much time does it take a new plant to achieve
breakeven? So like, for example, you recently commissioned a blast furnace unit and then there
was the cold rolling new unit. So how much time will these take to achieve breakeven, at what
capacity utilization these new capacities will take to achieve breakeven?

Brij Bhushan Agarwal: See, generally, once you start commissioning your plant, it takes close to 3 months to 6 months to stabilize completely. And I think this is a time when we are able to overcome the breakeven as well.
Moderator: Does that answer your question?
Aryan Sharma: Sir, one more thing I wanted to understand wa

s what could be the run rate of depreciation that we -- quarterly run rate of depreciation that we can expect? So for example, this quarter, the depreciation has gone up to around -- it has gone up to INR2,000 crores something. So what we are seeing is, in the last quarter as well, it had gone up a lot and then suddenly it came down in Q4. So can we see similar trends in Q4 this year as well or -- and in the coming years as well, or will this be the new quarterly run rate?
Pankaj Harlalka: No, no. Depreciation actually is an outcome of capitalization. Last quarter itself, we did a capitalization of more than INR1,400 crores, because the blast furnace, the coke oven and the CRM plant aggregating were capitalized all at once. So that is why you see a higher depreciation. Otherwise, there is no change in policy at all.
So whenever -- whichever quarter you will see a higher capitalization, you'll see a higher depreciation. And so now you'll see the base of this quarter. So next quarter will be a similar base. And if obviously more capitalization happens, which is a continuous process as far as our company is concerned, so you will see a similar kind of depreciation numbers.
Moderator: The next question is from the line of Monlin Tiwari, an Individual Investor.
Monlin Tiwari: So my question is that what is the margin that we are looking at in pig iron, as we have like sold pig iron in this recent quarter? And what is the visibility for the future for pig iron? And also, if you could throw some color on the margin of pellets?
Brij Bhushan Agarwal: See where the pellets are concerned, as you see, we are maintaining the same kind of a margin what we have emphasized in the beginning of the first quarter, which is around INR700, INR800 a ton. And where the pig iron is concerned, we emphasize that we will be able to plug a margin of close to INR2,500 to INR3,000 a ton.
Monlin Tiwari: How much?
Brij Bhushan Agarwal: INR2,500 to INR3,000 a ton.
Pankaj Harlalka: So this is the initial phase. So once the capacity is increased, then we will look at a higher margin. But right now, for the coming year, this is what we are anticipating.
Brij Bhushan Agarwal: We mean like close to around INR200 crores to INR250 crores in EBITDA we are considering from the pig iron business in the coming year.
Moderator: The next question is from the line of Shaleen Kumar from UBS Securities India.

Shaleen Kumar: Bhushan ji, first of all, congratulations. Good set of numbers given the conditions and all. Sir, I got dropped off for a few minutes. So I'm not sure if you have answered this or you have covered in some of the questions. Sir, one thing, let's talk about what's happening, right? So while you are doing a very good job, given markets are tough, but what is your perspective on the market to begin with?
Let's understand that. That difficult -- given the longs do not face so much competition from import, what is the underlying reason you see? And any sense of the recovery time lines where we could see demand or your realization can improve? So just let's start with one broader macro question from us.
Brij Bhushan Agarwal: Good afternoon, Shaleen. If you see this 9 months 2025, and the kind of numbers, the EBITDA, I think this is self-explanatory that in spite of so much environmental challenges across the planet, we had been able to sustain with the [inaudible 0:31:50] of our institution is a strategy.
If you see, we have a multi-basket product [inaudible 0:32:04] created a value chain across the different products, and we are able to balance different products with a different strategy and extracting the best in the terms of the product realization and market.
So in the time to come also, if you see, our major expansion is coming in the stainless steel market, in the stainless steel business, where we have ferrochrome, we have iron

, we have our own captive power, and we have our own ferromanganese, and we are planning to charge the hot metal into the furnaces to optimize and capitalize on the energy cost, and also to see how can we create a best value from the downstream businesses, where we don't have any much inventory, overheads of carryover of the raw material, and it is going to be simply a downstream and upstream of the existing expansion which is coming up.
Apart from that, if you see, our major expansion is coming up in the aluminium businesses, where we are making all the specialized foil. And today, in the span of less than 2 years, we are known as country's largest foil producer with a specialized foil. We are not working on the

commodity foil. Our focus is more on the quality, high value, and export business.
Our new expansion, which is going to come up in the aluminium sector is also catered to more higher value addition, more higher niche product in the aluminium sector. The other expansion what you foresee is on the backward side, like we are adding more power plants, which is going to cater to our existing expansion and help us to rationalize and be more productive in the terms of cost and the perennial supply of energy.
So these are the major areas where we are focusing right now. And the new expansion what we have commissioned, as we all know that the color-coated business is growing very fast. And with our expansion in the stream of a new vertical of the color-coated business, where we don't have much challenges on the product side, as it is the same supply chain management of our existing long products and structure business, which we will be catering and we'll be able to rope our existing supply chain from B2C business into a color forum as well.
So overall, I see whatever capex what we have done till date, it is very, very strategically aligned with our brownfield expansion. And whatever we have been focusing right now, what we have

been promising in the past, we are driving on the same alignment of value addition, B2C market, and getting into a higher business.
Like the stainless steel getting into the wires of the stainless steel, there is a very high potential, as we all know, and it is completely a very niche product. Bright bar as well is completely a niche product. And we will be aligning more and more in the time to come to focus our business model more on the area of value addition by increasing more margins and creating more niche in our existing business. Thank you.
Pankaj Harlalka: Shaleenji, just to add, if you see on the industry side, right, which you asked, so generally, from China, flat products are imported. And it's, in my lifetime, I think first time that there is a very important aspect that there has been a decoupling from the prices. So for the first time in the last 1 year, you would have seen a lot many times where long steel is higher than HRC, which was not the norm. So you can understand that there is a change in the overall industry scenario for long steel.
Brij Bhushan Agarwal: And whatever product we are doing, hardly there is an import, like we are taking the advantage of the import scenario. But in our all the product side, if you see, we are not doing anything which has any kind of a threat from the import into the country. So we are basically more aligned with the source from the mineral to metal and which is hardly any kind of an export happening in our product.
Shaleen Kumar: If I can ask Deepak ji and Pankaj. Sir, there are many new capacities are coming for us and a few of the capacities are ramping up. So ballpark, I think it will be fair to assume that '25, we will do an EBITDA of above INR2,000 crores. It will be more than that operating EBITDA, right? But given that in your internal assessment, you can give a range if not necessarily guidance, what kind of addi

tional EBITDA can we build on these new capacity or capacities which will ramp up, whether it's color coated or pig iron, etcetera, assuming the realization remains the same where they are right now? So any broader range of additional EBITDA we can clock in FY '26? Is it possible for any color on that?
Deepak Agarwal: Yes, Shaleen, if you see in the past also, we are growing both on the top line and bottom line with a CAGR of more than 10% to 15%. Definitely, with the commissioning of blast furnace and color-coated plant, what we are achieving the EBITDA in the 9 months, definitely, it will grow with the same run rate or it will be more as far as in the same realizations. If the realization will further improve, then definitely the EBITDA will further improve. But if these realizations, our EBITDA for the next year will definitely grow with the existing enhancement run rate, maybe in the tune of 10% to 15%.
Shaleen Kumar: Sir, I think -- do you think the EBITDA can grow faster here because you have a new -- this ramp-up will happen over here. So basically, if we are clocking INR2,000 crores, INR2,100 crores, maybe more in FY '25, so with all these things happening, is there a chance that you can do higher than that?
Deepak Agarwal: See, with the commissioning of the blast furnace and with the commissioning of power, as our MD is already sharing that, definitely, our bottom line will improve. But we always committed

less and delivered more. So we will be very much conservative on delivering on guidance as far as figure is concerned, but we will be definitely delivering more, but we will be always on a

conservative side.
Shaleen Kumar: That's helpful. I think given the environment is so tough, even a mid-teens or high-teens kind of a growth is very welcome.
Brij Bhushan Agarwal: But yes, by the year '27-'28, we are targeting, we should be able to touch INR4,000 crores with our new expansions coming up in aluminium and stainless steel and all. This year, as we have just started the project in the aluminium and all, we can see that all these projects ramping up in the next couple of years. So that once they ripen up, so third year onwards, we can see a very different number, because it's a completely different strategic move.
What we are trying to create in Shyam Metalics is we just don't want to be just an HR company or anything. We are making flat products or we are making something which is highly volatile. We want to reduce the volatility in our business strategy, so that we have a space in all the niche businesses in the metal, because we understand what metal is.
And if you see in last 20 years, the way our organization has driven and taken all the 4 roughest times, you beat the Lehmann Brothers, 2008-2009, '11-'12, '15-'16 and the COVID, we have been always working on a very different strategic move. And we would like to abide with our thought of going safe, steady, and perennial.
Shaleen Kumar: So Bhushanji, if you're targeting upward of INR4,000 crores somewhere in FY '27-'28, then your CAGR will be more than 20% for the next 2 to 3 years?
Brij Bhushan Agarwal: We want to be conservative. We just don't want to give any kind of -- we want to make sure that what we say, we want to deliver more. So all this new strategic approach what we are seeing in the businesses right now is going to ripe up in the time to come.
Shaleen Kumar: Sure, Bhushan ji. We are very happy to see the execution pace. At least that's very comforting.
Moderator: The next question is from the line of Rajesh Majumdar from B&K Securities.
Rajesh Majumdar: Again, congratulations for a very good set of numbers in the circumstances. So I had one short-term question and one long-term question. The short-term question is that we saw a fall in the realizations in 3Q across most of the product categories. So what are the trends fo

r 4Q till Jan?
Do we see similar realizations? Or have we seen some uptick in any of these products?
Brij Bhushan Agarwal: I don't see very major changes because, Rajesh, like in this quarter, there is some good demand picking up, because we are getting into a seasonal quarter now. And with the new changes on the strategy from the government side, the RBI policies and all what we are seeing right now, we see there is going to be the changes happening, but it's too early for us to comment right now, but it is on the positive side, I would say.
Rajesh Majumdar: Right. So basically, we can see volume growth, but not much price growth. Is that the right way of looking at it?

Brij Bhushan Agarwal: I would say, too early for us to share anything right now, because we are still in the middle of or the end of January, yes.
Rajesh Majumdar: Right. And sir, my second question is on slightly longer term on the DI pipe business. If you look at any of the DI pipe historical projects, these projects have taken anywhere between 1.5 to 2 years to ramp up. So I mean, once you put up the capacity, the first capacity, say is due in FY '26. Will we take 2 years at least for this capacity to break even in terms of reaching a certain level by which -- and if not, why? What are we doing differently from the conventional DI pipe projects?
Brij Bhushan Agarwal: See, DI pipe is a downstream facility of our Ramsarup acquisition. Right now, we are doing the modifications and upgradation of our blast furnace. We expect to commission the blast furnace of the Ramsarup division also middle of this year. Sorry, I forgot about this subject to discuss in my previous questions. And DI will take another couple of years to commission. But as an overall thing, DI is a very small investment on the total capex cycle at a group level.
And it is too early for me to share, because generally, a product like DI has a lot of registration process. And since we are in a very large table of the product revenues and all, so the contribution of DI is going to be very, very minimum. And I don't see right now any kind of challenges. But yes, generally, once you commission the DI, it takes around 1.5 years to get everything streamlined.
Rajesh Majumdar: Yes. That's helpful. But on the other project additions, last one question, you don't foresee that kind of a scenario on the other stainless steel and aluminium, etcetera, you don't see that kind of a process of ramping up in terms of breakeven point being 1.5, 2 years away?
Brij Bhushan Agarwal: No, no, no. Generally, 6 months to 9 months, because in the aluminium business, we are already very much established. So once we are doing forward integration, and horizontally, we are doing the expansion in the foil business. So I don't see much challenges. And in the stainless steel business, if you see initially, we are starting up with a complete SMS and steel mill, the flat product and the cold rolling mill complex and all, where we are targeting to cater B2B initially.

And to cater to B2B, it's not a very big challenge, because there's hardly a producer except 1 or 2 in the country. So we don't see any kind of challenges in our entry because the plant, what we generally, with our past experience and the present technology, what we are doing, we are doing world-class. So hardly 6 to 9 months.
Moderator: The next question is from the line of Anupam Gupta from IIFL Securities.
Anupam Gupta: So congrats on a good set of numbers and on the commissioning of the blast furnace as well. So just one question which I wanted to check. So your delivery on project commissioning and capex has always been strong and efficiency focus has also been strong. What are your thoughts on improving the raw material security? So as of now, obviously, everything is market-linked, both iron ore as well as coal. Any thoughts that you ha

ve, any plans in terms of improving the raw material security going ahead?

Brij Bhushan Agarwal: Anupam, we are very much in the mature market. And you know these auction processes of mines are not very economically feasible, because all the auction prices and all. But we are always active on securing the raw material, but on the economic cost benefit, we don't want to take any securitization on the raw material side by paying a super hefty premium and increasing our cost and reducing our margins or ROI or IRR. So we are always in sync, in game for all the opportunities, but it depends.
But yes, it is yes, yes, for a better opportunity and no, no for a non-feasible opportunity. And since we have linkages for the iron ore from OMC, Odisha Mining Corporations, and we have some contracts with the private miners and all, which is -- and in last 20 years, we have never had any kind of concern on the availability of the qualitative minerals, whether we discuss on the iron ore, coal and all. But yes, iron ore, this is my concern.
And in the time to come, yes, coal is one of the area where we see, with the kind of action happening from the Coal India front and the kind of pricing what is available in our country. Today, we are almost one of the most competitive and qualitative coal producer in the country from the Coal India prospect, not from the Shyam prospect. So we are taking all the advantages. And if you see other side also, we always have a advantage of our plant location, because we are on the coal bed, whether we beat Odisha near to the NCL and whether we beat Bengal plant, which is on the Eastern coal field. So we always like to capitalize on the coal value. And with the kind of supply which is happening from the Coal India side vis-a-vis the demand and all, I don't see any kind of crazy pricing in the carbon businesses and with the transformation happening on the usage.
So there's nothing major to worry. Maybe some kind of surprises might come because of some rains or some kind of logistic issues and all. But in our case, in logistics also, we are well covered with our captive rigs. We have invested more than 20 rigs for the perennial supply of minerals and all to our plant.
Moderator: The next question is from the line of Tanishi Agarwal from Goldman Sachs.
Tanishi Agarwal: My question to you is, how do you envision the growth and development of your company over the next 5 years?
Brij Bhushan Agarwal: See if you see, Shyam Metalics is a very different company. Like it is -- I've always been very vocal in saying that if you see, it is a multi-basket metal company where we are specializing in aluminium businesses. So we have to have a CAGR of around more than 15%, 20% in the aluminium business, in the foil businesses. We are developing a lot of new products in the sheet, in the aluminium, some battery foils in the aluminium and all.
Stainless steel as well, we focus ourselves like in next 4 to 5 years, we should be able to derive a revenue of close to around INR7,000 crores to INR8,000 crores, more than $1 billion just from the stainless steel business. So the new expansion is going to also help us to enhance our value chain in the stainless steel.

Apart from that, long products, we are focusing more on the downstream to create more into the wire businesses, getting into more B2C space so that we can enhance more margins and add more value from the little capex, not a major capex, and we focus more on the specialized wire businesses. On the structural steel, what we are doing, we are making especially now the railway structures and all, which is the very high demand. And we are getting into a specialized structures of the transmission line, which is also helping us to enhance more value on the product side.
Fro

m the raw material side, yes, we are putting up a beneficiation plan, which will help us to reduce the cost of the iron ore by procuring more iron ore at a competitive price and also creating more value in terms of margins. So down the line, 4 to 5 years, I expect that we should grow at a CAGR of more than 15% to 17%, and we should be one of the very unique company as a metal conglomerate with multiple ferrous and nonferrous business with a high margin, sustainable, as well as with minimalistic volatility what we see in the market in the other peers and all.
And all our new capex what we plan to do is very, very strategically approached with the minimum IRR of close to 17% to 20% with long-term strategic and growth options, like wherever we get into a business, we always see that we should grow in the tune of 15% to 18%, so that we should drive the volume, margins, and we learn more and more, so that what we are doing, we are able to create more growth for our shareholders. Thank you.
Moderator: The last question is from Pruthul Shah from Anubhuti Advisors.
Pruthul Shah: Congrats on good set of numbers. Sir, I was just referring to the sales volume projections for FY '27 that the team has done. So considering that and multiplying it with the current quarter EBITDA, the projected EBITDA that we can earn in FY '27 is around INR3,100 crores. So just wanted to have a comment on this number that whether we are internally looking at INR3,500 crores kind of EBITDA, would it be in this range, or it would be much higher due to operational efficiencies and other initiatives that we are doing?
Brij Bhushan Agarwal: This is not a very crisp question, I would say, but we have to understand that today, EBITDA number more has to be driven by the growth strategy. That all our initiatives what we have taken shows the growth strategy. And since we know the stainless steel business EBITDA margin, we have projected vis-a-vis the market. We have been very -- extremely conservative. Aluminium, we are the very true example in last couple of years what we have been able to deliver, getting into a new space and creating a new benchmark in the foil businesses.
The kind of blast furnace what we had put up is world-class, and it is level one automation with the highest level of efficiency in the terms of the utilization and cost. So we expect that, yes, we should be falling within the numbers what you are saying, maybe more or maybe a little less.
But yes, from the plant, from the strategy point of view, from the cost point of view, from the marketability point of view, from the derisk point of view, in the terms of multiple products, I would say that we are extremely competitive.
And the new businesses of color-coated, which we are going to see the colors in the coming year, is going to be highly value creation for the company in the terms of market, in terms of sustainability, in the terms of growth for the coming year to come. Thank you.

Moderator: Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Sumeet Khaitan from Orient Capital for the closing comments.
Sumeet Khaitan: Yes. Thank you for joining us on the call today. I would also like to thank the management for sparing the time and answering all the queries today. We are Orient Capital, Investor Relations Advisors to Shyam Metalics and Energy Limited. For any queries, please feel free to reach out to us. Thank you, and over to you, management. I would also like the management to give the closing remarks. Thank you.
Deepak Agarwal: Thank you, everyone.

Call: Jun 2025

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Dear Sir/Madam,
Sub: Transcript of the conference call for Audited (Standalone and
Consolidated) Financial Results for the Fourth Quarter and Year
Ended 31st March, 2025
Pursuant to the Regulation 30 read with Schedule III of SEBI (LODR) Regulations,
2015, we forward herewith the transcript of the conference call with investors and
analysts held on Friday, 09™ May, 2025 for the Audited (Standalone and
Consolidated) financial result of the company for the fourth quarter and year
ended 31st March, 2025.
This is for your information and record.
Thanking You,
Company Secretary
Membership No. F13320
OUR BRANDS:
oo Srietn e R : NLTIGER .
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REG. OFFICE: Trinity Tower. 7th Floor, 83, Topsia Road, Kolkata - 700 046, West Bengal, CIN: L40101WB2002PLC095491
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“Shyam Metalics and Energy Limited Q4 & FY'25
Earnings Conference Call”

May 09, 2025

MANAGEMENT : MR. BRIJ BHUSHAN AGARWAL – CHAIRMAN & MANAGING
DIRECTOR, SHYAM METALICS AND ENERGY LIMITED
MR. DEEPAK AGARWAL – DIRECTOR-FINANCE & CFO,
SHYAM METALICS AND ENERGY LIMITED
MR. PANKAJ HARLALKA – HEAD IR, SHYAM
METALICS AND ENERGY LIMITED
MODERATOR : MR. SUMEET KHAITAN - MUFG INTIME

Shyam Metalics and Energy Limited
May 09, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q4 & FY'25 Earnings Conference Call of Shyam Metalics and Energy Limited hosted by MUFG Intime.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference has been recorded.

I now hand the conference over to Mr. Pankaj Harlalka, Head IR, Shyam Metalics. Thank you and over to you, sir.

Pankaj Harlalka: I, Pankaj Harlalka, Head of Investor Relations at Shyam Metalics, wish you all a very good afternoon and a warm welcome to the 4th Quarter FY'25 Post-Results Conference Call.

Before we delve into discussing Quarterly numbers, I hope you all had an opportunity to review our press release and the attendant Investor Presentation read along with the safe harbor statement, which are available under the investor section of our Website and the same are accessible in the BSE and NSE websites.

To discuss the 4th Quarter and full year Results, FY'25, I am joined by Mr. Brij Bhushan Agarwal – Chairman & Managing Director, Mr. Deepak Agarwal – Executive Director, Finance & Compliance and Mr. Sumeet Khaitan from MUFG Intime, our Investor Relations Partner.

Now I would like to invite Brij Bhushan ji to provide his perspective on the performance. Thank you and over to you, sir.

Brij Bhushan Agarwal: Very good evening. Namaskar to all our valued investors and Parivar of Shyam Metalics family, especially for those who are going through these difficult times near the border, our all the best wishes and it is a very-very crucial moment for our state as we are going with lot of challenges and with our capability, our governance of the country we are pretty sure that we will come with a very good output, outcome and thank you and Jai Hind to all.

I am pleased to report that despite ongoing macroeconomic challenges, we have delivered a resilient performance this quarter. Our revenue grew 15% year-on-year, while the EBITDA recorded a strong 17% year-on-year growth. This was driven by our focus on the operational efficiency, discipline, cost management, and maintaining a balanced product mix. In line with our growth strategy and better serve to our customer, we inaugurated our new corporate office in Taratala, Calcutta this quarter. This office will serve as a hub of sale, customer engagement, regional operations, strengthening our presence and responsiveness across India.

A significant highlight this quarter was launched by our new range of color-coded roofing sheet under SEL Tiger brand introduced in the variant of Royal, Elite, Azure, Alfa, a different brand, a different category and product and price mix. Manufactured at the heart of cold rolling mill

facility with the most modern technology, utilizing the best resources so that in the time to come we can overcome and prove ourselves as we have done in our past business with the best product at the best price. This launch further expands our value-added product portfolio, catering rising demand in the construction and industrial sector. Since we all know that we have a huge distribution network across key region as it catered in the same supply chain management with the dealer distributionnetwork, we expect that it will strengthen our supply chain management and create more comfort and confidence of our customer, dealer, distributor, and entire supply chain management.

We have also ventured into a B2C market and launched a food grade aluminum foil under SEL Tiger Foil produced at our Jharkhand plant. With the demand of aluminum foil in the food business, we expect that we should be growin

g around 8% to 10% CAGR by 2030 and we will be well positioned to capitalize on the rising demand and emerging opportunity in this sector.

Our blast furnace facility in Jamuria also got commissioned in Q3 FY'25 and continue to operate efficiently, leading to a pig iron sale in this last quarter. With full year we will achieve more than 100% efficiency for the year '25-'26.

I am very happy to share that today, in a very few months of operation, we have achieved 100% capacity and we expect that we should be overcoming the 100% into 110% capacity for this year. We believe our strength lies in driving efficiency through both vertical horizontal integration, enabling us to enhance the profitability and diversity our customer base and reduce more cost and increase the more efficiency.

Our continued focus on the backward integration will further boost operational efficiency and increase the revenue contribution from our final product. Our production capacity has remained robust, reflecting our commitment to operational excellence and continuous investment in advanced technology and repeated upgradation and modernization.

On the regulatory front, we welcome the government decision to impose a safeguard duty on the aluminum foil import from China. This policy is a very positive step to support the domestic manufacture by mitigating unfair pricing pressure. With our established aluminum foil production facility, we are well positioned to benefit from stronger domestic demand and improve market dynamics.

We remain fully committed to execute our growth plan. As of FY'25, we have incurred a CAPEX of Rs. 6,584 crores representing our 66% of our plant expenditure. We have capitalized Rs. 4,908 crores as on date. Our ongoing projects are progressing well and we anticipate their timely completion. We expect the majority of our carbon steel CAPEX to be operational by FY'26. While our stainless steel and aluminum CAPEX are targeted to be commissioned by FY'27. These investments are aligned with our broader strategy of integration, operational efficiency, and sustainability.

In conclusion, we are proud of the way how our team continues to deliver in the challenging environment while staying focused on the building and stronger future by constantly executing strategic projects that boost volume and optimize efficiency, we are positioned to achieve a minimum 15% CAGR annually.

Thank you for your continued support. We look forward engaging you in Quarter ahead.

Now, I conclude my speech and would request our CFO – Mr. Deepak Kumar Agarwal to take us through our financial performance. Thank you.

Deepak Agarwal: Thank you, sir. A very good evening to all. I will give a quick review of the reported consolidated financials for Quarter under review and for the year ended of the Financial Year ‘24-'25.

On a consolidated basis of the Company for Quarter 4 of ‘25, reported operating revenue of Rs. 4,139 crore, a growth of 15% over Quarter 4 of the last Financial Year. Like in the previous quarter, in Quarter 4 too, we have been able to sell higher percentage of volume sales of finished steel at a higher realization, which has enabled the Company to grow in terms of revenue and EBITDA over the previous quarter. As a result, our EBITDA for Quarter 4 of the Financial Year ‘ 24-25 on a consolidated basis was at Rs. 515 crore, growth of 17% over Quarter 4 of the last Financial Year, and growth of 13% over Quarter 3 of the last Financial Year. There has been a decrease in the realization across steel product in the range of 3% to 5% in the Financial Year ‘24-'25 as compared to Financial Year ‘23-'24.

However, on the back of increased realization in aluminum foil product and stainless steel, we have been able to maintain the gross margin at 27.7% in the Financial Year ‘24-'25 as against 28.2% in the Financial Year ‘23-'24. The same has also been poss

ible owing to the simultaneously reductions in per ton cost of our major raw material. We have reported a good EBITDA for Quarter 4 of the Financial Year ‘24-'25 in comparison with the previous quarter. In order to maintain this growth in EBITDA number, we have been judicious and cautious on all other cost component.

Quarter 4 '24-'25 on a consolidated basis, we reported an EBITDA margin of 12.5% which is 30 bps higher on a year-on-year basis and 40 bps higher when compared on a quarter-on-quarter basis. For the year-end date 2025, we reported a revenue of Rs. 15,138 crores, growth of 15% over the last year. On the EBITDA front, from our Company, reported an EBITDA of Rs. 2,097 crores as against the EBITDA of Rs. 1,729 crore for the year ended '23-'24, an upside of 21.2%. We have reported a net profit degrowth of 11.6% for the year over the previous year, 2023-24. This is basically on account of adjustment of broad forward losses, carry forward on account of acquisition of Mittal Corp during the Financial Year ‘23-'24 which has been adjusted against the tax arises. That's why there is a degrowth on account of net profit when we compare with the Financial Year ‘23-'24 to '24-'25. We could achieve the above margin owing to increase in our steel volume growth, contribution from the stainless and aluminum foil segment.

In the Financial Year 2025, our working capital days is 22 as against 12 days at the end of the Financial Year 2024. This is against the backdrop of introductions of blast furnace, color coated sheet and stainless steel. In spite of diversification in the product profile, the working capital days have just slightly increased. Similarly, we achieved the massive improvement to our capital efficiency during the first half and the same trend is being perpetuated. Our ROCE, ROE at the end of the Financial Year 2025 are at 15% and 14% respectively.

The gross debt to equity which was at 0.06x at the end of the Financial Year 2024 is slightly higher at 0.07x at the end of the Financial Year 2024-25. Our net cash positions is Rs. 1,062 crore as on 31st March 2025 as against the gross debt of Rs. 768 crore as we have cash and cash equivalent along with the long term investments worth Rs. 1,830 crore. We have incurred capital expenditure of Rs. 1,944 crore as against the expenditure of Rs.1,578 crore in the Financial Year 2023-24 on the declared projects. From the net cash flow from the operating activity of Rs. 1,964 crore during the Financial Year 2024-25, we have spent the entire amount in the CAPEX undertake at our Company.

I am glad to share that the financial risk profile of the Company is very, very strong. Our strategy has always been to incur capital expenditure in smaller doses in a peaceful manner to ensure the balance sheet is never stressed. At all points of time, we closely monitor the liquidity, solvency, and capital efficiency ratios. I would like to assure you that the Company sustains the healthy financial risk profile despite pursuing a sizable capital expenditure plan. Out of the Rs. 10,025 crore of capital announced since IPO, we have already cumulative incurred the amount of Rs. 6,584 crore which is entirely from the internal accrual up to the Financial Year 2025. And capitalized out of this Rs. 6,584 crore, we have capitalized till date Rs. 4,908 crore worth of assets. We have completed the 66% of the announced CAPEX. The remaining Rs. 3,904 crore shall be spend over a period of next two financial years with the majority of carbon steel related CAPEX being completed in the current financial year that is '25-'26. The CAPEX related to aluminum and stainless steel to be completed in the Financial Year ‘26-'27. We spent Rs. 2,130 crore on CAPEX this year and for next year CAPEX spend is expected on a similar line, aided by the internal cash generation and sufficient liquid surplus which will ensure

that we take only
limited debt in the event of any fund flow mismatch.

I would like to assure you that the bank limit utilization at the consolidated level is expected to remain moderate going forward too. Also the annual cash accrual should suffice for the capital expenditure requirement and debt repayment. Based on the implementation of projects underway, we are bound to see an uptick on our EBITDA which shall positively and directly increase in our return on equity and return on capital employed.

As you all aware that for many years we have been following a prudent capital allocation policy by which 70% of the cash generated is returned back into the business, 20% is retained as a liquidity surplus and 10% is returned to our esteemed shareholder as a dividend. On the back of good operating and financial performance with a strong net cash flow from the operating activity

of the Company in its board meeting, declared a final dividend per share of Rs. 2.25 per share, subject to the shareholder approval in the insuring annual general meeting. We shall have a dividend out go of around Rs. 125 crore for the Financial Year 2025 including the dividend of Rs. 2.25 per share which was declared earlier in the form of interim dividend.

Now, I conclude my portion of update and throw the floor open for question and session. Thank you. Thank you to everyone.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amit Dixit from ICICI Securities. Please proceed.

Amit Dixit: Hi. Thank you for the opportunity and congratulations for a good set of numbers in a very challenging backdrop. Two questions from my side. The CAPEX plan that was outlined, I mean, 66% we have already achieved. Over the next two years, we will achieve the residual CAPEX. So just wanted to understand what is the next leg of growth that you are looking at? What all sectors or subsectors that you are targeting? And also in Slide #21 and #22, you have laid out very nicely the sales volume, expected sales volume by FY'27. If we take today's prices in context, then what kind of revenue, EBITDA, we can look at the Company level in FY'27?

Brij Bhushan Agarwal: Investment what Shyam Metalics is following is on the aluminum sector. We are going backward integration in the aluminum putting up a foil stock plant. We are increasing the foil capacity 2.5x and we are also going forward foil capacity in putting up the aluminum fins and value addition product which is going to strengthen the aluminum business and which we see that in FY'27, aluminum business should have a very decent revenue and a good margin business we will be able to cultivate as we are going backward, reducing the price and cost of our existing business also, increasing and enhancing the capacity of our existing business and adding more value addition like aluminum fins which is a very interesting product which is as on date 100% import and we are seeing lot of air conditioning industries are coming up, lot of cooling towers, air cooling towers, lot of businesses are getting developed and in the time to come I see a very robust demand because it's a laminated foil, very high tech and today nobody in the country is doing that.

Now, our second major investment is coming up with the stainless steel. As you know, we have commissioned the stainless-steel plant from the NCLT a sick plant. And now, in last 1.5 years-2 years we have learned the operations. And this year, we expect that we should be able to do a revenue of close to Rs. 1,300 crores to Rs. 1,400 crores this year. And in the stainless steel now from the long product, we are getting into a flat product. We are setting up a complete steel melting shop where we will be using our existing iron, our captive power, our specialty alloy, other general ferroalloys and only nickel is a pro

duct which we might have to buy from the
market or we will be focusing more than 60% on the 200 and 400 steel which is almost a nickel free. There is no much nickel requirement or it is a nickel free product.

In stainless steel, we are putting up a flat product, mean, we are putting up complete downstream where we can cater to the tube market to the high segment precision steel in the stainless steel sector which is used for the decorative steel in the railways, in lot of other businesses in the defense, lot of requirements are there. So we should be able to cater into that market. So this product is also very, very interesting and it is a downward and upstream both integration of our existing plant and it is coming up in the brown field existing location and we don't see any challenge in setting up this plant.
The third upmost what we are doing right now is we are increasing the capacity of our color coated plant. It is very interesting that we just commissioned the plant in the last quarter of the last year. And last month we achieved almost 90% capacity utilization. Our product is well accepted in the market. And now we are gearing up for high value-added product in the existing product. And also doubling the capacity of the existing HR color coated galvalume business what we have commissioned last year. Apart from that, we are adding more DRI facilities which is already shared in our earlier projection with the captive power plant because we will be requiring a lot of power to run our existing aluminum plants and other plants so we will be generating the power from the waste heat and also will be able to cater to our existing downstream facilities of aluminum as well as the stainless steel facility. So this is what is the major CAPEX we have outlay in the present businesses which is pending and we expect that in next 1.5 to 2 years we will be able to complete that CAPEX. Thank you.
Pankaj Harlalka: To answer the second portion, Amitji, basically if you look at the revenue expectation post-27 based on current realization is about anything between Rs. 22,000 crores to Rs. 23,000 crores and EBITDA we are currently this year at about Rs. 1,866 crores. So it should be anything between Rs. 2,800 crores to Rs. 3200 crores.
Amit Dixit: Wonderful. The second question is for Deepak. This year we saw an inventory buildup. I inventory days have gone up. And you mentioned in your prepared remarks that this is due to the new verticals coming up. So just wanted to understand that whether this is the normal inventory that we should work with around 100 days or there is a chance for working capital unlocking, inventory unlocking rather as we go ahead?
Deepak Agarwal: The inventory days will be in terms of the new upcoming project, the inventory day will be hovering in between 90 to 100 days.
Amit Dixit: Okay, sir. Got it. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Shaleen Kumar from UBS. Please proceed.
Shaleen Kumar: Congratulations to the management. I think it's a pretty good set of numbers in the current environment. So Bhushanji, I missed a little bit of your initial remark and I also, what I heard that April has been pretty solid and strong for specifically for your blast furnace, etc. But what I want to ask over here is that, while your performance has been very strong for Quarter, is it fair

to assume that it has built over the months because some of your capacities have come in past few months. So, is it March, maybe stronger than Feb, maybe stronger than Jan or was it pretty homogeneous?
Brij Bhushan Agarwal: It is totally cumulative only because market was also end of 4th Quarter always we see the markets are always on the better side the demand was also very good, the realization also improved, no d

oubt. Also there were lot of changes and improvement in the efficiency side from the cost side and also the new value-added products, we are regularly innovating like in pig iron also, we are making some great foundries and materials and high value added. So a lot of things have cumulatively contributed.
Shaleen Kumar: Thank you. sir. So basically the reason I am trying to ask is, it will help me understand how the 1Q is going to be. Like how strong the March or April is. Any color on that in terms of numbers?
Brij Bhushan Agarwal: Market is not bad I would say and I expect that there will be a volume growth. The revenue growth will be also there in this Q1 and I am pretty optimistic like everything is looking very positive.
Shaleen Kumar: We can expect Q-on-Q growth, right, in 1Q?
Brij Bhushan Agarwal: Yes, we can expect.

Shaleen Kumar: As utilization goes up for all your new capacities, right?
Brij Bhushan Agarwal: Perfect, correct.
Shaleen Kumar: Sir, I think this is a question for Deepakji. Deepakji, can you put a number like what kind of CAPEX we are looking for FY'26 in key areas?
Deepak Agarwal: The remaining CAPEX of around Rs. 3,000 crores, out of the Rs. 3,000 crores, the Rs. 2,000 crores of CAPEX will be incurred during the Financial Year '25-'26 which comprising of captive power, solar, and this combined finished steel Rs. 413 crore, stainless steel Rs. 784 crore, aluminum Rs. 126 crore which all conclude there is a CAPEX of Rs. 2010 crores.
Shaleen Kumar: Got it. Alright. One more question on the CAPEX, and now I am going back to the Bhushanji. I think Amit tried asking you the same thing. See, these are some of the CAPEX which we know right? But, theoretically, I am not asking you to guide us, but theoretically, where else and what else you can do, because there is enough cash, and now you have almost done a large part of our CAPEX which we announced a few years back. So, what other things we can think about? I am just putting like theoretically, not necessarily telling you to commit, but what are the areas which we can evaluate? Let's put it this way.

Pankaj Harlalka: I will take it on behalf of sir, till he joins. So basically, Shaleenji, we have been contemplating a few things…
Brij Bhushan Agarwal: Can you repeat the question, Shaleenji?
Shaleen Kumar: Sure, Bhushanji, basically, I am trying to get more from you. I think Amit tried to get more from you. So let's say theoretically, no guidance, but theoretically. What are the other investment areas beyond what you have already announced, which you can explore, whether in aluminum or in steel or whatever, like wire or HRC or anything you can talk about, or existing products? Theoretically, what all you can explore?
Brij Bhushan Agarwal: In stainless steel long product, we have recently commissioned the Wire Division and the Bright Bar Division. These wires are all very high precision wires, which has an incredible export market and has a very unique utilization. And very few limited companies are there in the country. So we just commissioned the plan now, Bright Bar and Wire. And we expect that it will take close to 3 months to 6 months to stabilize, because it has a lot of high esteem buyers, which has their rules and regulations of approvals and all. So this is one thing what we are doing in the long product of stainless steel. In aluminum, as we said, that we have already been approved in the battery foil business. And we expect that once we see any battery plant commission, so we will be, as on date we are only the choice in the country who has been approved and is well established to supply the battery foil in the EV battery space. Apart from that, if you see down the line, all our new investment, what we did was in a, we cultivated hardly a couple of years before. It is majorly focusing on the high value businesses in the terms of

delta. Also, if you see
the ROCE of these businesses are very high because if you think of setting up a half a million ton of stainless steel plant, any half a million ton of stainless steel plant would have cost close to around Rs. 6,000 crores because stainless steel is a very unique product. But since we had all the establishment of power plants, steel making, specialty alloy, land, everything, so at a very minimalistic cost we are doing half a million ton. So it's close to around Rs. 1,500 crores. So all these businesses have a very high ROCE and also it is very well integrated with our backward and forward because if you have your own raw material, then your inventory cost, your working capital cost, everything is very well taken care of. Then apart from that, we are adding lot of energy, power plants. As you know, we have a coal washery and we generate a lot of rejects. So since we are adding the DRI capacity, we need to add our power plant to consume that middling and rejects, which is a byproduct of our washery division. So all these things is, all along cumulatively is increasing and enhancing the bottomline and also getting integrated in the numbers of the total consolidation. Thank you.
Deepak Agarwal: Shaleenji, in addition to this, I would also like to share to you that since we have a capital allocation policy and we are generating cash of more than Rs. 2,000 crore year-on-year basis and 70% to 80% further it will be reinvested in the business. As you said, after two years, what we will do? We will definitely announce various projects. Our CAPEX team is already working on it. Whatever we will invest, where the ROE and ROCE would be more than 20% will be

there. So we are working on it, and we will definitely, shortly announce maybe next quarter or the next quarter.
Shaleen Kumar: Deepakji, can I take this opportunity to ask a little bit more on your stainless steel wire? Just a few basic questions over there in terms of end market, the capacity, what kind of EBITDA per

ton can we expect in that? And how big is the opportunity?
Brij Bhushan Agarwal: See, Shaleen, we just have installed the very mid-size capacity because know wire business and all they take little time to develop. But overall I can tell you, comprising of wire and bright bar our total install capacity is close to 40,000 tons per year presently. And on an average I can say that once we establish our product and we are through with all the, overcome all the challenges because we had put up the world class facility so there is no doubt. And since it is a forward and backward integration of our existing stainless steel long product division which we have acquired through the NCLT in Indore. So we expect that close to Rs. 7,000 to Rs. 12,000 per ton is going to be an average EBITDA. But there are certain products where we might fetch more than Rs. 30,000 a ton. But what conservatively I am sharing with you is we can say that it will be close to average will be 10 to 12,000 tons.
Shaleen Kumar: And sir, end market, end customer and end usage. Any sense on that?
Brij Bhushan Agarwal: Huge, lot of export market is there. There are lot of defense Company which require wires. There are lot of, in railways lot of requirement of wires are there, on the machine side and also on the decorative side. So it is a very well spread. Wire is a very big segment in today's time.
Shaleen Kumar: Just last bit sir on this. Is there an entry barrier in terms of the product qualification? Like what do you think that that's not a big challenge?
Brij Bhushan Agarwal: No, it is a challenge. It is a challenge like any of these we are not talking of a commodity wire. In today plant we are making welding electrodes wire. Nobody in the country is doing this. So we are the Company who has developed the welding electrodes wire like for all the welding electrodes we

make a special quality of wire which used to be was an import from outside. So all these wires, they have a very special application. I will not be able to share all the details because I am not directly day to day involved on the product side, but briefly I am telling you. So it will not be right or appropriate from my end. But I can tell you like, these are all the high niche wires. Decorative, a very big segment of this stainless steel wire, then the defense, all the, in the construction also, in the specialized construction also, the stainless steel, special quality wires are very much important. So in the machinery side, on the heat exchanger side, there are wires, filters, if you have seen a filter, so there a lot of requirements are there on the automobile side also, some components are there where these requirements are there. So it's a huge like, wire, it's like an ocean, like when we see all category of wires are there, but specialty wire has a very different market.

Shaleen Kumar: Right sir, that is exactly what I was trying to ask you. I think it's very very exciting sir. I will go back to the queue. Thank you so much. Really appreciate it.
Moderator: Thank you. Before I go to the next question, I would like to remind participants that you may press * and 1 to ask a question. The next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahead.
Rajesh Majumdar: Good evening all and congratulations Mr. Bhushanji on becoming the Chairman of the Company. So I had a couple of questions. One is the fact that the DI pipe plant, I think there is a time lag of about 1 year to 1.5 years or 2 years before the plant kind of stabilizes, as per my understanding from the other persons who put up this plant. So will we see a period of losses for the DI plant, DI pipe plant and is that incorporated in our estimates? That was the first question.
Brij Bhushan Agarwal: DI plant, yes, it takes around, nowadays it doesn't take 1 year to 1.5 years because DI has become like a commodity. It is not more a very niche product if you ask me. And all the past procedures, challenges in this industry is more or less sorted out. Since we have shifted this DI plant from our existing Jamuria to Ramsarup, which is near to the port and cost wise it is more economical and downstream because we have taken a Ramsarup plant where we had a blast furnace and we want to create some product mix where we can set up a downstream product and all. So I don't see there is much challenges, but yes. It does take time in setting up a plant of a DI. It takes close to 1.5 years to 2 years, 6-month establishment time is good enough. Right now, all the rules and regulations what was created by the old predecessor is no more in the system. So it is not a very difficult thing to sell in the market. Thank you.
Rajesh Majumdar: Thank you, sir and my other question was on the SS Melt Shop you mentioned that we will be focusing on the 200 and 400 series, so this will be a blast furnace this will not be a scrap based, this will be a fully primary unit is that correct?
Brij Bhushan Agarwal: Primary unit, yes correct.
Rajesh Majumdar: Okay. So we will not be using scrap at all, we will be using a pig iron or iron ore.
Brij Bhushan Agarwal: Yes, we will be using the scrap in case we want to have a nickel, because there are certain scraps, if you buy a virgin nickel, it is more expensive. So every stainless steel manufacturer globally they source scrap to reduce the price of the nickel because there are certain scraps where you get nickel at 60% of the normal value. So it depends, but we don't have much pressure of nickel because our major focus would be close to 200 or 400 series. And I expect that, in certain stage

you have a requirement of a nickel that should also be available in our portal because we can't allow our customer to go t

o another window for any other material which has a very low requirement.
Rajesh Majumdar: And what about ferrochrome sir? Will we have ferrochrome plant as well or will it be sourcing ferrochrome from outside?

Brij Bhushan Agarwal: No. We are already making ferrochrome, manganese, low carbon, specialty, all 80%, 89% of all the specialty products. We are the largest supplier to all the stainless steel companies globally. The export to all the companies.
Rajesh Majumdar: So, we export to all the companies.
Brij Bhushan Agarwal: Perfect.
Rajesh Majumdar: And sir, if I could hazard a strategic question on your capital allocation policy, you a very low space for dividends. So are you fairly confident that we will be reaching the 20% ROCE for our Company because we hardly see much dividend payout in this Company? That was the last question. Thank you.
Brij Bhushan Agarwal: That is Mr. Deepak Agarwal's question. Please, Deepak, your call.
Pankaj Harlalka: Definitely. So we are already, if you look at last post listing since '21, we have rolled out a dividend of about 11% as per our policy. And we are always on the CAPEX right now. So if you look at, a large CAPEX happened in terms of blast furnace which was like spent of more than Rs. 1,200 crores-Rs. 1,300 crores spread over 2 to 3 years. So that is why the ROE was lower. I Think going forward things will be back to normal as far as overall Company ROE is concerned.
Rajesh Majumdar: Thank you.
Moderator: Thank you. The next question is from the line of Anupam Gupta from IIFL Capital. Please proceed.
Anupam Gupta: Hi sir. One of the earlier questions you had answered in terms of the expected EBITDA when you reach this, the full volumes in FY'27 close to Rs. 3,200 crore. But if you actually look at your volumes and the mix as well, the finished steel capacity is doubling, your stainless steel is coming up entirely in FY'27 and aluminum also is doubling. Only the carbon steel intermediate products is where you have 20% growth overall. Ideally, does the Rs. 3,200 crore number is a very conservative number but ideally you should be closer to that Rs. 4,000 crore given that already at a run rate of Rs. 2,000 crore EBITDA at an annual basis.
Brij Bhushan Agarwal: Anupam, Pankaj said 2,800 to 3,200. We would love to talk conservative. Like if you see in last three years in Shyam Metalics, our deliverable is 120%. Like, when we did an IPO, the revenue of the Company just 3.5 years before was Rs. 6,000 crores. And next year we are talking of Rs. 18,000 crores. Our EBITDA that time was close to Rs. 600 crores. This year we are talking more than close to Rs. 1,800 crores to Rs. 2,000 crores. We would love to be conservative because you never know what kind of changes happen in the geopolitical situation. And we want to be pretty sure that our deliverables and our commitment should not disappoint our investors. Though we will give our best shot and let us keep this in the trade, in the business like how the

market reacts, how the pricing goes up, how the raw material things happen, so that in the time to come we should be able to deliver more and more what we commit.
Anupam Gupta: Sure sir, that's helpful. Just one question related to that since you mentioned that you want to be conservative here. Apart from macro, any specific thing which you worry about in terms of let's say so far your execution has been very great in terms of how the CAPEX has been implemented. But any other risk which you worry about to achieve this sort of growth which you have indicated?
Brij Bhushan Agarwal: I have only worried about my investors. They should be happy. That's all. I am only concerned that whatever we promised we should be able to deliver more and investors should be more and more happy. I am actually not bother

ed at all. I think we are pretty mature and if you see the last so many years, so many quarters we have seen like with the best of the metal Company vis-à-vis the Shyam Metalics year-on-year, quarter-on-quarter we had tried our best to deliver more and more better. So I think now our investors should have renowned confidence on their Company like on our deliverables, on our CAPEX plan, on our dividend policies and all. What we stated 3.5 year before, we are trying to maintain as per our commitment and what we had forecast for 3 years.
Anupam Gupta: Sure, sir, That's helpful. Thanks a lot.

Moderator: Thank you. The next question is from the line of Rudraksh Raheja from Ithought PMS.
Rudraksh Raheja: Thanks for the opportunity, sir. My question pertains to the DI pipes industry. 12 to 15 states have started accepting O-PVC pipes. So how do you think that affects DI pipes industry?
Brij Bhushan Agarwal: Can you please repeat your question?
Rudraksh Raheja: Yes, I will repeat it. I wanted to ask about how O-PVC pipes introduction affect the DI pipes industry since we are expanding into that product.
Brij Bhushan Agarwal: Very correct. It is affecting. It is affecting and in the time to come, it will have a great competition with the DI pipe below 300 size. So if you see today a complete DI plant, if you think of establishing a complete DI plant with a center plant blast furnace infrastructure and all, it is not going to cost you less than Rs. 2,000 crores. But in our case, a small capacity of DI plant is just a kind of ancillary to our existing brownfield project what we acquired through the NCLT. So if we are able to, like DI pipe has been able to gain the EBITDA of close to Rs. 18,000-Rs. 20,000 a ton in last one year and presently I think it is struggling between Rs. 7,000-Rs. 8,000 to Rs. 10,000 a ton. I am telling you a ballpark figure. I am not 100% sure, but yes, 95%. If we invest on 300,000 tons capacity, close to Rs. 350 crores or Rs. 400 crores, and if I am able to gain the EBITDA of say Rs. 5,000 crores, Rs. 5,000 a ton, we make close to Rs. 150 crore EBITDA every year. If you see the ROCE, ROI on my additional investment on DI, which helps us to de-risk our business, which help us to space ourself in the product and which is a very small

investment for such a conglomerate like Shyam Metalics in the terms of the future opportunity, also in the terms of utilization of our existing hot metal. So this is one of the idea what I have, but you very correct. This is a challenge and this is going to be a strong challenge in the time to come. But OPVC has always been in the international market for many years , if you go to any of the Western country. But there are certain areas where still the DI is the major pipe which is being procured and utilized. So we would like to restrict ourselves with the minimalistic and conservative CAPEX in the first go, so that this period we should be able to regain and in the worst of the time if we discount ourselves on the 50% of our ambition, then also our ROCE and ROI is very interesting. So this is the reason like we are absolutely optimistic on this business.
Rudraksh Raheja: Got it, sir. Regarding this sir, which prices do you think that are getting most affected in this segment or how much percentage of…?
Brij Bhushan Agarwal: Below 350, this is close to around 40% to 50%.
Rudraksh Raheja: So just to clarify, you are saying 40% to 50% of the industry is being affected.
Brij Bhushan Agarwal: Slowly. It is not affected. 40% to 50% but still there are sizes of 80 to 350 where people are using DI. They have not rejected it. Like if I am putting up a steel plant, I need a water supply. I will definitely like to put up a DI plant, DI pipe, not the OPVC pipe. So it depends on the usage, the area, the concern of the utilization and all. So it all has a unique, properties lik

e, you can't
100% replace it, but yes, in certain places it can be replaced. When it is an open space, you can't put up a plastic pipe. OPVC is just a plastic pipe. But in the open place, DI is very well installed, and it is as good as the hard surface. There are certain areas where you can replace, but it is a challenge. I completely agree with you.
Rudraksh Raheja: Got it, sir. Thanks for the clarification.
Moderator: Thank you. The next question is from the line of Deekshant B. from DB Wealth. Please proceed.
Deekshant B.: Hi, congratulations sir. So I want to understand from a larger term perspective. Of course, you're are a growth Company and we have always portrayed a good growth scenario and also deliver on a good growth scenario while being conservative. But are the margins still at 12% and we have an outlook to be doing CAPEX which is going to be enhancive. But what do you think FY'27 what kind of margins can we be expecting from our business on a steady state not any cycle gains that we get but on a steady state what kind of margin improvements can we expect?
Brij Bhushan Agarwal: See, margin is a very, very speculative statement as on date. But we have to understand that in the toughest scenario, the Company has delivered a decent margin. And now whatever the future growth is there, it is coming up with a high value added businesses. So margin is definitely going to enhance. Apart from that, if you see all the future businesses, investment is also helping us to drive down in the cost side by adding the backward integration or the forward integration so that the realistic value in that business is also increasing. So it is going to increase. But at this point

of time, I will not be able to state like whether it will be 20% or 15% or blah, blah, blah. But yes, definitely the trend is going on the upper side. That much I can tell you.
Deekshant B.: No sir, I completely understand that and it would be unfair for me to ask you something where it's so speculative. But what I am trying to understand here is that, let's assume that the businesses

that we are going in, they are live today and in current market situation, what kind of margin we would have expected?

Brij Bhushan Agarwal: Everything is fine, right? We have been conservative on our projections. Till I am getting a good ROI and ROCE, I am happy. So margin I told you it is very volatile. So it depends on the demand supply, geopolitical situation since last 2-3 years, nothing is going uniform across the planet. So in spite of that, in spite of so much challenges, if you see quarter-after-quarter if you compare your Company with the best of the metal companies, I am not saying we are the best, but we are among the best.

Deekshant B.: Certainly sir, certainly.

Brij Bhushan Agarwal: Thank you.

Deekshant B.: Sir, a follow up question here is, do you think that the sort of dumping if happens, of course our government has been able to help us a lot. But if there is any sort of dumping that does happen, do you think that affects us and our particular product ranges?

Brij Bhushan Agarwal: Majorly not because you if you see in our business product module, very less percentage of import threat is there. But overall, the psychological scenario do matter. Like dumping was happening before but you have never seen the numbers or the graph or the margins have come down. So this is a true example and explanatory to your question. But yes, anything on the positive side drive up, anything which is on the negative side also do affect. But in our business model where we are too much based on the Indian demands and the product what we had been doing is majorly the product which is consumed in the country and which doesn't have majorly an import if you see on the total portfolio. So it do affect but very marginally. Thank you.

Deekshant B.: Got it, sir. Sir my last

question here is on depreciation. Now, of course, we judge ourselves by EBIT, ROCE, ROI and these sort of numbers but like, is it only when the cycle turns and we get those windfall profits that we can expect our net profits to be in the higher range or like, do you see a point of time where the depreciation growth tapers down and our operating profits are such high that the depreciation no longer really matters? Do you think that happening anytime soon?

Brij Bhushan Agarwal: In our balance sheet if you see the interest payout is marginal or it's hardly you know we are...

Deekshant B.: Yes.

Brij Bhushan Agarwal: So, depreciation is just a statutory accounting norm. So, if you should see the net cash which is more important you know. Most of the Company in our terrain is with a lot of debt baggage and lot of corporate debts and blah blah blah. So, it really doesn't really bother us. We are more concerned on the net cash which we make on the EBITDA side and the after tax, is majorly is a net cash what is available.

Deekshant B.: Got it, sir. Thank you so much, sir. This is very helpful. Congratulations again.

Brij Bhushan Agarwal: Thank you. I have another meeting. Can we, how many questions we have now?

Moderator: There is only one question in the question queue.

Brij Bhushan Agarwal: Okay, please.

Moderator: Thank you. The next question is from the line of Shaleen Kumar from UBS. Please proceed.

Shaleen Kumar: Cash is important. So is it possible to share the maintenance CAPEX for this quarter or other from next time onward so that we can think about the cash profit? Because optically profit is looking lower, right? So we can at least know what's the cash profit. We can add back the depreciation and minus the maintenance CAPEX.

Pankaj Harlalka: So Shaleenji, this year if you see, the CAPEX was around Rs. 2,148 crores, right? Of which the CAPEX that we had announced, for that the CAPEX was around Rs. 1,944 crores. So we incurred about Rs. 200 crores odd maintenance CAPEX this year, leading to improvements in our existing plants and all.

Shaleen Kumar: How much was the depreciation, sir, if I can ask you? Accounting depreciation?

Pankaj Harlalka: What did you ask, sir? How?

Shaleen Kumar: How much was the accounting depreciation? Depreciation on P&L?

Pankaj Harlalka: Depreciation was around Rs. 700 crores, right?

Shaleen Kumar: Okay. So basically, you're saying that X of maintenance capital, roughly 500 crores we can add to add to come at the cash profit?

Pankaj Harlalka: Correct.

Shaleen Kumar: That's the way to see it, right?

Pankaj Harlalka: Thank you, sir.

Shaleen Kumar: Thank you.

Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the

conference over to Mr. Sumeet Khaitan from MUFG Intime for closing comments.
Sumeet Khaitan: Thanks to the management for answering all the queries today. We are from MUFG Intime, Investor Relations Advisors to Shyam Metalics and Energy Limited. For any queries, please feel free to reach out to us. Thank you, everyone.
Moderator: On behalf of Shyam Metalics and Energy Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2025

SMEL/SE/2025-26/42 July 28, 2025

The Secretary,
Listing Department, BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai 400 001
Maharashtra, India
Scrip Code: 543299 The Manager – Listing Department
National Stock Exchange of India
Limited
“Exchange Plaza”, 5th Floor, Plot No. C/1,
G-Block, Bandra-Kurla Complex, Bandra
(East), Mumbai 400 051, Maharashtra,
India
Symbol: SHYAMMETL

Dear Sir/Madam,

Sub: Transcript of the conference call for Un-audited (Standalone and Consolidated) Financial Results for the First Quarter Ended 30th June, 2025

Pursuant to the Regulation 30 read with Schedule III of SEBI (LODR) Regulations, 2015, we forward herewith the transcript of the conference call with investors and analysts held on Wednesday, 23rd July, 2025 for the Un-audited (Standalone and Consolidated) financial result of the company for the first quarter ended 30th June, 2025.

This is for your information and record.

Thanking You,

For Shyam Metalics and Energy Limited

Birendra Kumar Jain
Company Secretary
Membership No. F13320

“Shyam Metalics & Energy Limited Q1 FY ‘26
Earnings Conference Call”

July 23, 2025

MANAGEMENT : MR. BRIJ BHUSHAN AGARWAL – CHAIRMAN AND MANAGING DIRECTOR, SHYAM METALICS AND ENERGY LIMITED
MR. DEEPAK AGARWAL – DIRECTOR OF FINANCE, SHYAM METALICS AND ENERGY LIMITED
MR. PANKAJ HARLALKA – HEAD INVESTOR

RELATIONS , SHYAM METALICS AND ENERGY LIMITED
MODERATOR : MR. OMKAR BAGWE – MUFG INTIME

Moderator: Ladies and gentlemen, good day, and welcome to Q1 FY '26 Earnings Conference Call of Shyam Metalics & Energy Limited, hosted by MUFG Intime.
As a reminder, all participant lines will be in listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*” then “0” on your touchtone phone.
I now hand the conference over to Mr. Pankaj Harlalka, Head IR from Shyam Metalics. Thank you, and over to you, sir.
Pankaj Harlalka: Thank you. Good afternoon to everyone, and thanks for connecting with us on our first con call of this financial year. On behalf of Shyam Metalics, I am delighted to welcome you all to this call, particularly our shareholders and our industry analysts. Thank you for taking the time out on this call to discuss our latest results and performance. Our results and detailed investor presentation has been uploaded on the exchanges as well as our website. I hope everyone had a chance to go through it.
To discuss our results, we have with us our Chairman and Managing Director – Mr. Brij Bhushan Agarwal, and our Director Finance – Mr. Deepak Agarwal. They will take you through our results and then we will proceed to Q&A session.
Before we proceed, a small disclaimer:
This conference call may contain some forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as on the date of this call. The actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. A detailed safe harbor statement is also given on Page #2 of the company's Investor Presentation.
Now I would like to hand over the call to Bhushan ji. Thank you, and over to you, sir.
Brij Bhushan Agarwal: Very, very good afternoon, everyone. Thank you for joining the Call. FY '25 has been a very pivotal year for our company, a period well-defined by strong operational achievement, resiliency, growth and effective strategic execution. Despite a dynamic industry landscape, we remain focused on integration, diversification and expanding our value-added portfolio. This approach enables us to deliver solid performance across all the business verticals.
I am pleased to share that we have delivered a robust and resilient performance this quarter. Your company's revenue growth has been close to 22% year-on-year while the operating EBITDA rose to an impressive 19%. Volume growth was particularly notable with 32% year-on-year increase. This result reflects our continued emphasis on operational efficiency, rigorous cost management and balanced product mix supported by growth contribution from value-added products.

Our blast furnace and color coated facilities commissioned in FY '25 have performed strongly this quarter with operational stabilization achieved ahead of schedule. In Q1 FY '26, the pig iron plant recorded a utilization rate of 104% while color coated unit reached close to 70%, indicating a healthy ramp-up and positive momentum. This reflects not just operational excellence, but also our ability to execute projects ahead of expectation, showcasing strong ramp-up capabilities and performance-driven culture.
We believe our core strength lies in driving efficiencies through both vertical and horizontal integration. This strategy enhances profitability, broadens our customer base, and helps mitigate margin volatility. Our continued focus on backward integration is expected to further improve operational performance and increase the revenue share from the finished goods.
Our production capabilities remain strong, underscoring our commitment to operational excel

lence and ongoing investment in the most modern advanced technology. Through upgradation, modernization and process enhancement, we have expanded both our capacity and product quality and gone more and more value-added to enhance the profitability at the bottom line. The aluminum segment continues to demonstrate a very solid performance and we are confident in expanding our presence in this space. By developing the niche product for special applications, we aim to drive growth in both volume and profitability in the coming quarters.
At Shyam Metalics, we remain firmly committed to executing our growth and roadmap. As Q1 FY '26, we have incurred up to Rs. 7,003 crores in capital expenditure, representing 70% of our total planned CAPEX. Of this, close to Rs. 4,900 crores have been capitalized. Our announced

investments are progressing well and we anticipate timely completion.
As stated during our call, most of our carbon steel CAPEX is expected to become operational by FY '26, with the stainless steel and aluminum projects on track for commissioning in the year FY '27. These investments are fully aligned with our long-term vision, strategy and focus on deeper integration and improved efficiency and sustainability. We expect them to be earnings accretive which will contribute meaningful in terms of revenue profitability from '27 to '28 onwards.
In conclusion, we are proud of how our team continues to deliver in the challenging environment while staying focused on the long-term values and commitments. By consistently executing strategic projects and optimizing efficiency, we are well in position to maintain our annual CAGR of close to 15%.
Thank you for your continued support and trust. We look forward to engaging with you in the upcoming quarter.
With this, I conclude my speech, and I would request our CFO and Director, Mr. Deepak Agarwal, to take us through financial performance. Thank you so much. Deepak, up to you.

Deepak Agarwal: Thank you, sir. A very good afternoon to all the participants. I thank all of you for taking time out of this call to discuss the results for the 1st Quarter of the current Financial Year ended 2026.
I will be glad to share a quick review of the reported consolidated financial for the 1st Quarter under the review for the Financial Year 2025-'26.
I am elated to share that in spite of ongoing geopolitical crisis and the U.S. President, Donald Trump's induced tariff uncertainty, which has negatively impacted the current market scenario, Shyam being the exceptional market player, as always, has not only restrained its existing moment of growth and the result reinforced our trust in our strong business model, which continues to generate healthy cash flow.
We expect with a reasonable strong demand recovery on the back of recent policy announcements made by the government towards railway, roadways, civil aviation, gas pipeline, towards affordable housing and the incremental budgetary allocation to this sector is likely to drive the demand for both long steel and as well as in stainless-steel.
I would now like to draw your attention to the financial of the company on a consolidated basis.
In the 1st Quarter of the current financial year, on a consolidated basis, the company reported an operating revenue of Rs. 4,490 crores, a growth of 22.4% over Quarter 1 of the last financial year. The sales mix constitutes a high percentage of volume from finished steel, which accounts for 76% of the total revenue.
Over the past quarter, the price of product across steel had been subdued except for aluminum foil. The margin has remained at par on the back of reductions in raw material prices for our consumption. The company has been able to book an operating EBITDA of Rs. 580 crores, sustainability increased by 18.98% over Quarter 1 of the last financial year. And operating EBITDA margin in Quart

er 1 of the current financial year was 13.12%. This margin, mainly
increased over the previous quarter, is on the back of our performance of a newly introduced product, pig iron and color-coated steel.
Our profit after tax for the quarter stands at Rs. 291 crores, which has seen an increase of 5.3% year-on-year. The PAT margin in the quarter is 6.6%, which is quite sound considering the current market trend and peer comparison. At Shyam Metalics, we always follow disciplined capital allocation policy. Under this policy, we remain invested with 70% of our cash generated back into the business, retain 20% as a liquidity surplus, and return 10% to our esteemed shareholders on account of dividends.
Our ambitious CAPEX plans have been laid out in the investor’s presentations, and we are well-tracked to execute them as per the expected timeline. We have around Rs. 5,599 crores CAPEX spending as capitalization, and out of which we have spent Rs. 2,114 crores. In this quarter, we spent Rs. 419 crores, and the remaining Rs. 3,485 crores shall be spent over the next two years from our internal accrual and from cash generated from our operations.

As mentioned by our CMD sir earlier, the company has declared an interim dividend of Rs. 1.8 per share, amounting to an outgo of Rs. 52.24 crores, which is pursuant to our disciplined capital allocation policy. We now have a consistent track record of declaring dividend since our listing in June 2021. We look forward with the optimizations as we progress on our growth journey, and we are confident of achieving robust performance and financial performance going ahead.
Now, I conclude my portion of speech, throw the floor open for the question-and-answer session.

Thank you. Thank you to all investors.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amit Dixit from Goldman Sachs. Please go ahead, sir.
Amit Dixit: Yes. Hi. Good evening, everyone. And congratulations for a good set of numbers. Couple of questions from my side. The first one is regarding two resolutions, fund-raising resolutions amounting to Rs. 7,500 crores. Now the company is reasonably cash-rich and our pending CAPEX is hardly Rs. 3,500 crores. I just wanted to understand the genesis of these, are these merely enabling resolutions at this point in time? Or you have certain targets in mind for spending this money?
Deepak Agarwal: As far as the fund-raising resolution, this is basically enabling resolution. Earlier, we were enabling the resolution of Rs. 3,600 crores, which was expired because the resolution is valid for one year. This time, because in this Board Meeting, we are also fixing our annual general meeting, and subject to the approval of SEBI we are just going to enable our resolution as far as fund raising to the extent of Rs. 4,500 crores on account of various issues like QIP, fresh, preferential, and any type of issues. That's it.
Amit Dixit: Sir, there is another one Rs. 3,000 crores through debt actually, and this amounts to Rs. 7,500 crores. So, wanted to understand that if you have --
Deepak Agarwal: This is also enabling. As you all are aware that the Shyam Metalics is always in the CAPEX mode, and whatever we have announced our CAPEX of Rs. 10,000 crores, out of this Rs. 10,000 crores, we have already incurred Rs. 7,000 crores, and balance Rs. 3,000 crores will be incurred maybe in the next two years. And definitely, another round of CAPEX plan is on the table and our CAPEX committee is working and evaluating going forward. As and when it is required, we are just enabling the resolution as far as NCD or any type of debt instrument. If it is required, then we can be able to go ahead, otherwise it is just like an elapse.
Amit Dixit: Sure. Thanks. Understood. The second question is essentially that I find a new product, th

at is
HR pipe. Now, this product I am seeing for the first time in our presentation also. So, just wanted to understand whether it is an intermediate product that you are testing the market with and later on we would have some broadened commerciality of this? Or is it something that we are trying to get into, let us say, ERW pipe segment or something? So, just wanted a little bit more color on this and about future plans with respect to this HR pipe product.

Brij Bhushan Agarwal: Amit, right now we just commissioned the CR plant. HR is just a by-product. Presently, we do not have any such plan to go into a pipe business. These are the off cut which generally generates when you buy the big HR coil. You have to maximize the value of the pipe product. This is just a pipe product, nothing on the primary side. Thank you.
Amit Dixit: Okay. Understood. Thank you so much, sir, and all the best.
Brij Bhushan Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of Shaleen Kumar from UBS Securities India. Please go ahead.
Shaleen Kumar: Yes. Hi. Good evening, everyone. Congratulations, Bhushan ji. Congratulations, Deepak ji. Pretty good solid number in the environment. Sir, just want to understand a few things here. Sir, I believe a part of this strong performance is coming from our new units of pig iron and color-coated sheet. So, have we captured the benefit completely in the quarter or there can be more to come in an incremental quarter? I mean, like, were they completely utilized, their units, or there is still some scope to build in from divesting of assets?
Brij Bhushan Agarwal: Presently, you can say there is not much more header on this unit presently, because I think more or less it is capitalized. And today, I am very happy to say that we are operating the pig iron facility at more than 120% rating presently. And this is something, none of the company in India is operating the capacity of the pig iron at this capacity. Our fuel consumption is also very, very well in comparison with our peers. We have taken the best technologies, and we have done a lot of R&D in setting up this plant. And I am pretty happy to see this. And in the time to come, yes, there will be a lot of other improvements. But it will take a little time because now we are in the monsoon time. And this is the first monsoon we will be facing with our new setup. So, maybe in next six months the much better picture, larger picture will be on the table, yes.
Shaleen Kumar: Great. If I can just ask like a basic question, like what is leading to such a high utilization, right? Are you able to produce at a lower cost, strong demand? What is driving this utilization?
Brij Bhushan Agarwal: If you see, generally, the blast furnace is operating at 3.5 rate. Like, I will just give you an example like, today we have set up a 600 cubic meter blast furnace. And for a 600 cubic meter blast furnace, the optimum capacity what is guaranteed generally is close to 2,100 tons. But constantly, we are producing 2,700 tons today, which is close to 4.5 rating. Generally, the size vis-a-vis the capacity, the run rate is 4.5 in comparison with 3.5, and we expect that we should be able to go to 3,000 tons or maybe a little less than 3,000 tons. Since it is a monsoon time, we

do not want to take a lot of new challenges because it's the first monsoon and generally the teething issues are always on the front of the moisture and other concerns are there. But we are pretty sure we will be able to touch it to 2,900 tons.
Shaleen Kumar: Got it, sir. Right. And also, just want to understand the status of our captive power unit.

Moderator: Sorry to interrupt, sir. Sir, your voice is cracking.
Shaleen Kumar: Sorry, sir. My bad network area. Sir, I just want to understand the status o

f our new captive power plant, what is the current position of that?
Brij Bhushan Agarwal: We have commissioned the first 90 megawatts of Odisha, and the second 90 megawatts of Bengal plant is under the final stage of commissioning, we expect that by end of August or early September we should be able to commission that as well.
Shaleen Kumar: Sir, just if you can help us what kind of benefit will come on a quarterly or annual basis once both the units are fully operational? Just help us if you can.
Brij Bhushan Agarwal: So, most of our power plants are based on the fuel rejects and waste heat gases and all. So, our cost of generation is close to Rs. 2 to Rs. 2.5 a KWH. So, it is going to enhance the bottom line because the cost is going to be more competitive. Whatever some percentage of imports we are taking from the grid, we will be able to reduce it. And we expect that this will be also enhancing our bottom line and will help us to be more cost effective.
Shaleen Kumar: Got it, sir. One quick question, this last question and then I can come back in the queue. I did not get a chance to ask this question earlier also.
Moderator: Sir, sorry to interrupt, sir. Sir, your voice is cracking.
Shaleen Kumar: Again. Sir, okay, I will join back the queue then. It’s OK.
Moderator: All right. Thank you. The next question is from the line of Preeti Agarwal from SK Associates. Please go ahead.
Preeti Agarwal: Hello. So, the stainless-steel wire segment has entry barriers due to customer approval timelines. Have you cleared any approvals in Q1? And which export markets are being targeted? Also, you mentioned 7,000 tons to 12,000 tons of EBITDA in wire division and even Rs. 30,000 per ton in select products. So, what proportion of your output in FY '26 is expected in these higher margin SKUs?
Brij Bhushan Agarwal: In the stainless-steel wire, we just commissioned the plant and presently, we are operating at close to 30% - 35%. We are overcoming all the challenges of stability, and we also have started the export market, started exporting the material. So, this year we will be stabilizing our market, and I expect that we should be able to sell close to 10,000 tons of wire this year, so which will be a very substantial growth in terms of the new plant and new technology what we are adopting. And we expect that we will be able to ramp up to close to 20,000 tons for next year. And approvals are a very general process. It's a generic thing. I think there's nothing to worry as such because whatever Shyam Metalics has done, we have done always a world class and all the best of the compliance in the terms of machines, and all the quality aspect has been taken well care of. Thank you.

Preeti Agarwal: Okay, understood. And also, you mentioned evaluating new project post FY '27, so are you actively considering entry into HRC, long products for construction or anything beyond metal?
Brij Bhushan Agarwal: We are doing a lot of products on construction. Our long product is more than 2-million-ton capacity. So, this has to grow up. We are revamping our existing plant. We are trying to see more better optimization, because by some kind of a modification you find like we can definitely enhance it to 10% - 15% more. Apart from that, the new plants are also under the planning stage, which we are thinking in next couple of years we will be able to roll out that as well. So, these are all continuous things, day in, day out. If you see, every unit is having a volume growth year-on-year, so this will continue growing in the average CAGR of around 15%.
Preeti Agarwal: Understood, sir. Thank you so much and all the best.
Brij Bhushan Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of Vikas Gupta from RJ Investments. Please go ahead.
Vikas Gupta: Yes. So, my first question is on the stainless-steel flat produ

cts project, when exactly do you expect to begin commercial production? And what's the expected volume in FY '26? And for the aluminum foil and fin projects, what is the status of the foil plant battery foil line? Has any part of the 2.5x capacity expansion already gone live?

Brij Bhushan Agarwal: Related to the aluminum plant, the construction is going on. And we have declared that by end of '27 we will be commissioning the plant. So, almost after a year or little more than later, we will be commissioning the aluminum plant. And even the stainless-steel plant has been also projected end of '27, which is, as of now, it is under track, maybe one or two months it can go little plus or minus.
Vikas Gupta: Understood, sir. And my further question is, any update on the wire and bright bar divisions in the stainless-steel segment that were to stabilize over three to six months? Has customer qualification started?
Brij Bhushan Agarwal: I just answered this question before. We have already started exporting and all, and other things are under progress. We expect that everything should stabilize in next six to six months.
Vikas Gupta: Understood, sir. Understood. Thank you for taking my question. Thanks.
Moderator: Thank you. The next question is from the line of Kunal Devendra Kothari from Nuvama Wealth Management. Please go ahead. Kunal, you are not audible. As there is no response from the current participant, we are moving towards the next participant. The next question is from the line of Kartikeya Pandey from B&K Securities. Please go ahead.

Kartikeya Pandey: Yes. Thank you for the opportunity. So, I had a few questions. So, first was that, can we expect a similar kind of EBITDA run in the coming quarters as well? And what is the pricing outlook for the second quarter?
Brij Bhushan Agarwal: See, this is a monsoon time and these three months are generally challenging months, starting from July, August, September. But yes, this is not going to have a major impact because we are also focusing on more and more cost reductions. It's not going to have a very big impact. But yes, this is going to be a month where a little bit of pressure will be there, this quarter, on the pricing side.
Deepak Agarwal: And I would also like to add one more thing. As far as pricing, we will not consider only the pricing. If you have seen our track record, we will be always on a volume growth. Whatever be the EBITDA we are generating, we are adding our capacity, and we are generating more EBITDA from adding our product capacity.
Kartikeya Pandey: Okay. And another question that I had was on the fundraise part. So, can we assume that this Rs. 7,500 crores of enabling resolution, like will it be fully utilized for the CAPEX plan?
Deepak Agarwal: As of now, there is no such plan for utilization of this fundraising. We are just enabling the resolution subject to the approval of the shareholder. As and when if it is required, then definitely we will achieve. But as of now, there is no plan for any fundraising or something. This is just like enabling.
Kartikeya Pandey: Okay, Thank you. That's all from my side.
Moderator: Thank you. The next question is from the line of Devesh Lakhotia from Ikigai Asset Manager. Please go ahead.
Devesh Lakhotia: Yes. Hi, sir. Thanks for the opportunity. So, a couple of questions. One is, on the aluminum segment the ADD also I think was approved in terms of foils in the past couple of months ago. So, are we seeing any improvement over there? Because at least in terms of margins and volumes, it's not reflected as of now. And the second one is, just wanted your thoughts in terms of the entry into wagons that we have announced with a Rs. 300 crores CAPEX. Just a rationale and the opportunity you are seeing there. So, those two.
Brij Bhushan Agarwal: See, definitely there is a good spurt in the deman

d in the aluminum foil and the margins are definitely improving, but people are carrying over with their own inventories on the sales side as well as on the buy side. Generally, all these things take some transition phases in the level of three, four months. We will start seeing more and more better numbers in the time to come. And when we are talking from the wagon point of view, it's a very small unit, on the size of our company. And since we had a railway siding, we had complete infrastructure. And with such a low CAPEX, also enable us to utilize our stainless-steel plates which are going to be

manufactured in our plant. So, basically, it is more a strategy side and we will be able to enhance more value. Like one of the companies only in the country which has the capability to produce from ore to metal, so this is basically a concept that we are seeing that a lot of stainless-steel wagons have been introduced by the government and we are coming up with a flat product in the stainless-steel. So, we expect that it will help us to create more value for the organization and our shareholder by this forward integration. Thank you so much.
Devesh Lakhotia: Thank you.
Moderator: Thank you. The next question is from the line of Kunal Devendra Kothari from Nuvama Wealth

Management. Please go ahead.
Kunal Kothari: Hi. Good evening, sir. Many congratulations for a great set of numbers. Sir, few questions from my end, this is on regard to our key projects. So, is it possible to share what are the three projects which are going to be executed in this quarter? Second question is, are we looking at any other sector also to enter into it? Because earlier we were looking to enter into DI pipe mill, but we have not seen any CAPEX going on over there, so any thought on that?
And on top of it now, because by year end we are going to end up with all the projects which is ongoing. So, do we have something in mind now because our company is now in a bigger shape, instead of doing small, small projects which we have been successfully doing it, do we which can change the orbit of the company? Thank you.
Brij Bhushan Agarwal: First of all, I must tell you the diversification what Shyam Metalics is doing is not a commodity diversification. If you see the kind of business what we have created in the aluminum sector and going for the expansion in aluminum where we are more than doubling the foil capacity and also going backward integration, putting up a downstream value added product which is a 100% substitute like pins and other critical aluminum components which is used in the automotive as well as in the railways and other sectors. So, we are not working in this small orbit. We are working more on the qualitative and more niche product with the high return and more sustainable business.
So, we expect that this aluminum business in the next couple of years should at least grow by more than 250% what we are doing today. So first of all, what we are doing, we start with a very, very small pilot model, we learn and then we expand. Even in stainless steel, our orbit is very decent, we started with close to around Rs. 1,200 -1,500 crores top line in the first year and now we are targeting of more than Rs. 5,500 -6,000 crores in next two to three years. We learn the business and then we make a model and we make sure that all our business yield should have a decent IRR and ROI return.
Related to your ductile business, yes, at present it is a very small CAPEX for us. We have put this project on hold for some time because we are seeing some kind of a challenge coming up in businesses in respect to ductile. First of all, some changes are there on the OPVC side where we

are seeing that minus 400 is replacing. And apart from that, we are also seeing that very big expansion is coming up in ductile. So, we are just evaluating again. I know we have not invested because these things we had been evaluating for more than six to nine months and now we have decided that we will keep this project on hold, and it is a very small CAPEX in terms of the overall size of the CAPEX what we have decided. And any other questions?
Kunal Kothari: Yes. I was looking at, sir, any other sector we are looking to enter the way we have gone to wagons? And what are the key projects which are going to be executed in FY '26?
Brij Bhushan Agarwal: Yes. This year, we have the flat product, this color-coated business and HR and all what we are doing right now, we are more than doubling. So, from close to 200,000 tons approximately what we should be able to do this year, we are ramping up to close to 450,000 to 500,000 tons. So, by end of this year we will be commissioning this project. And we are also ramping up the stainless-steel long product and the wire business what we are planning to stabilize, we will see some effect in this size also. And we are also increasing some capacity in the existing manufacturing facilities by little modifications and some power plant has to be commissioned this year. So, this is also one of the subjects which is going to be there this year.
Deepak Agarwal: Yes, in addition to that, as far as key project which will be commissioned in coming year, I would like to apply it on this that this year '25 - '26, majorly the carbon steel project will be commissioned. The growth which will be happening in the stainless steel and aluminum, the project of aluminum and stainless steel will be commissioned in the year '26 - '27. Majorly, the major revenue will come up at the end of the year '26 - '27.
Kunal Kothari: And sir, lastly, that same thing. Any other sector we are looking to enter?
Brij Bhushan Agarwal: Not yet. We are looking for lot of things, but nothing has been decided.
Kunal Kothari: Okay. And sir, about mining also, we are looking at the iron ore or coal side also?
Brij Bhushan Agarwal: Not really. We have been allocated iron ore mines in Maharashtra, and we are opportunists. We are looking for some coal mining opportunities. So, once we see that, because coal is available in plenty, there is no problem of the coal availability and the coal prices, I do not see in the time to come. But if we see something good on the mining side which has lot of lucrative advantages of logistic and quality and help us to more create an optimization on our operating efficiency, we might. But these are all the opportunities and nothing very concrete.
Kunal Kothari: Understood. And sir, lastly, obviously, this is not for a short term. If somebody has to look for next five years after this expansion gets over, can we expect something big coming in from our so that we can maximize our balance sheet also?
Brij Bhushan Agarwal: That we will give. That we are thinking on the Board right now and maybe we come with a

Diwali Dhamaka at the time of Diwali. So, we are working on that.

Kunal Kothari: Great, sir. Great.
Brij Bhushan Agarwal: I think you have to appreciate one thing, the only company in the metal sector which is kind of a debt free, which doesn't have any interest carrying forward, which has a CAGR of more than 20% - 25% year-on-year basis. In last three and a half years, from the revenue of Rs. 6,000 crores, we have touched close to Rs. 15,500 crores in three years. So, whatever we had promised, I do not know about 100%, but yes, more than 90% we have delivered. You see the cost of CAPEX what we have shared in our projection, you see what is the computation project. So, we are extremely careful, and we are concerned on our return and the value of our shareholders.
Kunal Kothari: That's very true, sir. That's very true. And all the best for your future, sir. Thank you, sir.
Brij Bhus

han Agarwal: Thank you so much.
Moderator: Thank you. The next question is from the line of Varun Mishra from SK Ventures. Please go ahead.
Varun Mishra: Yes. Congratulations on the good set of numbers and thanks for the opportunity, sir. I had a couple of questions from my end. Starting from, sir, the color-coated roofing sheet like which we have it. So, like what has been the utilization trend as of Q1, sir, if you could like just tell in?
Brij Bhushan Agarwal: See, the color-coating.
Deepak Agarwal: Yes. We are utilizing Quarter 1 is 68% something.
Varun Mishra: All right, sir, so 68%. And like, how could we see that throughout the year, the utilization improving at what rate? By the end of like FY '26, what can we expect?
Brij Bhushan Agarwal: I will just brief you on this. The color capacity utilization, we have some bottleneck like we are putting up a gal volume line number two. And the present gal volume line, whatever we are utilizing, we are utilizing 100%. But the color-coated capacity is 200%. So, we are expecting to commission the color gal volume line by end of this year. And after that, we will be able to double the color business also. So, these are under the expansion plan as per the business like we are developing the market, everything is becoming set. It's a branded market where you need to also control the supply to control the price and all. So, it is under the process.
Varun Mishra: All right, sir. And like the blast furnace, which is at Jamuria, which has hit a 100% capacity, sir, so like can you provide as per the sales standards and outlook for FY '26?
Brij Bhushan Agarwal: We will be able to produce at 120% like the capacity of the blast furnace what we have installed, and I am sharing we will be able to do close to 800,000 tons this year.
Varun Mishra: All right, sir. And sir, anything like any guidance for anything like you could add in.

Brij Bhushan Agarwal: I think just keep on watching your company, that's all and pray God, that you all have to do well.
Varun Mishra: Sir, I had one more question, just a moment, yes. So, this is the laminated aluminum fins for the AC cooling, the thing which we use. So, it is a 100% import segment. So, have we received any like TAL orders or any OEMs? Sir, that have we signed.
Brij Bhushan Agarwal: No, no, we do not need to. We are in the process of setting up the plant.
Varun Mishra: Got it, sir.
Brij Bhushan Agarwal: Once your plant is set up, then you have to apply for the qualifications. But you do not have to look back because we have tied up with the world's best technology supplier. And we do not have to worry. You are seeing all our units, whatever we set up we never compromise on the technology set.
Varun Mishra: All right, sir. That's all from my end, sir. All the best for the future. Thank you.
Moderator: Thank you. The next question is from the line of Rakesh Roy from Boring AMC. Please go ahead.
Rakesh Roy: Hi, sir, Sir, my first question regarding sir, do you see we are in bottom out for pricing pressure and we see any price improvement from second half?
Brij Bhushan Agarwal: Your question is not clear, Mr. Roy, sorry. Can you repeat the question again?
Rakesh Roy: Sir, are we seeing any bottom out of pricing pressure which we are facing currently? And do we see any pricing improvement from H2, from second half of this year?
Moderator: Sorry to interrupt, sir. Sir, your voice is not clear.
Brij Bhushan Agarwal: No, no, I will give the answer. We never see any pressure. We see always an opportunity in the pressure. So, everything is going on fine with the result and God-willingly, everything will go right. There is no pressure.
Rakesh Roy: Okay. Right, sir. Sir, again sir, so margin for FY '26, how much are you looking for at?
Brij Bhushan Agarwal: Sorry?
Rakesh Roy: So, margin for FY '26, how much we are expecting,

sir, for FY '26?
Pankaj Harlalka: As far as margins are concerned.
Brij Bhushan Agarwal: We cannot say all these things because how the geopolitical situation, we have to see in the worst of the time also. We are working between 11%, 12%, 13 % EBITDA. So, I think the days -- I do not see anything will go further down. We expect that we should be able to do decent. It's

very difficult to project anything on the margin side, but yes. I do not see anything on the downside hence further for this year.
Rakesh Roy: Okay. So, we expect for 30% margin to sustain for FY '26?
Brij Bhushan Agarwal: 30% margin?
Deepak Agarwal: 1-3
Rakesh Roy: Yes, 13%.
Brij Bhushan Agarwal: Yes.
Rakesh Roy: Yes. Okay, sir. Thank you, sir.
Brij Bhushan Agarwal: You investors put a lot of pressure on margins and all. People are never happy. People are never happy.
Moderator: Thank you. The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.
Pathanjali Srinivasan: Thank you for the opportunity, sir. Very good set of numbers. I want some data points. So, what is our capacity mix between CPP and WHRB currently? And post our expansion, where would it be in terms of megawatt?
Deepak Agarwal: As far as mix of captive power plant and outsourcing power, we are always 82% of our captive sourcing, and we are sourcing power from outside is around 20% to 25%.
Pathanjali Srinivasan: Sir, no, I was not asking about outside. In captive --
Brij Bhushan Agarwal: Yes.
Pathanjali Srinivasan: Yes, please.
Brij Bhushan Agarwal: Actually, so to understand, in our captive power model, we are hardly using coal. We are majorly using washery rejects and the byproducts of the washery and the other plants. And major portion of the fuel is also the middling and the rejects what we generate from the washery. So, the unique thing in our business is all our power plants are set up where we are using more than 70% - 80% of the byproducts and 20% is the fuel in the terms of low-grade coal what is used to sustain the heat rate in the boiler and other power comes from the waste heat recovery from the kiln. At this point of time, it is very difficult for me but to say how much we are going to generate from gas fuel because fuel is also a byproduct, but you are seeing the prices are so competitive where we are generating power. The price at what we are generating power is less than Rs. 2.5 a unit.
Pathanjali Srinivasan: Correct.

Brij Bhushan Agarwal: So, on average, you can say maybe 30%-35% or 40% must be waste-heat, but I am not 100% sure. I have to check because every day we are commissioning some plants and all.
Pathanjali Srinivasan: Sir, I would like the capacity, sir. The utilization is different. I get what you are saying. But I would like the capacity like in our current 467 megawatt, how much would be from waste heat and how much would be from thermal power plant?
Brij Bhushan Agarwal: The waste heat recovery should be close to 35% - 40%.
Pathanjali Srinivasan: Okay, Understood, sir.
Brij Bhushan Agarwal: Yes.
Pathanjali Srinivasan: Sir, and just one more question.
Pankaj Harlalka: And post the expansion, it should reverse. So, today, it is 60:40. It will reverse to around either 50:50 or 40:60. So, we will be having a higher WHRB post the 90-megawatt implementation.
Pathanjali Srinivasan: Sure, sir. Understood. And just one last question. CAPEX for stainless steel and aluminum, what timelines are we expecting the plants to get commissioned by?
Brij Bhushan Agarwal: End of '27 year.
Pathanjali Srinivasan: Okay, Sure, sir. Thank you, sir. Very good numbers. Congrats once again.
Brij Bhushan Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of Gaurav Gandhi from Glorytail Capital Manageme

nt. Please go ahead.
Gaurav Gandhi: Yes. Thanks for the opportunity and congratulations on great set of numbers, sir. Sir, these days, there are a lot of talks about large ship vessels manufacturing in India. So, whether this ship grade steel is manufactured in India or not? And how are you looking at this opportunity?
Brij Bhushan Agarwal: Honestly speaking, we have not evaluated this. So, I cannot comment anything on this. So, these are very different grades. These are all basically carbon steel plates. Here, we are not in the

process of present manufacturing. But in the time to come, once we have any new business plans, we will be able to share that. But presently, no.

Gaurav Gandhi: Okay. All right. Thank you.

Moderator: Ladies and gentlemen, this was the last question, and I now hand the conference over to Mr. Omkar Bagwe from MUFG Intime for closing comments.

Omkar Bagwe: Yes. Thank you for joining us on call today. I would like to thank the management for sparing the time and answering all the queries today. We are MUFG Intime, Investor Relations Advisors to Shyam Metalics & Energy Limited. For any queries, please feel to reach out to us.

Deepak Agarwal: Thank you. Thank you to everyone.

Moderator: Thank you. On behalf of Shyam Metalics & Energy Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

OUR BRANDS

SHYAM METALICS AND ENERGY LIMITED
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CIN: L40101WB2002PLC095491 GSTIN: 19AAHCS5842A1ZE
T:+91 33 6521 6521 Email: contact@shyamgroup.com Web: www.shyammetalics.com Follow us on :
Power | Ferro Alloys | Pellets | Pig Iron | Billets | Sponge Iron | Wire Rod | Wire | TMT & Structurals | Aluminium Foil | Roofing Product | Stainless Steel | DI Pipes

SMEL/SE/2025-26/83 November 13, 2025

The Secretary,
Listing Department, BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai 400 001
Maharashtra, India
Scrip Code: 543299 The Manager – Listing Department
National Stock Exchange of India Limited
“Exchange Plaza”, 5th Floor, Plot No. C/1, G-
Block, Bandra-Kurla Complex, Bandra (East),
Mumbai 400 051, Maharashtra, India
Symbol: SHYAMMETL

Dear Sir/Madam,

Sub: Transcript of the conference call for Un-audited (Standalone and Consolidated) Financial Results for the second quarter and half year ended 30th September, 2025

Pursuant to the Regulation 30 read with Schedule III of SEBI (LODR) Regulations, 2015, we forward herewith the transcript of the conference call with investors and analysts held on Monday, 10th November, 2025 for the Un-audited (Standalone and Consolidated) financial result of the company for the second quarter and half year ended 30th September, 2025.

This is for your information and record.

Thanking You,

For Shyam Metalics and Energy Limited

Birendra Kumar Jain
Company Secretary & Compliance Officer
M No. F13320

“Shyam Metalics and Energy Limited
Q2 & H1 FY '26 Earnings Conference Call”
November 10, 2025

MANAGEMENT : MR. BRIJ BHUSHAN AGARWAL – CHAIRMAN AND MANAGING DIRECTOR – SHYAM METALICS AND ENERGY LIMITED
MR. DEEPAK AGARWAL – DIRECTOR (FINANCE) AND CHIEF FINANCIAL OFFICER - SHYAM METALICS AND ENERGY LIMITED
MR. PANKAJ HARLALKA – HEAD, INVESTOR RELATIONS – SHYAM METALICS AND ENERGY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 H1 FY '26 Earnings Conference Call of Shyam Metalics and Energy Limited, hosted by MUFG Intime. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.
I now hand the conference over to Mr. Pankaj Harlalka, Head IR from Shyam Metalics. Thank you, and over to you, sir.
Pankaj Harlalka: Thank you, Risha. Thank you, ladies and gentlemen, for joining us in the call. I, Pankaj Harlalka, Head of Investor Relations at Shyam Metalics, wish you all a very good afternoon, Shubh Dipavali, and a warm welcome to the second quarter FY '26 post results conference call.
Before we delve into discussing the quarterly numbers, I hope you all had an opportunity to review our press release and the attendant investor presentation, read along with the Safe Harbor statement, which are available under the Investors section of our website and the same are accessible in the BSE and NSE websites.
To discuss the second quarter and H1 results FY ' 26, I'm joined by Mr. Brij Bhushan Agarwal, Chairman and Managing Director; Mr. Deepak Agarwal, Executive Director, Finance and Compliance; and Mr. Sumeet Khaitan from MUFG Intime, our Investor Relations partner.
Now I would like to invite Brij Bhushan ji to provide his perspective on the performance of the second quarter of the current financial year. He will also provide his thoughts on our strength and strategies of the future. Thank you, and over to you, sir.
Brij Bhushan Agarwal: Very, very good afternoon, everyone. Thank you for joining the call. As we all know, the industry faced a challenging macro environment during the quarter. While the domestic demand remains steady, the price of the raw material remained on the downward trend, reflecting a softer pricing environment. Against this backdrop, Shyam Metalics delivered a strong performance this quarter, driven by our comprehensive multi-metal portfolio and disciplined operation.
Our focus on expanding value-added offering, enhancing process efficiency and managing cost leadership supported the robust financial results. Revenue for the quarter grew 23% year-on-year, while operating EBITDA increased by 32%. Our volume for the quarter was up by 24% year-on-year. This performance highlights the strength of our integrated diversified business model and consistent execution by the team across all the divisions.
On the operational front and the strategy, we have taken a decision to discontinue the DI pipe plant project, which was followed with the pig iron plant in Ramsarup. This decision was made after a detailed review of the technological shift and evolving market dynamics. We believe redirecting our capital towards higher-value segment will deliver stronger long-term result and improve the overall resilience of our portfolio.

I'm also pleased to report that the blast furnace of Ramsarup Industries is on the final stage of commissioning. Stove heating and pre-commissioning began, and we expect to commercialize the production very soon. The 0.45 million tonne blast furnace will significantly enhance our capacity to serve the growing demand of alloy, carbon and special steel product. Revenue contribution from this product and project are expected from December 2025, marking an important milestone in our expansion journey and strengthening our integration capability.
In another positive development, CRISIL ratings has upgraded our long-term rating from CRISIL AA+ stable -- to CRISIL AA+ stable from AA+ positive and reaffirmed our short-term rating at CRISIL

A1+. This reflects our strong business risk profile, diversified operation, healthy financials, robust liquidity, prudent capital management and experienced leadership.
Our growth road map remains firm on track. Our ongoing capex are progressing well, and we're steadily moving towards the completion. As on H1 FY '26, we have incurred INR7,529 crores of capex, which accounts 80% of the total capex plan at INR9,425 crores, which we have capitalized, 4,908 crores, accounting to 52% of the total. The project execution is on the track, and we remain committed to ensure timely commissioning, operational efficiency, prudent capital deployment to support future growth.

In line with our long-term vision, we continue to plan proactively for the next phase of growth and to ensure strong future cash flow as our current capex program is scheduled to be fully developed by March 2027, fully deployed. The new investment will enable us to move further up the value curve, enhance the margin sustainability and reinforce our position as the leading integrated metal player. We will share detailed updates on this plan in due course as we finalize specific project timeline.

To conclude, we remain committed to driving sustainable growth, enhancing profitability and creating long-term value for all our stakeholders. Thank you for your continued trust, support, and we look forward to engaging with you in the quarters ahead.

With now, I conclude my speech, and I would request our CFO, Mr. Deepak Agarwal to take us through the financial performance. Thank you. On to you, Deepak.

Deepak Agarwal: Thank you, sir. A very good afternoon to all the participants, and thank you for joining us on the call. I will give a quick review of the reported consolidated financials for the quarter under review and for the first half.

On a consolidated basis, the company for the second quarter of the current financial year reported a revenue of INR4,457 crores showing a growth of 23% over the last year quarter 2. We have been able to sell a higher percentage of finished steel volumes, which was -- which has enabled the company to overcome the rise in the input cost and modernization in finished steel prices.

As a result, our EBITDA for second quarter of the current financial year on a consolidated basis stood at INR609 crores, a growth of 26% over the last year quarter 2. And the profit after tax stood at INR260 crores. To highlight this point, our revenue growth in quarter 2 of the current financial year has been primarily driven by a meaningful increase in the sales volume of pig iron

and color-coated steel. Pig iron's contribution in terms of revenue account for 11.3%. We have delivered a strong PAT of INR260 crores, supported by our robust balance sheet, healthy liquidity position and low leverage.

I would also like to highlight a very important development that the CRISIL has upgraded our long-term rating from AA positive to AA+ stable and reaffirmed our short-term rating at A1+. This is the highest rating in our peer group and is strong external validations of the company's financial discipline, operational resilience and long-term strategic clarity.

This upgrade reflects our consistent conservative capital structure, robust liquidity position, disciplined capital allocation, strong governance standards and the leadership depth within the organization. And the same has also been pointed out by the CRISIL India Rationales.

Importantly, this rating places us in a select category of companies in the metal and mining space, reinforcing our credibility with the lenders, investors and stakeholders. It has strengthened our ability to access capital at favorable terms, enhances financial flexibility and positions us strongly to execute our next phase of growth without compromising on leverage or any risk parameter.

Now I will quickly review t

he first half of the financial. For the first half of the current financial,
we reported a revenue of INR8,876 crores, a growth of 22.5% over the last half year. In terms of revenue mix, the high value-added segment accounted for 28.5% of the first year of the current financial year revenue as against 25% of the financial -- the half year of the last financial year.

The first half of the current financial year, we reported an EBITDA of INR1,242 crores, a growth of 21.8% over the last year's first half. Our EBITDA margin in the first half of the current financial year stood at 14% compared to 14.1% in the first half of the last financial year, reflecting a stable margin performance despite decrease in per tonne realization in few product segments.

We continue to focus on improving our product mix, enhancing realizations, driving operational efficiency through cost optimization and rationalization measures. These efforts have enabled us to deliver a strong net profit of INR551 crores in the first half of the current financial year, representing a 12.1% growth over the last year's first half.

We achieved a notable improvement in our working capital cycle. For the first half of the current financial year, our working capital days stood at 18 days as compared with the 22 days at the end of the last financial year. At all points in time, our gross debt-to-equity ratio has remained below 0.5x. The gross debt equity, which was 0.07x at the end of the financial year '25 is now at 0.10x at the end of the first half of the current financial year.

At a net level, we remain cash positive with the current investments and bank balance of INR1,694 crores against a gross debt of INR1,075 crores. We wish to inform that the post dropping off implementation of DI pipe project, our announced capex since IPO aggregating to INR9,425 crores. We have already incurred INR7,529 crores against INR9,425 crores, which aggregates to 80% of the total capex. We have already capitalized INR4,908 crores. The remaining capex of around INR2,559 crores shall be incurred over the next 2 years. We have spent INR945 crores of capex in the first half of the current financial year and INR526 crores in the second quarter of the current financial year. Our strategy has always been to incur capital expenditure in a smaller, well-phased manner to ensure that the balance sheet is never strained. At all times, we're closely monitoring liquidity solvency and capital efficiency ratio. I would like to assure you that the company continued to sustain a healthy financial risk profile despite pursuing capital expenditure plan of INR2,559 crores over the next 2 years, added by the internal cash generation and sufficient liquidity surpluses. This ensure that we will take only limited debt, and which will be in the form of working capital if required at any temporary fund flow mismatch. Most of the expenses are being undertaken without our existing facility and are organic in nature.

I would also like to reiterate that the bank limit utilization at the consolidated level is expected to remain moderate even going forward. The annual cash accrual should also be comfortable suffice for our capital expenditure requirements as well as debt repayment.

Now I conclude my portion of the speech through the floor open for the question-and-answer session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Amit Dixit from Goldman Sachs.

Amit Dixit: I have a couple of them. The first one is on a recently introduced PLI scheme for stainless steel and for the specialty steel. So just wanted to understand that how we are going to benefit from that? And how much benefit can we quantify over the next 5 years, at least, I mean, that's what document speaks of?

Brij Bhushan Agarwal: Actually,

the scheme has just been announced. We are evaluating, but more or less, we have seen that close to around INR400 crores to INR500 crores, we can be -- we can get the benefit from the PLI in the stainless-steel business. But final figure, we can't discuss right now because there are a lot of clarifications which is required, which might -- our team is in touch with the PLI bodies. And once we get all the clarifications, then we will share the note.

Amit Dixit: Okay. Got it. The second question is essentially on stainless. Now as I understand that some of the capex that we would be spending would also be towards stainless. And now we are basically entering in -- I would say, we would be one of the largest players in India apart from Jindal Stainless, and we would be entering directly into competition with them. And our EBITDA per tonne at least as of now is lower than Jindal Stainless. So just wanted to understand our thoughts around that, how we are going to increase the EBITDA per tonne? And what are the thoughts on Jindal Stainless as a competitor?

Brij Bhushan Agarwal: See, right now, we are into the long product. We just took a company from the NCLT a couple of years before. And now we have stabilized the plant, and we are creating a complete value chain in the long product. So, the numbers, what you are seeing is in the long product, if you compare the stainless-steel number of Shyam Metalics vis-a-vis Jindal Stainless. And in long

product also, we are adding the wires, which we already commissioned, and we are doing some more addition in the wires and bright bars businesses, which will enhance the number on the downstream side.

On the upstream side, we are building our own steel melting shop in our existing Odisha plant, where we have our own captive power, we have our own specialty alloy, ferro alloys, iron. So, in the time to come, our cost will also be substantially low in comparison to what we are incurring now. So, we'll be able to create a decent margin in our existing long product profile.

In addition to that, we are also setting up a flat product, what Jindal Stainless is doing. And we believe that once we are able to commission this plant, we will have an edge from the ore to metal -- like, we'll be making the stainless steel from the iron ore and the ferro alloy ores with our own captive power with our own steel melting shop.

And we are going downstream in the flat product from the HR to the CR final products. So, we will see a lot of value addition happening once we come into the stream. So, we will be -- it's very difficult for me to share right now like we will be cheaper than Jindal Stainless, but yes, we will be highly competitive, I can tell you.

Deepak Agarwal: In addition to this, I would also like to highlight that once our flat stainless steel will be commissioned maybe in the year '26, '27, then you will see our margin will almost very

competitively improve -- substantially improvement will be arrived in the coming year.
Brij Bhushan Agarwal: Yes. Everything will change because we are going all on the value addition, major expansions of the organization is getting into a more value-added chain like stainless steel, aluminum, we are putting up backward integration. We are -- so if we are making our own melting shop from the ore to steel, so we will be at the global competition level, like we have everything in our country, except the nickel. So, nickel is -- most of our products are 200 and 400 series where it doesn't attract too much of nickel as an ingredient or a cost. So, we'll see a lot of things will transform in the years to come.
Moderator: The next question is from the line of Shaleen Kumar from UBS.
Shaleen Kumar: Congratulations to the management for a pretty decent set of numbers given the tough environment and also, congratulations on the rating upgrade. Just to

begin with, if I can ask on
sector-level question. Bhushan ji, there have been multiple quarters of -- we are seeing that there is a declining realization.
I mean any -- if you can just highlight what's your sense if you're talking to your peers or your customers, etcetera, like is it the demand issue, supply issue? What are the problems? Any insights on that? Are we close to the bottom of the realization? Or do you think that this pain may still stay for next few quarters or whatever you can add value here?
Brij Bhushan Agarwal: If you see overall, there has been a big turbulence in this metal business in last 2, 3 quarters. We are seeing the correction in the raw material prices are not very big. The iron ore prices are pretty tightened. And we are also seeing there is a lot of disruption happening across because a lot of

exports in the complete sector affected because of so much of ambiguities in the policies internationally, what we are seeing.
But apart from that also, if you see overall, we have been able to sell what we have produced. We are able to get into -- more into a value addition. We are converting our businesses more on the value side. We are going more downstream, activities. We are creating more high-margin products. So, a lot of activity within the organization, we are trying to capitalize.
On the value addition side, if you see all the capex, what you see is related to the downstream activity. Nothing is coming on the upstream. So, we are just trying to get more and more into a downstream value chain, and we are adding -- we are planning to add more and more numbers in a time so that we can increase more and more bottom line once we increase more and more value addition. So, this is something what we are doing now.
And on the stainless-steel side, like the major ingredient for the stainless steel is iron, ferro alloys, specialty alloys and power. So, we are very much within in that space, like when we are putting up any new projects, it's nothing like we are doing something greenfield. It's all brownfield projects where we are adding a lot of value.
And now in the last couple of years, getting into a new stainless-steel stream with a small capex, we have learned how to create a better value for the company, Shyam Metalics. And we are not seeing a major competition in the stainless steel presently. So, we are sure with our competence level, with our past record and whatever we are doing right now, we will be able to create a good number in the near future.
Shaleen Kumar: No, no. Sure, sir. I agree on that. I think the execution has been pretty remarkable. If I ask -- I could see in the presentation that you have decided to drop the DI pipe capex. If you can answer what's the rationale behind that?
Brij Bhushan Agarwal: See, we have been evaluating like we were working on the DI project for almost 1.5-2 years. And from last 6-8 months, we have been contemplating because there are a lot of changes, and shift has happened on the technology of the pipe. Because a lot of places, the DI is getting replaced with OPVC, which is a plastic pipe, which is right now, most of the government companies, they have started introducing, and they started replacing the DI, where the cost of that pipe is close to 30% - 40% more cheaper.
And it's very easily -- the services are also very -- so we were discussing on this factor like when you see any changes on the obsolete -- on the product side, it's there, we thought of why to risk our capital. So, it wasn't giving us a great comfort with the new businesses and with the time when we are seeing the product is getting obsolete. So, we thought of keeping this and dropping this project on.
Shaleen Kumar: Got it, sir. Got it. Sir, this was supposed to be a bit of a forward integration for our pig iron and other intermediate steel. So should we expec

t something else in replacement of DI pipes.

Brij Bhushan Agarwal: Yes, we will be -- we are -- right now -- we have not taken any Board approval on this, but we are evaluating -- like, we have -- already, we have an SMS shop there, which is a Spanish shop, and we are trying to figure out what steel we should do. So, it will be too early for us right now to something which is not mature. But yes, we'll be doing the downstream, which we will be converting the complete iron into a specialty steel.
Shaleen Kumar: Okay. Okay. So, there will be something else replacing this project?
Brij Bhushan Agarwal: Yes, yes, we'll be doing, yes, yes.
Shaleen Kumar: Got it, sir. Got it. If I can ask one or two questions to Deepak ji. Deepak ji, we have the various capex line up in your -- in the presentation. Possible to give ballpark the key capex timeline, like if you can provide us like upcoming -- anything commissioning in Q3, Q4, let's say, some -- any timelines on the FY '27? It will help us just to -- for a modeling's sake.
Deepak Agarwal: 100%. The capex, which we have already announced, out of this capex in the current financial year, in the fourth quarter of the current financial year, we will commission our 90 megawatts of power plant, and 0.15 million tonnes of color coated. These are the two capex which will be commissioned in the current financial year.
And the rest will be commissioning -- when we talk about the financial year '26-27, majorly the aluminum business, what we have already announced like aluminum mill with caster, aluminum flat rolled product, aluminum coil, which will be commissioning in the second quarter of the next financial year. As far as stainless steel is concerned, the stainless steel will be commissioned in the financial year 27-28. And every -- all capex will be commissioned at the end of the financial year 26 -27.
Shaleen Kumar: Got it, sir. And sir, any thought beyond that, like are we -- like what are our thought process? Because our 5 years' journey of a higher capex plan will be completed by end of FY '27. So, are you forming up any plan beyond that?
Deepak Agarwal: Yes, yes. As you're aware of that, we have a prudent capital allocation policy there. So, whatever we are generating cash, out of this cash, 60% - 70%, we will further refinance, reuse in our growth plan. Definitely, the post '27, the kind of substantial cash generation will be there, which will be -- definitely we will announce, we are working.
Our capex committee is already working. And sir already said that we will be -- very shortly, we will announce our downstream and value-added product, maybe in the next quarter or in the fourth quarter of the current financial year, post '27, the kind of free cash is there in the system.
Moderator: The next question is from the line of Shrosh from Vedang Capital.
Shrosh: I just wanted to further elaborate on the previous question regarding capex. You've mentioned that by 2026 - 27, all capex will be incurred. By when do you feel we'll be able to start seeing that lead to revenues?

Brij Bhushan Agarwal: Generally, it takes -- once we are -- once we commission the plant, it takes around 6 months to a year time to stabilize the plant to set up the market, qualities and all. So, we will gradually see.
Like, the color-coated business, we are already in, we are doing expansion.
So immediately in next 3 to 6 months, we will see the business will be start rolling smoothly. In aluminum also, we are already in the aluminum products, so we don't need to develop the product because it's already developed. So, it will not take much time.
In next 3 to 6 months, we can see that everything is getting ramped up. Where the stainless steel is concerned, the new product, it will take around 6 months to 9 months to come in 60%, 70% stream, yes. So, this is a general ballpark, what generally all these kinds of an industry look like.
Shrosh: My next question is, where do you see our growth for the next 2-3 years, top line and margin, sir?
Brij Bhushan Agarwal: If you see in last 3 – 3.5 years, we had grown pretty decent, from INR6,000 crores top line, to close to INR15,000 crores we did this year. And we expect that we'll be enjoying a double-digit growth close to 15% to 20% on an average for next 2 to 3 years minimum. And since we are going into the downstream value additions and all. So definitely, in time to come, the margins will also definitely -- we expect that close to 200 or 300 basis points, we'll be able to improve it.
Moderator: The next question is from the line of Dhiraj Shah from RJ Investments.
Dhiraj Shah: Yes. I have a couple of questions. Firstly, aluminum foils exports formed almost 24% of the total exports in the first half of '26. So, could you throw some light on current utilization of existing foil capacity?
Brij Bhushan Agarwal: See, the plant is operating at almost 90% plus capacity. And it is operating much better what we expected. And we are making a very specialized foil. So, these are all very special foil, which

has a very unique usage. We are supplying to the defense industry and other packing industry, which has a special application.
And this will continue to grow like this because today, the domestic margins are much better. And there is a little penetration on the international market, though the demand is there. And we have a good, decent sales book of close to 5 to 6 months now looking forward. And there's a good penetration of demand on well acceptability of our product. So, we are very confident. I don't see any kind of surprises.
Dhiraj Shah: Understood, sir Understood and also more of a follow-up. So, given 60% of exports come from aluminum business, so any maybe near-term pricing pressures that you may foresee?
Brij Bhushan Agarwal: No, no, not really, not really. Very -- we will be having a better edge because once we commission the aluminum plant next year, so the raw material, what we are using for the foil stock, we'll have our own captive production. So, we'll be increasing the margins on that because we'll be doing our own raw material of foil stock.

And seeing the demand and the richness and the uniqueness of the special product what we are doing, I don't see there is much -- these are all penetrations a little bit on the duty side and all, but I don't think this will last for very long, whether it is helping us to develop more and more new businesses, more new products, more new revenue. And now I can share that it's a very stable business. So, I don't see any kind of surprises or any kind of challenges in the time to come.
Moderator: The next question is from the line of Prachi Cheda from SDA Finance.
Prachi Cheda: I had a few questions lined up. My first question, sir, with new color-coated and parallel flange beam lines coming up, what incremental revenue contribution can we expect in FY '27?
Brij Bhushan Agarwal: See, we expect that from the color business, the flat product, what we are -- the expansions -- after expansion, close to INR4,000 crores, INR4,500 crores will be the total revenue coming out from the flat product businesses, including the color coated and all, close to. I'm not 100%, but yes, 90%, I can tell you.
Prachi Cheda: Got it, sir. Also, have you seen any margin improvement due to higher captive power usage and improved logistics via captive siding? Higher captive power usage is at around 81% right now.
Brij Bhushan Agarwal: Yes. It's improved, no. If you see, the power cost is very stable, and we are not using any kind of a fuel. Most of the fuel what we are using is on the reject side, and its cogeneration. So, it's not really

going to impact very largely because we are extremely very, very competitive, and we are not using any fresh coal in our plant. So, it's majorly the rejects and all.
So, the advantage what we get from all these things is on our product side -- other product side. But yes, the cess of INR400, which was charged before, has come down. So, it is also helping us on the cost side. It has given some kind of a comfort. So, I would say, yes, it is positive.
Moderator: The next question is from the line of Rakesh Roy from Boring AMC.
Rakesh Roy: Sir, my first question regarding, sir, can you light on the raw material prices from Q2 versus Q1 and Q3? How is it trending now?
Brij Bhushan Agarwal: I don't see there is much changes in the raw material prices presently. It is almost marginal. So it's not a very -- but the cess impact on the coal has been -- is beneficial. And Deepak, can you elaborate on this with your numbers and all because I'll not be able to share very...
Deepak Agarwal: No, no, correct, sir. The raw material prices have not been corrected from the quarter 1 to quarter 2, which is mostly in line. But in the current quarter, in the third quarter, the coal prices have been going down by 5% to 7%. And iron ore prices are also going down by a little bit. But similarly -- but in the account of specialty alloy, the manganese prices have been corrected by 10% and the ferro chrome prices has also been corrected by 4% to 5%. These are the price -- raw material prices have been corrected from quarter 1 to quarter 2, but not majorly like iron ore fines prices has not been corrected, but we hope that it will be further corrected.

Rakesh Roy: Okay. And regarding the pricing, any chance because -- many companies will compensate if they are hoping, or they are expecting the price increase from the November? So are you also looking to increase the price from -- or are you looking to increase the price from November or December?
Brij Bhushan Agarwal: So the demand -- after this, we are all waiting for the Bihar election issues to be over because we had been all during the festive season. And if you see all the years, this quarter has been always very low because of the festive season, and this time because of the election. So the

demand of the overall industry will go up. And once it -- we start looking everything post-
election, so the price will start correcting. Yes, we are all hopeful and optimistic.
Rakesh Roy: Okay. So can we hope that H2 is better than H1 in terms of volume and pricing, both?
Brij Bhushan Agarwal: At this point of time, it's -- we have to wait for some more time.
Rakesh Roy: Okay.
Deepak Agarwal: But definitely, if you look into our financials, we will be always in the volume growth. If you look into quarter-on-quarter percent, we are increasing our volume growth. And with the recent commissioning of pig iron in the third quarter, definitely in absolute number, definitely, we will be improving from quarter 1 to quarter 2 in the next quarter 3 and quarter 4.
Rakesh Roy: Okay. And sir, last question regarding, sir, SS business -- stainless steel business, sir. Sir, can you light on, sir, government is also just -- they are doing some antidumping duty after talking, sir, because -- can you light on this, sir, regarding SS?
Brij Bhushan Agarwal: There are some thought process going on the DI side and some kind of relaxation, but these are very -- the margins in the SS are very good today, the flat product businesses margins and all.
And I see today, the demand of the SS is growing very decent. So very difficult at this point of time till everything is clear. But overall, with the country demand and with the present production, I see decent numbers coming up from this business.
Rakesh Roy: Right, sir. And sir, how is the demand -- hello?
Brij Bhushan Agarwal: Sorry?
Rakesh Roy: Sir, how is the

demand for your TMT business in Eastern part, especially how is the demand?
And how is it looking, this point of view, after?
Brij Bhushan Agarwal: Actually, after this -- we are right now in the festive and Bihar election, we expect that it will go up. By end of November, we should start seeing the changes.
Rakesh Roy: How much are you looking at? How much growth you're looking compared to...
Brij Bhushan Agarwal: See, if the demand is growing -- if the demand is good, it will grow. So we'll be able to -- because we have not expanded the capacity on the TMT. Whatever we are going to produce, we are going to sell it. It's all about the margins, which will increase.

So overall, we know that today because of the -- and for the industry, festive seasons and all these things are always -- some moment where things are not very rapidly growing, but I think now we are done with this, and we will start seeing things changing. So it's -- all the quarter, we have been seeing the same thing.
Rakesh Roy: Right, sir.
Deepak Agarwal: And also, in the quarter 2 in the metal industry, the monsoon season is there. So there will be a disruption in supply chain management. Definitely, the demand will improve in the third quarter, fourth quarter, basically because of the most of the government contracts and everything has been concluded at the end of the financial year. So definitely, the demand from the raw steel will improve in the third quarter and fourth quarter.
Rakesh Roy: And one thing, sir, in Mittal Corp, how much revenue from this quarter from the Mittal Corp?
And how much is the utilization?
Deepak Agarwal: The utilization is in the level of 70% to 80%, and we have further revenue...
Rakesh Roy: And how much...
Deepak Agarwal: We are selling -- stainless steel we are selling only 20,000 quarterly basis -- 20,000 tonnes of stainless we are selling.
Rakesh Roy: Okay. In terms of revenue, total revenue come from the Mittal Corp this Q2?
Deepak Agarwal: INR600 crores.
Rakesh Roy: INR600 crores. And for full year, how much you guided, sir, for FY '26 for Mittal Corp?
Deepak Agarwal: It's around, you can say INR2,000 crores. We will be targeting to achieve INR1,500 crores to INR2,000 crores.
Moderator: The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.
Pathanjali Srinivasan: I have a couple of questions. So firstly, this captive plant that -- power plant that we have shown in our presentation, I think we're doing around 100 megawatts at around INR350-odd crores.
The cost seems very less. Could you explain a bit about what configuration or what type of plant this would be?
Brij Bhushan Agarwal: We are -- if you see the history, in the past, whatever plant we have commissioned, we have been extremely very capital effective. So, this is very well taken. I appreciate your point. And if you see the PLF of our power factor is always 90% plus. So generally, it's all brownfield project, and we take the technology from the best of the boiler manufacturer, be it Thyssenkrupp or Thermax and all. And so being in the steel business and a strong engineering foothold, we work together, and we make sure that we should be at least 15% - 20% more capital effective. And all our turbines are from BHEL and Siemens.

Pathanjali Srinivasan: Yes.

Brij Bhushan Agarwal: We are better, yes.
Pathanjali Srinivasan: Yes. No, you feel substantially better, which is why I just wanted to figure out. We are doing something very different than what industry does.
Brij Bhushan Agarwal: Thank you. I appreciate.
Pathanjali Srinivasan: And just one more question. This quarter, our production in terms of sponge iron was a bit lower. Did we take any -- or not production, maybe sales, did we take any maintenance or anything, sir, this quarter?
Brij Bhushan Agarwal: These are regular things; very small marginal changes are there. So we generally have some maintenance, or when you do a power plant shutdown, some maintenance comes, you have to -- so these are all -- after 2 -3 years, each and every plant has to be taken a long shutdown. Sometimes we have to take annual shutdowns.
Pathanjali Srinivasan: Okay. So it's just a routine seasonal thing. There's nothing -- there's no other reason.
Deepak Agarwal: No, I don't think there is any changes in our production of sponge iron from the quarter 1 to quarter 2. The sales volume is definitely going down because we sell more pellet -- iron pellet because our realization is more on iron pellet, that's why we sell more iron pellet.
Pathanjali Srinivasan: Got it, sir. Yes. That's what I wanted to figure out. Like there seems to be some bit of a decline, but it's not visible at a revenue level, that's why I just wanted to figure out. Got it, sir.
Deepak Agarwal: That is the only reason. Because the realization is more on iron pellet, that's why we sell more iron pellet. We are not converting iron pellet into...
Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Sumeet Khaitan from MUFG Intime for closing comments. Over to you, sir.
Sumeet Khaitan: Thank you, everyone, for joining in the call today. I hope the management was able to answer all your queries today. I also want to thank the management for sparing the time and joining the call today. We are MUFG Intime, Investor Relations Advisors to Shyam Metalics and Energy Limited. For any queries, please feel free to reach out to us. Thank you, everyone.
Deepak Agarwal: Thank you, everyone.
Moderator: On behalf of Shyam Metalics and Energy Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.
Brij Bhushan Agarwal: Thank you.

Call: Jan 2026

OUR BRANDS

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SMEL/SE/2025-26/111 30th January, 2026

The Secretary,
Listing Department, BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai 400 001
Maharashtra, India
Scrip Code: 543299 The Manager – Listing Department
National Stock Exchange of India Limited
“Exchange Plaza”, 5th Floor, Plot No. C/1, G-
Block, Bandra-Kurla Complex, Bandra (East),
Mumbai 400 051, Maharashtra, India
Symbol: SHYAMMETL

Dear Sir/Madam,

Sub: Transcript of the conference call for Un-audited (Standalone and Consolidated) Financial Results for the third quarter and nine months ended 31st December, 2025

Pursuant to the Regulation 30 read with Schedule III of SEBI (LODR) Regulations, 2015, we forward herewith the transcript of the conference call with investors and analysts held on Tuesday, 27th January, 2026 for the Un-audited (Standalone and Consolidated) financial result of the company for the third quarter and nine months ended 31st December, 2025.

This is for your information and record.

Thanking You,

For Shyam Metalics and Energy Limited

Birendra Kumar Jain
Company Secretary & Compliance Officer
M No. F13320

“Shyam Metalics and Energy Limited
Q3 and 9 Months FY '26 Earnings Conference Call”
January 27, 2026

MANAGEMENT : MR. BRIJ BHUSHAN AGARWAL –CHAIRMAN AND MANAGING DIRECTOR – SHYAM METALICS AND ENERGY LIMITED

MR. DEEPAK AGARWAL –DIRECTOR, FINANCE AND CFO – SHYAM METALICS AND ENERGY LIMITED

MR. PANKAJ HARLALKA – HEAD OF INVESTOR
RELATIONS – SHYAM METALICS AND ENERGY LIMITED

MODERATOR : MR. OMKAR BAGWE– MUFG INTIME INDIA PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 and 9 Months FY'26 Earnings Conference Call of Shyam Metalics and Energy Limited, hosted by MUFG Intime. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Pankaj Harlalka from Shyam Metalics. Thank you, and over to you, sir.

Pankaj Harlalka: Thank you, Sudha. Thank you, ladies and gentlemen, for joining us in the call. I, Pankaj Harlalka, Head of Investor Relations at Shyam Metalics, wish you all a very good afternoon, and a warm welcome to the third quarter FY '26 post results conference call.

Before we delve into discussing the quarterly numbers, I hope you all had an opportunity to review our press release and the investor presentation, read along with the Safe Harbor statement, which are available under the Investors section of our website and the same are accessible in the BSE and NSE website.

To discuss the third quarter and 9 months results FY '26, I'm joined by Mr. Brij Bhushan Agarwal, Chairman and Managing Director; Mr. Deepak Agarwal, Director Finance and CFO; and Mr. Sumeet Khaitan from MUFG Intime, our Investor Relations partner.

Now I would like to invite Brij Bhushanji to provide his perspective on the performance of the third quarter of the current financial year. Thank you, and over to you, sir.

Brij Bhushan: Good afternoon, everyone. Thank you for joining us on the call. The industry continued to face a challenging environment during the quarter. Global demand remains subdued due to the ongoing geopolitical uncertainties and fluctuation in key raw material prices. In contrast, domestic demand remained stable during the period.

Let me brief touch upon the prevailing operating and industry environment, which continues to evolve amid global and domestic development. Globally, the steel industry has been impacted by trade-related action, including tariff measures in the key areas and markets such as US which has altered international steel flows. These developments have led to higher diversification of steel into alternative markets, creating some pricing pressures across regions, increasing volatility in global steel prices.

From domestic prospect, India economic fundamental remains structurally strong. Steel demands continue to be supported by infrastructures development, manufacturing activities, urbanization with global spending on huge infrastructure such as road, railways, power, urban infrastructure driving demand for long product.

However, near terms, demand in certain retail and secondary segment remains caution, leading to selective pricing pressure. Despite these challenging and -- challenges, we are pleased to

report a decent strong resilient performance by Shyam Metalics. During the quarter, our volume growth on year-on-year is 25% higher and revenue growth is almost 18%.

Over the first 9 months of the year, Shyam Metalics delivered solid growth in both terms of revenue, EBITDA, highlighting the strength of our business model. This performance was driven by our integrated operations, diversified portfolio, sustained focus and cost efficiency.

During the quarter, we successfully commissioned and started commercial production of 0.45 million tons of blast furnace at our Kharagpur plant. This commissioning meaningfully increased our steelmaking capacity, strength, our integrated manufacturing setup support our long-term growth ambition.

Further, I'm happy to announce that in the last quarter of FY '26, the 90 megawatt of captive power plant and 0.15 million tons of color-coated plant are expected to be commissioned with their prospective impact in the cash flow and become clearly visible for FY '27.

Additionally, the backward integration of aluminum flat product of 0.6 -- 0.06 million tons per annum with aluminum caster mill, the new foil plant capacity of 20,000 tons per annum to be commissioned by June 2026. Building on this momentum, I'm pleased to announce the Board had approved the fresh capital investment of INR 6,660 crores to support the next phase of our growth.

This investment will be used for capacity expansion, improving the processes and developing more downstream and value-added products. The proposed capex will be funded primarily through the internal accruals and borrowing if required. These investments are aligned with our long-term goal of expanding operations, improving efficiencies, strengthening infrastructure, increasing margins while maintaining strong, steady, sustainable growth.

To further strengthen our Board, we are pleased to announce the appointment of Mr. Subrata Bhattacharya as Additional Director for the term of 5 years, subject to the shareholder approval. Mr. Bhattacharya is a very distinguished metallurgist and seasoned corporate player with over 39 years of extensive experience in specialty steel, stainless steel industry. He has previously served as Whole-Time Director at Jindal Stainless Limited and CEO of Viraj Profiles Limited. We warmly welcome him to the Board of Shyam Metalics.

On the regulatory side, we welcome the decision to impose the safeguard duty on steel import. This move is extremely supportive for domestic manufacture as it helps to address unfair import pressure and improve pricing discipline, stability and support mechanism in the market and create a better support capacity utilization.

To conclude, we remain focused on sustainable growth, improving profitability, creating long-term value for our valued shareholders. With disciplined execution, prudent capital allocation and clear growth strategy, we are confident of closing FY '26 with a strong note. Thank you for your continued support, trust, and we look forward to engaging with you in the quarters ahead.

With this, now I conclude my speech, and I would request our CFO, Mr. Deepak Agarwal to take us through the financial performance. Thank you to all.

Deepak Agarwal: Thank you, sir. A very good afternoon and a happy New Year to all the participants. I thank you all of you for taking time out on this call to discuss the results for the third quarter of the current financial year. For the Indian steel industry, the current phase is characterized by healthy volume growth alongside persistent pricing challenges, incremental domestic capacity, coupled with global price softness have kept realization under check, even as demand remains steady.

Overall, while the external environment continued to remain dynamic, the underlying fundamental of the Indian steel industry remained intact. At Shyam Metalics, our diversified product portfolio, integrated operations and prudent capital allocation approach, positioning us well to navigate near-term challenges and continue delivering sustainable performance over the medium to long-term.

Despite this headwind, Shyam Metalics has delivered a strong operational performance in quarter 3 of the current financial year driven by higher volume, improved product mix and disciplined cost management.

I would like to share a quick review of the reported consolidated financials for the third quarter of the current financial year. The company reported an operating revenue of INR4,421 crores in quarter 3 of the current financial year, registering a growth of 17.7% over quarter 3 of the last year. This growth was primarily driven by a 25% year-on-year increase in volume, refl

ecting
successful ramp-up across key product segments and capacity utilization.

For the 9 months ended December 31, 2025, the company reported a consolidated revenue of INR13,312 crores, registering a growth of 20.9% over the 9 months of the last financial year.

On the profitability front, the company recorded an EBITDA of INR539 crores, up 6.3% year-on-year with an EBITDA margin of 12.2%.

Operating EBITDA stood at INR487 crores, a growth of 6.9% over quarter 3 of the last financial year, with the operating EBITDA margin of 11%. Margins were impacted by lower realization in carbon steel and sponge iron partially offset by higher contribution from the aluminum, stainless steel and iron pellet.

If I have to speak on 9 months ended 31st December 2025, the consolidated EBITDA of INR1,781 crores, registering a growth of 16.6% over the last year and operating EBITDA of INR1,606 crore, which registered an 18.9% growth over the last year. The profit after tax for the quarter stood at INR198 crores, broadly stable on a year-on-year basis.

The PAT margin for the quarter was 4.5%, which remains healthy considering the current price environment in the sector -- in the steel sector. For the 9 months ended 31st December 2025, the PAT is INR749 crores, registering a growth of 8.6% over the last year.

From a product perspective, the iron pellet realization improved by 5.4% year-on-year, while aluminum, stainless realization increased by 8.5 -- 8.4% and 11.3%, respectively, highlighting the benefit of our diversified and value-added product portfolio, realization in specialty alloy, carbon steel, sponge iron remain under pressure due to the market conditions.

In terms of volume, the company delivered a strong growth across several segments, iron pellets volume increased by 43% year-on-year. Specialty alloys volume increased by 18.7%, stainless steel volume increased by 8.8% during the quarter. We also continued to scale up volume of our color coated and pig iron.

As our ongoing capex projects are progressively as planned as of 9 months of the current financial year, we have incurred -- already incurred INR8,038 crores against the total project planned capex of INR9,425 crores, which is almost 85% of our total capex plan. Out of this INR8,038 crores, INR5,357 crores has already been capitalized.

These investments are starting to deliver benefit through better operational efficiency, lower cost, improved product quality as this project stabilized further. We expect additional benefit to reflect in our performance in the coming quarter as well.

In line with the long-term growth plan, Board has further approved a capex of INR6,660 crores, which will be deployed towards the capacity expenses, value-added products and strengthening backward integration. These investments will enhance scale, improve cost competitiveness and support margin expansion over the medium to long-term.

This capex will be incurred through internal accrual majorly and borrowing if required from time to time. We remain confident of closing for the current financial year on a strong note and supported by a robust volume, increasing contribution from value-added products and disciplined execution of our growth strategy.

With this, now I'll open the forum for the question-and-answer session. Thank you.

Moderator: Thank you very much. The first question is from the line of Amit Dixit from Goldman Sachs Group. Please go ahead.

Amit Dixit: Congratulations for a good set of numbers in a very testing environment. A couple of questions from my side. First of all, congratulations for announcing yet another capex plan. The first question is essentially on one of the elements of this capex plan that is wagons, seems to be a little bit unrelated area of our operations.

So just wanted to understand the kind of synergies that you are seeing. And particularly, t

his

particular industry in Calcutta itself, we have a number of companies. So what -- how -- what and how different we will be from those companies? I just wanted to understand that strategic rationale. That is the first question, sir.

Brij Bhushan: Wonderful. Thank you, Amit. You know that Shyam Metalics is now setting up aluminum backward integration with the cold rolling mill. We'll be making a lot of aluminum sheets. We are coming with our stainless-steel flat product, which is going to be commissioned in next couple of year

We are setting up an HR coil plant. So if you see in the wagon industry, the major fabrication raw material is the backward and forward integration to our existing proposed plan. Also, if you see the margins in the wagon and the advantage what we have, like it is a very low capex, like the total capex is close to hardly INR200 crores.

And we have a complete infrastructure available as a railway line as most of the infrastructure required for the sheds and all for the wagon plant in our existing plant. It will add a lot of value because once we make a product, we have a lot of value-added product in our existing manufacturing facilities as well, we have a lot of unsized product, which will be able to create more value addition in the wagon plant.

So it is a very small investment. And if you see the railway demand which is going to come up in the near time, we are seeing the infrastructure is growing. And I feel this is the area where we should start with very small. It's a very small capex.

And once we see that we are able to -- we are totally convinced with the strategy growth and all, we have further area of expanding into a various kind of high value-added wagon business, like value -- wagon business will start basic one in the stance. But later on, we can get into metros, we can get so many.

So this is just a stance of testing new project where the backward and forward integration has a lot of value to us. And we have a captive railway siding. We don't have to build up a railway line. We don't have to build up so much big infrastructure, which is required for a wagon plant.

Amit Dixit: Got it. Got it. The second question is essentially on the portfolio itself, product portfolio. So if I look at it, there are four distinct buckets of products. Now you have aluminum foils, stainless steel, we have longs and flats in carbon steel. So going ahead, where the focus will be?
I understand, I mean, broadly, it is on downstream products. But I mean, you have recommended the induction of Mr. Subrata Bhattacharya. So is it that we would be focusing on stainless in the near term? Or going ahead, where do we see your capex coming?
Brij Bhushan: Very interesting question. I'll just brief you. If you see the Shyam Metalics as a company, we are a metal company, and we would definitely like to invest in these future sustainable long-term value chain. If you see in last 3 years, like we have -- we started with a small pellet plant of aluminum foil plant.
Now we are close to around INR1,000 crores, in the next 2 to 3 years we are targeting that we should be close to INR 3,000 – INR 3,500 crores business. We'll be able to develop with the backward integration, creating more margins in aluminum, knowing -- understanding the business since we have now more than 40% of our export market on the overall business, we are adding a lot of value and all.
So this comes from the aluminum chain for next couple of years. And it is giving a decent margin, the EBITDA margins, the product margins and the innovations on the new metal in the

aluminum space, a lot of action has been there. From the stainless steel point of view, yes, now we are in the carbon steel where the prices are always very, very competitive.
And stainless ste

el is also one of the value addition over the carbon steel. Since we make specialty alloy, we have our own power, we have our own steel, we are focusing more on the 200 and 400 grade stainless steel where we have a neck and we should be able to capitalize more on the value addition. So stainless steel is a kind of a value addition in our existing metal space.
And as you know, there is very -- the per capita of stainless steel in our country is very, very low. And the kind of penetration which we are seeing in the stainless steel businesses like in the construction steel, in the other flat products and all, in the white goods, we are seeing there is a lot of in the railways, in the other infrastructure, special engineering manufacturing, like India is becoming the hub of the smart manufacturing.
So I'm seeing a lot of penetration in the stainless steel. And this is going to add a lot of value forward and backward to our existing industry, creating our model more robust, sustainable and creating more value for our shareholders.
Moderator: Thank you. The next question is from the line of Vikas Singh from ICICI Securities. Please go ahead.
Vikas Singh: Sir, my first question pertains to our aluminum segment realization, which seems to be down on a sequential basis, contrary to how the aluminum prices have moved up in the international market. So, have our mix has been deteriorated? And how does it impact our overall performance?
Brij Bhushan: There are two things, Vikas to calculate. One thing is, you know, we are not the primary manufacturer of aluminum. We are the value-added manufacturing hub of aluminum. And in aluminum, there are a lot of sections, a lot of products where we have a high EBITDA, and there is a lot of products where the EBITDA is a little lower, but the productivity is higher.
If you see the results in the terms of the numbers, we are increasing quarter after quarter. But because of the volume is going up and to see the best value per ton EBITDA per hour, the decisions have been taken accordingly. But yes, due to some forex fluctuations, maybe some imports are there for the foil or maybe some kind of a slowdown in the American market, some impacts are there, but it's not majorly affected.
Vikas Singh: Noted, sir. And sir, in our opening remarks, basically, we talked about the challenging condition still persists by the CFO. So just wanted to understand, after the safeguard duty, we would have a healthy price hike. So is the demand still an issue because price seems to be on a healthy side, if I just check on the domestic market as well from December onwards...
Brij Bhushan: Safeguard duty has been introduced. There is a decent price increase from this month onwards -- from January onwards. Last quarter, the price was extremely low. And there is a lot of volume in the transit by the secondary -- in the hand of secondary people. So it takes time to evacuate.

But overall, as a country demand is concerned, we are utilizing our plant at more than 90% - 95% capacity, irrespective of some little bit of price pressure, but we are able to sell the material.

So not majorly, but yes, things are going to improve because we know the country is growing, the demand is growing.
And to sustain the country growth, we have to produce 300 million tons. And we know how the systems are working now. So we are extremely optimistic and extremely bullish on our business.
Vikas Singh: Got it. And sir, this INR6,660 crores is over and above that INR9,700 crores capex, right? So the total pending capex at this point of time would be INR7,500 crores. Is that number correct, which we will be spending in 3 years?
Deepak Agarwal: Yes, yes.
Brij Bhushan: Deepak, question to you.
Deepak Agarwal: Yes. The remaining capex is around INR8,000 crores, which will be incurred in the next 3 year This quarter -- last quarter, we

will be trying -- we will be incurring around INR500 crores. And every year, we will be incurring around INR1,500 crores to INR1,800 crores every year.
Vikas Singh: Noted, sir. And sir, just one last question. This HR plant, which we are planning to set up, which would be -- it would be set up in which of our plant? And how much of the space we would be available post this expansion as well for the -- to incorporate the future expansion?
Brij Bhushan: We have -- this plant we are coming up -- this plant is coming up in Bengal side, Jamuria plant. And apart from this, we have enough land and some more land are under acquisition. For at least next 4 to 5 years, we don't have to look back.
Moderator: Thank you. The next question is from the line of Rajiv Jain from Arcane Investments. Please go ahead.
Rajiv Jain: Yes. Thank you for the opportunity. So, I just have a couple of questions. Firstly, so how are you seeing demand trends in Q4 and early of financial year '27, especially for the finished steel and value-added products? Could you throw some light on that?
Brij Bhushan: See, I am -- we are extremely optimistic, I told you, because since last 1.5 - 2 years, the metal steel was extremely challenging. And in spite of that, as a company, Shyam Metalics has been recently performing with a decent EBITDA numbers and all. But now looking forward with the kind of growth vehicle, what we are seeing every quarter, it is becoming robust.
Demand is not a challenge because whatever steel is being produced in the country, it is being consumed. And we know like if you are talking of 7% to 8% GDP and we are producing around, say, close to 160 million tons of steel every year, compoundingly, we will be requiring around 11 million to 12 million tons of steel.
So we don't have to really worry on the steel demand side cycle and all. Might be some kind of a geopolitical situations or maybe some kind of uneven surprises what we are hearing from the

Trump and this kind of a mystery. It is a part of our journey. But actually, as a product, as a steel, we really should not be bothered.
Market is very stable. There's a good demand. We are seeing a lot of penetration happening in the private sector, smart manufacturing, rural development, infrastructure, roads, railways. So we don't have to worry at all.
Rajiv Jain: Understood, sir. Understood. And my next question is on capex. So you have already completed a large portion of your capex, which was around 9,400. And so which key projects will start contributing meaningfully from FY '26 and which ones will take a little bit longer to ramp up? Could you quantify that?
Brij Bhushan: See the blast furnace, what we commissioned this year we'll be seeing at least more than 95% efficiency factor coming up from the coming year onwards. The Ramsarup is again second blast furnace, which you will see a lot of action this year as well. The cold rolling mill expansion of color-coated business, we'll see almost doubling this year. The aluminum backward integration plant is going to have another impact to double the revenue this year.
And apart from that, a lot of other power plants and some little bit of minor engineering in the existing plants, iron making capacity of close to 200,000 tons, we'll see -- will be commissioned this year. So there's a lot of action this year. Starting from the first quarter till the third quarter, we'll see a lot of new plants getting commissioned.
Rajiv Jain: Understood, sir. Understood. And in previous quarters, you had mentioned potential benefits from PLI scheme for stainless steel. So has there been any further progress on this since then?
Brij Bhushan: The plant is under the construction stage. And once you are commissioning the plant, then only you will be getting. So we have -these are all statutory compliances, which are in place. So we will not get im

mediate results until we commission the plant. So we have to wait for another 1.5.
Moderator: Thank you. The next question is from the line of Kartikeya Kumar Pandey from 360 One Capital. Please go ahead.

Kartikeya Pandey: Yes. So sir, given the positive outlook that you are sharing on steel prices, so I just wanted to understand what kind of margins like are we looking in the fourth quarter and then for FY '27 and FY '28, if you could just share some rough numbers on that?
Brij Bhushan: You will definitely see a substantial better margins in Q4 in comparison with Q3 because the price have gone up. And as usual, if you see the history, the past and all Q4, Q1 is always very inspiring because of -- it's a season of construction. There's a lot of -- we are done with all the festive and all.
So -- we expect that at least, if I'm not mistaken, if my finance people support me close to 10% to 15% or maybe 20%, we will see more improvement on our margins and all in this quarter and also subsequently in the coming quarter.

Deepak Agarwal: In addition to this, you should also look into that in the next financial year, there are a lot of projects will be commissioned like aluminum foil, flat-rolled products, like aluminum foils, color coated. So definitely, margin will be improved and also the growth will also be improved.
Moderator: Thank you. The next question is from the line of Ashish Kejriwal from Nuvama Institutional Equities. Please go ahead. As there is no response, I'm taking the next question from the line of Devesh from Ikigai Asset Manager. Please go ahead.
Devesh: Just one question. Recently, the ■ 400 per ton of coal cess was removed, what kind of benefits are we expecting from that? And when will that start to flow through? Or is some part of that already flowing in Q3? But largely, I think power cost per kilowatt is largely similar, I think, on a Q-o-Q basis.
Brij Bhushan: Actually, it really doesn't have a major impact on our power because our power plant is based on the waste and waste gases and waste product, which comes out from the steel plant. Already, these kind of numbers at such a low -- such a -- when you are seeing the revenue impact is there. It means there is a huge impact on the overall.
It has also -- it has already been taken care of in the third quarter. And subsequently, whatever the carryover stocks are there, it dilutes slowly. So we will see subsequently, there will be a decent improvement in the coming quarter. But power, definitely, it doesn't have that major impact because we don't use fresh coal. We just use the rejects and wash rejects and waste sheet and all in our power plant.
Moderator: Thank you. The next question is from the line of Mudit Bhandari from IIFL Capital. Please go ahead.
Mudit Bhandari: Sir, first question, we are expanding capacities across our intermediate products, including pellets -- not pellets, sponge iron, pig iron and billets. And if I compare that capacity expansion with our finished steel product, including long and flat, so we are a little aggressive more upon the intermediate product side. So is this any strategic call or how to look at this? Because at this rate, we'll be selling our intermediate products even till FY '27 or '28?
Brij Bhushan: I don't know where do you derive this number? Because if you see from the Bengal plant, the kind of HR what we are targeting close to around 1.6 million tons. And if we are consuming our hot metal, that is pig iron and the DRI. So we are almost compensating and we are out of the intermediate products from the Bengal plant. If you see the Odisha plant also the stainless steel facilities and all what is coming up, slowly, slowly, it will add.
So we will not be completely zero downing the intermediate and neither we want to zero down. We want to have some little bit of share to have a proper penetratio

n and awareness on the market side. And every intermediate product also, what we sell, we sell in the profit margins and also. But yes, in the time to come in next couple of years, we'll see that, you know, we'll be converting a lot of our intermediate product by ramping up our existing capacity and adding more value downstream.

Mudit Bhandari: Got it, sir. So directionally, in FY '27, more or less, we'll be consuming all of our intermediate products?
Brij Bhushan: No, no, not by FY '27. It will be -- because HR is coming in 2 - 2.5 years, if you see what we declared. So probably from '28 and onwards or maybe early '29, probably we expect that we should be able to consume a lot of intermediates.
Mudit Bhandari: Got it, sir. And then your slide on Page number 23, what you mentioned, expected sales in volume FY '28, these are sales to external clients for intermediate products, right?
Brij Bhushan: All our sales are to the external system. We never calculate the sales of the intermediate transfer.

All sales related to the...
Moderator: Thank you. The next question is from the line of Ashish Kejriwal from Nuvama Institutional Equities. Please go ahead.
Ashish Kejriwal: Sorry, I was on mute that time. And many congratulations, sir, for successful growth capex without stretching the balance sheet, very few times we see that. That's -- many congratulations for that. Sir, my question is on hot-rolled mill. I assume that we have 0.4 million tons of cold-rolled mills. So obviously, 0.5 million ton of that will be used in the hot roll. So going forward, do you want to go into sale of HRC coil? Or can we expect that next phase, we can see further expansion in CR coil or further processing to galvanized products?
Brij Bhushan: Very, very intellectual question. Must appreciate. Yes, you are right, Ashish. Like HR takes -- HR is a long decision time. And our strategic HR of setting up to -- close to 2 million or maybe 1.6 million tons at a price of less close to INR 5,000 crores is something we have to appreciate. And we all know like any HR product when we set up, we have to set up a complete iron-making facilities downstream.
And as a strategy of Shyam Metalics being so conservative and prudent, we had built up all our infrastructure backward and forward integration. So our immediate step is that to -- we have to take up the HR project, and we should try to commission it before time what we delivered, what we committed.
And in the time from close to 0.5 million tons, what I presume you will be able to do from this plant in next 1-year, we will definitely evaluate, and we are still evaluating to create some more facilities so that in the time to come, at least 60% - 70%, we should be able to captively utilize. These are all strategic long-term value-added product mix what our team is doing. And soon, once we are through with our all diligence and Board approval and all, we would like to share. But these are all very small capex in the size of our balance sheet or to the size of the project what we are doing, yes.
Ashish Kejriwal: Understood. Sir, in this -- just a small query on this hot rolled mill plant, is this including of steel melting shop as well as hot strip mill also or something else is also included in that?
Brij Bhushan: No, no, nothing, only steel melting shop and HR, Ashish. Only steel melting shop and HR.

Ashish Kejriwal: Okay. Because when I'm comparing this capex, normally, our capex is much lower than the industry standard. But when I'm comparing this with even for NMDC steel plant and just for hot strip mill and steel melting shop, they are -- they did something like 3 million tons at around INR 2,600 crores, INR 2,700 crores. So I was just wondering whether we are...
Brij Bhushan: INR 26,000 crores.
Ashish Kej

riwal: Sorry?
Brij Bhushan: INR 26,000 crores.
Ashish Kejriwal: No, no, no. This INR 23,000 crore was for the entire...
Brij Bhushan: INR 23,000 crores, yes, yes, yes.
Ashish Kejriwal: Yes. But I'm saying just for steel melting shop and hot strip mill, their cost was something like INR 2,600 crores.
Brij Bhushan: INR 2,600 crores.
Ashish Kejriwal: Yes. So that's why I was wondering now where I'm missing something.
Brij Bhushan: No, no, no. But you mean to say we are doing at a higher cost or you mean to say we are doing at a lower cost. I'm not very.
Ashish Kejriwal: No. See, their steel melting shop only cost around INR 2,000 crores for 3 million tons. And then hot strip mill is separately, which is around INR 2,600 crores. That's what I asked whether this 1.58 includes only hot rolled mill?
Brij Bhushan: We cannot set up any hot rolling mill at INR 2,600 crores. There are some -- NMDC was a government plant, which took almost 9.5, 10 years to set up. I will not be very clear, but for 1 million-ton, steelmaking facilities, you need a $1 billion, which is around close to INR 8,000 crores to INR 9,000 crores approximately. And CR -- sorry?
Ashish Kejriwal: Yes, because that $1 billion ballpark that includes entire thing, blast furnace, sinter plant, coke oven,
Brij Bhushan: Yes, I am saying, yes. So this is what we are putting up just an intermediate plant of steel melting shop and HR. I mean this HR mill has a capacity to do up to 3 million tons. But maybe in the second phase, we will be ramping up by adding more steel melting shop and all.
But at first phase, seeing the present scenario, we don't want to get into more iron making and all. And we are targeting a very specialized product in our HR plant, a very thinner section and specialized steel as well.
Ashish Kejriwal: So are we making slab also on this?
Brij Bhushan: No, no, it is a CSP. It is no slab completely.

Ashish Kejriwal: So we will purchase slab from the market, convert it into HR coil?
Brij Bhushan: No, no, no. Steel melting shop and we'll be making thin slab, which is as good as -- it's a completely hot rolling. No, reheating. There's no reheating it.
Ashish Kejriwal: Okay. So that means SMS as well as steel melting shop.
Brij Bhushan: Latest technology of this 22nd century. So we don't have to look back and we have tied up with the world's best conglomerate who is number 1 in the world who give to Nucor or all the world best plan and -- best plant in India also. Nothing, zero compromise.
Moderator: Thank you. The next question is from the line of Rajesh Majumdar from 360 One Capital. Please go ahead.
Rajesh Majumdar: I had a couple of questions. So if you look at our EBITDA, quarterly range used to be between INR400 crores to INR450 crores in FY '25. And then now we moved to about INR500 crores to INR570-odd crores range in the last 4 - 5 quarters.
And now with most of our capex already completed and probably just about INR1,500 crores, INR2,000 crores left, on the INR 9,000 crores capex that we have done, INR9,000-odd crores, what would be our EBITDA range -- quarterly EBITDA range, say, from 1Q FY '27 or whatever onwards that we can see?
Brij Bhushan: We are seeing like this year, we are expecting that we should be having a growth of close to 20% over the next year minimum, 20% - 25% last year. Coming year as well, we are projecting that we should be maintaining the same growth what we are doing now.
And if you see the fineness of the balance sheet being in so multi varieties of products and all, we have been very perennial on our profitability numbers and all on our projections because in last couple of years, we have spent more on the cost side by adding power plants, getting into a value-added, creating our institution more perennial and more sustainable.
And we expect that we should be growing at least close to 15% to 2

0% year-on-year for next 4,
5 years, minimum. And with the growth on the numbers, volume and value -- and the sales prices, we'll see that the numbers of the percentage of EBITDA will also improve.
And if the top line is improving on the volume growth of the additional capacities and putting more downstream and all, we'll see the percentage of EBITDA will also improve with the revenue and all. So this is what we are focusing like when you are -- we are talking from the stainless steel point of view, we are seeing there will be a lot of penetration in the value addition, and we'll see the margins going up.
We'll see a lot of penetration coming up from the doubling the cold rolling mill capacity, the numbers will change. And once you put up the larger capacity, your cost, your efficiency and everything changes. Aluminum backward integration will help us to hedge more on the raw material side.

We'll be able to manufacture more varieties of aluminum products where we are not able to serve to our clients once we have our own internal manufacturing of foil stock. These are all strategic sustainable move from the organization side.
Deepak Agarwal: In addition to this, Rajeshji, I would also like to highlight certain thing that sir is telling about the growth, volume growth, which will be around 15% to 20% year-on-year. Suppose if the realization will improve, definitely, the margin will further improve. That is only on the conservative side. The growth will be 15% to 20% as far as when we talk about, it is basically on account of volume growth.
Rajesh Majumdar: So you're not taking cyclicality into account, you're just the current market conditions and projecting the numbers accordingly. If there is a price...
Brij Bhushan: We are always conservative. After 3 years, Rajesh, you can't tell us that we are very -- we want to be very firm on our see whatever promises we have done in the last 3 years on the growth side and all when we set -- we did an IPO 3.5 years before with a top line of INR 6,000 crores and EBITDA of INR 600 crores, we are talking of this year more than 3x. You have to -- these things, we have to -internally we have to do analysis and come to a true solution.
It will not be fair on our part, but we are conservative. We want to make sure that what we say we deliver it, and what we want to create is a world class. We cannot be -- after 3 years, we cannot be any company where we have to compare with any of the commodity player or any of these specialized. Shyam Metalics should be a company where we should be able to showcase a different level of value to the shareholders.

Rajesh Majumdar: Right, sir. My second question is also related to your conservativeness in a way. Your low leverage is actually leading to a kind of low return on equity for the shareholder because since you are a AA+ kind of a borrower, the debt levels in a metal company are normally much higher we see everywhere.
But if we are able to have a more balanced leverage structure in our balance sheet, then our ROEs can improve substantially because even at the peak, as per my calculations, our ROEs are still not crossing 13%, even if you take the entire capex into consideration. So just a thought that maybe we can increase our dividend payout, we can increase our debt leverage a little bit in order to improve our ratios.
Brij Bhushan: This is also because of a very subdued market. Apart from that, you have to understand in spite of so much challenges, what you are seeing in this sector from last couple of years, we have been very perennial. We are prudent, but we don't want to take any risk on any of the businesses where we see that we are not very comfortable.
And we are not actually strolling any of our vision due to the capital constraint or anything. I know there is no capital constraint. We are prudent. It is better if we a

re prudent and we are more
conservative. So this is a way any of the steel company is not a debt free. When we are talking any of the steel company AA+, we are not talking from today, but we are talking from 20 years

So, there are a lot of things where we can improve our margins, which we are working on that by adding more value added. I know the -- it takes a lot of time for a new product, some emerging metals where we see the numbers are changing. We are trying to add more value on that. And we want to definitely place the company at a unique position where leverage, yes, we have to be always the least or no leverage company, I would say.
We have to try our best, but we have enough head in case we require, we get an opportunity, we will grab it. But we don't want to be extremely aggressive because your company is growing at 15% - 20% CAGR, 25% CAGR from last 25 year We are growing. And the way we are growing, we will be growing. But we want to be very extremely prudent on our thought, on our values.
Yes, my capex is very low because we feel that we are very efficient. That is also one of the strength of Shyam Metalics. And we are adding a lot of new projects to curtail the cost. We increase the margins. We are increasing more and more efficiency in our existing businesses.
We are trying to learn and learn more from the present tools available, how to further enhance more exercise in bringing more value to the company.
And yes, once the market turns around, we see everything is fine, things will improve more further better. But what you are seeing is the worst. What the numbers you are seeing is the worst in today's time. But I'm 100% sure with the time, it will further improve with the varieties of new businesses, new metal, new value addition, the kind of varieties of product mix on the sustainable part, what we are developing. We'll see a lot of changes happening in the time to come.
Moderator: Thank you. The next question is from the line of Ruchit Agrawal from Unifi Mutual Fund. Please go ahead.
Ruchit Agrawal: Sir, a couple of questions. Sir, on the coking coal bit, we've seen prices move up materially as compared to the last quarter. Any margin headwinds that we can expect from the same, although we've seen steel prices also move up? Anything that we can expect in the next quarter?
Brij Bhushan: Definitely, it's a very volatile coking coke and all. So we have a coking -- we have our own coke oven plant. So your company, Shyam Metallics is definitely going to gain over the price on the delta side from the coking, coke coal conversion point of view.
And prices are looking a little strong and firm for next quarter also, but it is too early for me to share because you never know how it turns around as well. So yes, overall, I'm extremely positive, and we look for we'll be able to play more decent in the time to come.
Ruchit Agrawal: Sir, and on the stainless steel bit, if you could help with the capacity commissioning time lines over the next year. And also this quarter, we've seen the EBITDA per ton for the stainless move up materially. How -- if you could comment on the sustainability part of the same?
Brij Bhushan: See what we did, we just acquired Mittal Corp, 2 years before. And what we have done, we are -- we started a wiring -- stainless steel wire drawing facility. We went forward integration. We

did a trial. We are expanding the capacity. Definitely, on the long product side, the margins will improve day by day.

A lot of new product innovation and development also is in the process. A few has been okayed and fewer is in the process. So in the time to come, yes, once you ramp up your production on the long product side of the existing stainless steel, you go more value-added, big things become more decent an

d sustainable.
And from the new project, which is coming up in Odisha, it's a huge project. It's not -- we are talking of 0.5 million -- more than 0.5 million flat rolled product where world-class, where we have our own alloy, we have our own power, we have our own steel. We expect that by end of next year, we should be able to commission the plant.
And there's a lot of downstream activities, a lot of value additions, that we realign, a lot of value additions. Products we are lining up so that in the time to come, we should be able to create a long-term supply chain value addition.
Ruchit Agrawal: Okay. Got it, sir. Sir, and last question on the steel bit. We're seeing the color coated sheet move up basically doubling capacities. How is our expansion efforts going on in the parallel flange beams front?
Brij Bhushan: Flange beam is a little bit, I would say, on the flange beam side, it is a little bit on the -- not very aggressive. I think we will be doing some kind of a modification on this action because there's a lot of challenges coming up because we are trying to create a lot of products in our existing facility of the flat product, where we'll be doing a lot of fabrications and all also. So I think it is too early for me to comment, but maybe next few weeks, we'll be able to discuss more better.
Moderator: Thank you.
Brij Bhushan: It's 5 o'clock, dear. I have another meeting. So, Deepak -- hello?
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Omkar Bagwe from MUFG Intime for closing comments. Over to you, sir.
Omkar Bagwe: Yes. Thank you, everyone, for joining us on the call today. I hope the management was able to answer all your queries today. I also like to thank the management for sparing the time and joining the call today. We are MUFG Intime, Investor Relations Advisors to Shyam Metalics and Energy Limited. For any queries, please feel free to reach out to us. Thank you, everyone.
Deepak Agarwal: Thank you. Thank you, everyone.
Moderator: Thank you. On behalf of Shyam Metalics and Energy Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

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| Financial Year Ended 31st March, 2026
Pursuant to the Regulation 30 read with Schedule III of SEBI (LODR) Regulations, 2015, we forward herewith the transcript of the conference call with investors and analysts held on Tuesday, 12" May, 2026 for the Audited (Standalone and Consolidated) financial result of the company for the fourth quarter and financial year ended 31st March, 2026.
This is for your information and record.
Thanking You,
For Shyam Metalics and Energy Limited
OUR BRANDS
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“Shyam Metalics and Energy Limited
Q4 and FY26 Earnings Conference Call”
May 12, 2026

MANAGEMENT : MR. BRIJ BHUSHAN AGARWAL – CHAIRMAN AND MANAGING DIRECTOR – SHYAM METALICS AND ENERGY LIMITED
MR. DEEPAK AGARWAL – DIRECTOR, FINANCE AND CHIEF FINANCIAL OFFICER – SHYAM METALICS AND ENERGY LIMITED
MR. PANKAJ HARLALKA – HEAD, INVESTOR RELATIONS – SHYAM METALICS AND ENERGY LIMITED

MODERATOR : MR. SUMEET KHAITAN – MUFG INTIME, INVESTOR RELATIONS

Moderator: Good day, and welcome to the Q4 and FY26 Earnings Conference Call of Shyam Metalics and Energy Limited, hosted by MUFG Intime. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.
I now hand the conference over to Mr. Pankaj Harlalka from Shyam Metalics. Thank you, and over to you, sir.

Pankaj Harlalka: Thank you. Good evening, ladies and gentlemen. I, Pankaj Harlalka, Head of Investor Relations at Shyam Metalics, welcome you all to the earnings conference call to discuss Q4 and full year FY26 results. I hope you all had an opportunity to review our press release and the investor presentation read along with the Safe Harbor statement, which are available under the Investors section of our website and the same are accessible on the BSE and NSE websites.

To discuss the results today, I'm joined by Mr. Brij Bhushan Agarwal, Chairman and Managing Director; Mr. Deepak Agarwal, Director of Finance and CFO; and Mr. Sumeet Khaitan from MUFG Intime, our Investor Relations partner.

Now I would like to invite Brij Bhushanji to provide his perspective on the performance of the fourth quarter and FY26. Thank you, and over to you, sir.

Brij Bhushan Agarwal: Thank you, Pankaj. Good afternoon, everyone. Welcome to Shyam Metalics and Energy Q4 FY26 earnings conference call. I will begin with a brief overview of the industry landscape and operating environment, both of which continue to evolve amid global and domestic development.

Globally, the steel industry has remained influenced by trade-related actions across key markets, while the ongoing Middle East conflict has moderated demand in certain regions. These factors have contributed to a redirection of steel flow into the alternate market, resulting in the price pressure across geographic and heightened volatility in global steel prices.

Turning to India. The global steel demand environment remained robust and encouraging. Demand continues to support by broad-based strength across major steel consuming sector, including infrastructure-led construction activity, manufacturing activity, urbanization with spending on huge infra projects such as road, railways, power.

Now coming to Shyam Metalics, FY26 has been a very significant year for us, marked by a strong project execution, strategic expansion, operational stabilization. During the year, we achieved meaningful milestones across our manufacturing facility with key highlights, including the completion of CRM complex at Jamuria and the successful commissioning of the blast furnace at our Kharagpur plant.

For FY26, our sales volume stood at 4.94 million tonnes, reflecting a strong year-on-year growth of 26%. In Q4 '26, sales volume registered a growth of 22% over the smart period of last year. Importantly, we maintained sales mix across product categories, while continuing to optimize

realization through a sharper focus on the higher value-added product. The strong volume expansion translated into healthy growth in both revenue and profitability. For the full year FY26, the revenue grew by 22%, while the profitability increased by 17%.

For Q4 '26, revenue rose by 27% year-on-year, while profitability growing about 42%. This performance under planned by our integrated operation, diversified portfolio, sustained operational discipline, continuous focused on cost efficiency.

We also made substantial progress on strategic growth initiatives during the quarter. Phase 2 operation of the CRM complex at Jamuria w

as successfully commissioned.

In addition, we expanded our aluminum operation at Pakuria through the commissioning of downstream heat treatment process. This development has significantly and meaningfully enhanced our value addition in the downstream capability and further strengthening our integrated manufacturing platform and supporting a long-term growth aspiration.

Reaffirming our commitment to a long-term growth, the Board has additionally decided for a new capex investment of INR2,700 crores. This strategic investment is aimed at a deepen our presence into the value-added and specialty steel segment, downstream stainless steel capability and accelerating with -- the transition towards a higher value-added product with better margins. The proposed capex will be primarily funded through internal accruals, reflecting our discipline and capital-efficient approach towards value expansion. This investment remains fully aligned with our broader strategy of driving profitable growth through premiumization, downstream integration and prudent capital allocation.

We welcome the changing democratic and policy environment in the state of West Bengal and remain extremely optimistic about the state's next phase of industrialization and growth. As a company with deep roots in the state of West Bengal, we expect a more growth-oriented ecosystem to support faster development in the forms of infrastructure, creating new investment inflow and will add more value to the organization.

With our continued expansion across various metals in specialty alloys, stainless steel, aluminum, railway infrastructure, value-added products, we believe both the state and the company are well positioned for a stronger long-term commitment.

In closing, we remain firmly focused on the substantial growth, improving profitability, creating long-term value for our shareholders. We sincerely thank you for your continued support, trust

and we look forward to engaging with you in the quarters ahead.
With this, now I conclude my speech, and I would request our CFO, Mr. Deepak Agarwal to take up to the financial performance. Thank you.
Deepak Agarwal: Thank you, sir. Good afternoon, everyone. Thank you for joining us today for Shyam Metalics and Energy Limited earnings call for the fourth quarter and full year ended 31st March 2026. I am Deepak Agarwal, Chief Financial Officer of the company, and I'm delighted to present our financial results on behalf of the Board of Directors and the entire Shyam Metalics family.

I will take you through our key financial highlights for the fourth quarter and the full year that is '25-'26, followed by a discussion on our capital allocation strategy, balance sheet strength and the strategic investments we are making for our next phase of growth.
Our Chairman and Managing Director, Shri Brij Bhushan Agarwalji, has already shared his vision. I will now add the financial dimension to that story. First, we will discuss about the quarter 4 of the current -- last financial year. Ladies and gentlemen, I am proud to report that the quarter 4 of the last financial year has been one of our strongest quarter on record across every critical financial metrics.
Let me walk you through the highlights. The revenue from operations INR5,240 crores, 27% growth year-on-year and 19% growth on quarter-on-quarter. When we talk about the EBITDA, the company has achieved INR756 crores, there is a growth of 33% on a year-on-year basis and there is a growth of 40% on a quarter-on-quarter basis. When we talk about the EBITDA margin, 14.4%, expanded from 13.8% from the quarter 4 of the last financial year and 12.2% in quarter 3 of the last financial year.
When we talk about the operating EBITDA, the company has achieved INR727 crores, a growth of 41% on a year-on-year basis and 49% on a quarter-on-quarter basis. As you are all aware

that
there is substantial is -- treasury is there. Therefore, our total EBITDA is INR756 crores. The operating EBITDA margin is 13.9% versus 12.4% in quarter 4 of the last financial year. When we talk about the profit after tax, INR312 crores, 42%** growth on a year-on-year basis and 58% growth on a quarter-on-quarter basis.
The PAT margin is 6% against 5.3% in quarter 4 of the last financial year. What makes this number particularly gratifying is not just the magnitude of the growth, but the quality of it. Our margin expansion has been achieved through disciplined cost management, improvement in realization across most product categories and a favorable shift in our product mix towards higher value-add segments.
Now I will discuss the full year performance that is '25-'26. Therefore, the annual turnover for the whole year is INR18,552 crores, that is 22% growth on a year-on-year basis. Full year EBITDA is INR2,537 crores, that is a growth of 21%. Full year EBITDA margin is 13.7% against 13.8% in the financial year '25, resulting amidst slight input cost pressure. Full year operating margin is INR2,333 crores, which is 25% on a year-on-year basis. The full year operating EBITDA margin is 12.6% against 12.3% in the last financial year.
The full year PAT is INR1,061 crores, 17% growth on a year-on-year basis. The full year basic EPS is INR38.1 per share against the INR32.7 per share last financial year. Crossing the INR8,000 crores of revenue threshold and delivering over INR1,000 crores of PAT for the full financial year underscore the scale and earning power that Shyam Metalics has built over recent years. This is a business firing on all cylinders.
Now we will discuss about the volume growth and per tonne realization. The revenue growth is always most meaningful when it is accompanied by a genuine volume expansion, and that is precisely the story here. Overall, the volume grew by 22% on a year-on-year basis and quarter

4 '26, validating both our capacity expansion investments and our strengthened market positioning.
Let me highlight some of the most significant volume growth, volume achieved during the quarter 4 of the current financial year. The CR coil volume surged by approximately 200% on a year-on-year basis, reaching 50,344 tonnes, a testament to the ramp-up of our CRM complex at Jamuria.
The pig iron volume grew by 200% on a year-on basis that is 2,03,499 tonnes, reflecting the strongest domestic demand and our expanded product capabilities. Iron pellet volume grew by 40% on a year-end basis that is 2,78,341 tonnes, driven by operational efficiency and improved realization.

The stainless steel volume grew by 13% year-on-year basis to 27,287 tonnes, continuing our premiumization journey. On per tonne realizations, we saw healthy improvement across most product lines. Aluminum realization improved by 16% year-on-year basis, that is INR4,07,461 per tonne.

Stainless steel realizations improved nearly 17% year-on basis. CR coil, CR sheet realizations rose approximately 15% on a year-on basis, that is INR78,513 per tonne. This improvement reflects both firm underlying demand and our deliberate push towards value-added and specialty product with a superior margin profile.

Let me now walk through some key observations on our consolidated profit and loss account. First, revenue mix. Our steel products segment continued to anchor the business, contributing approximately 75% of our total revenue mix in both quarter 4 and the full financial year. Within this, carbon steel remains our single largest contributor at approximately 39% of revenue, followed by pig iron, iron pellet, specialty alloy and stainless steel.

The growing contribution of CR sheet, stainless, aluminium is deliberately strategic shift, one that is enhancing our blended margin profile. A

s far as cash generation, I'm particularly pleased
to report that our business continued to be a robust cash generation.

The net cash generated from operating activity for the financial year '25-'26 is approximately INR2,000 crores on a consolidated basis, an improvement over the prior year, reflecting the strong earnings working capital discipline. This cash generation capacity is what gives us the confidence to commit our next phase of capital investment.

The Shyam Metalics and Energy Limited continued to maintain a strong balance sheet and healthy return profile in the financial year '25-'26 despite being a peak capex cycle. The company reported ROCE is 16% and ROE is 13% in the financial year '25-'26, reflecting a disciplined capital allocation, operational efficiency, prudent leverage management that resulted into reflection of our working capital days from 22 days to 9 days.

Our financial architecture is designed to support growth without compromising financial resilience. We run a fundamental conservative balance sheet, low leverage, strong operating cash flow and adequate liquidity buffer.

Now we move into the dividends. As you're all aware that the Board of Directors has recommended a final dividend of INR2.7 per equity share, representing a 27% of the face value of INR10 each for the financial year '25-'26. This recommendation is subject to the approval of shareholders at the ensuing Annual General Meeting.

This dividend declaration reflects our confidence in the company's financial health and our commitment to consistent reward our shareholders while simultaneously investing in long-term growth. We believe we strike the right balance between capital return and value creation.

Now moving to the strategic capex. Now let me speak about the first, the most exciting announcement in our results. The Board has approved a fresh capex is INR2,700 crores for our next phase of growth. This investment comprising 2 major projects. One is the long and specialty wire/bar mill. We will be setting up a long specialty wire mill with a furnace at Kharagpur with a capacity of 8 lakh tonnes at an estimated capital outlay of INR900 crores. This project is targeting to commission by 31st March 2029.

Second one is the stainless steel expansion and downstream facility at Sambalpur. We're expanding our stainless steel capacity to 6 million tonnes at Sambalpur complemented by world-class downstream capability, including cold rolling mill, precision cold rolling mill, hot rolling handling and pickling line and a bright annealing line.

This estimated investment is INR1,800 crores with a targeting commissioning date is March 2029. This project will be funded majorly from our internal accrual and which is also a mix of -- if any debt is required, then we can take -- otherwise, it will be served through our internal accrual.

Given our strong operating cash flow generation, demonstrated by over INR2,000 crores in operating cash flow in the financial year '25, '26 alone, we are well positioned to fund this capex program while maintaining balance sheet discipline. The evolving democratic and economic environment in West Bengal present a positive outlook for industrial growth and a long-term development.

As a company with a significant manufacturing presence in the state, Shyam Metalics remains encouraged by the potential for stronger infrastructure creation, higher investments, improved industrial activity and employment generation. We believe this environment can further support the company's ongoing expansion plan, downstream integration initiatives and value-added product strategy while also contributing meaningfully to the broader economic progress of the state.

We now look forward to taking your question and answer. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session. The

first question
is from the line of Amit Dixit from Goldman Sachs. Please go ahead.
Amit Dixit: Congratulations for a great set of numbers. A couple of questions from my side. The first one is on the volume growth. So last year, volume growth was quite splendid, particularly of value-

added products driven by CR coil. Now this year, what are the key elements of volume growth? Also, if you could highlight the major capacities that would get commissioned in the course of the year, that would be great? That is my first question.
Brij Bhushan Agarwal: See, first of all, as in volume growth, we are expecting 0.5 million tonne of iron making facility from the DRI side is going to be commissioned this year, which will also have an effect on the power generation, waste heat recovery, and we expect the power generation will also go up.
From the steel side, there will be a substantial growth in the billet manufacturing facilities, what we have commissioned now. You'll see a growth in the billet as well. And there will be a partial growth in our final product like structured TMT with the upgradation and some more feeding of raw material into the steel segment.
In CRM complex, since we are going to commission the Galvalume line within this month end or maybe early next month, so we'll see there will be a substantial volume growth in the flat product in the Galvalume as well as in the color coated. We expect that color coated is going to be having almost the double volume what we saw in this year -- last year.
Apart from that, there will be a substantial value we will see from the cost side also because there will be a lot of new power plants coming up, which is going to be commissioned as well. So whatever little power we are buying from the grid will see there will be an effect -- positive effect on the cost side of the power.
I think majorly apart from this, aluminum plant also will be commissioned this year. We have set up a new caster with foil stock and foil plant. So we'll see this year, the plant will get commissioned and slowly, slowly, it will be stabilized. So there will be a lot of action this year.
Amit Dixit: Great, sir. Wonderful. That's very well explained. The second question I had was on actually aluminum. Now we have seen aluminum prices remaining very robust worldwide. For us, since we are actually converters, so how do you see margins? Is it like a pass-through for us or we get some incrementally higher margins on the elevated aluminum price?
Brij Bhushan Agarwal: I think we should see as a pass-through, maybe because of a little bit more advantage we get because the working capital involvement and the kind of integration, what we are doing from the backward to the forward, we'll see a lot of value coming up, because we'll be -- now we are buying the foil stock. Once we make our own foil stock, we'll see the margin also increasing.
But related to your aluminum price, we should not be very much worried. Whether we are going with a backward integration where we will have a better margins and also with the prices of the aluminum is concerned, it is going to be almost passed through.
Amit Dixit: Okay. Great to know. Just one last question, if I may. I just wanted to get an idea on the capex for this year and next one, if you can?
Brij Bhushan Agarwal: So we have declared a capex like in Ramsarup, we commissioned the blast furnace. Now we are planning to set up a SMS shop and the steel plant, which is going to be a little less than 1 million

tonnes to be more prescribed 800,000 tonnes. The plant is expected to be commissioned by end of next year. And this will have a substantial capex setting up the plant.
But since it is now a brownfield project, and we will be very efficiently, we'll be able to do this capex, like we have a

nnounced INR2,700 crores capex in the stainless steel downstream activity as well. There we are seeing comprising of Ramsarup and stainless steel and all. So all this capex is going to be spread in next 2-2.5years.
So -- apart from that, we are setting up a flat product HR plant. Generally, to set up a 2 million tonne of HR plant, it generally costs close to INR16,000 crores to INR18,000 crores. But in our case, only from the HR side, we are almost 1/3 capex, what we have declared because we have all the brownfield facilities.
And we have all forward and backward integration is already integrated. So there's nothing to worry. We have a substantial treasury. We are doing a good EBITDA. And year-wise year, you

are seeing that there has been a substantial increase on the numbers and also as on this, it's looking very comfortable.
In case we find there is some kind of a shortfall and all so we are almost a debt-free company. So buying some kind of a short-term debt is not going to be an issue. But as on date, I don't see that will be a problem till we take some more projects ahead. Thank you.
Amit Dixit: Great. In addition to that…
Brij Bhushan Agarwal: Yes, I think he was having one more question. Please carry on.
Amit Dixit: Sir, the one more question I had was on the stainless steel. Now if I look at the EBITDA per tonne of stainless steel, I know it's not great to look at it from a quarter-to-quarter basis, but one of your peers had reported and their EBITDA per tonne actually grew quarter-on-quarter. Now in our case, we have seen a slight contraction in EBITDA per tonne.
So just wanted to understand whether it is EBITDA per tonne contraction associated with some cost during the ramp-up phase or something? Or how do we see margins going ahead? Because stainless steel prices have risen and your -- one of your peers have given a very optimistic guidance for FY27?
Brij Bhushan Agarwal: First of all, they are into the flat product, we are into a long product. And this is -- this was a very old plant, which was taken in the NC through NCLT a few years before. So we are here, we are almost making all the stainless steel from the scrap and right now, our new facility of stainless steel, which is coming up in our Odisha plant, we have a complete integration, like 80% of the raw material is what we are going to feed from our existing plant.
And we are getting into a very higher value-added product. So we will have a blend of long product and flat product. But yes, in the time to come with our power cost of less than INR2 where we are in Indore, we are paying more than INR6 or INR7. We are buying scrap. It's not that big mega size project and all, so definitely, it will have a very positive impactful differences when we commission our Odisha stainless steel plant.

Moderator: The next question is from Shaleen Kumar from UBS India. Please go ahead.
Shaleen Kumar: Congratulations on a very good set of numbers to both Bhushanji and Deepakji. A bunch of questions. New capex, which you have announced on the asset side both. So what is the end industry are we targeting in both the cases?
Brij Bhushan Agarwal: Stainless steel basically -- yes, we are targeting the pipes and tube market, decorative market of pipes and tubes. There is a specialty pipe market also, which is for the precision pipe and all.
Then there is some portion is on the decorative side of aluminum, stainless steel, what is used in the elevators and all these other decorative part. And apart from that, some of -- some special category will be catered to the utensil market also and some in the export defense side also.
Shaleen Kumar: Got it, sir. Sir, then the 2 question arises here. One, what kind of a profitability or return ratios on those capex you are seeing? It seems like these are value-added products. Second, these will be a little different fr

om our current channel sales. Is that the right assumption? So how are you planning to do the sales here or how you want to target the customer side?
Brij Bhushan Agarwal: This is a B2B market presently. All the tube manufacturers in country and outside the country. There's a big market for the stainless steel pipe. So we'll be serving -- serving to these kind of customers in the tube and pipe segment because we are not thinking to get into a stainless steel tube and pipe because it is a very small business and not a very scalable or a big volume where we need to interact ourselves.
And apart from that, it's a very open market. India is growing, and there's a good demand. And we are seeing that more and more decorative and being one of a very cheap product, it's not very expensive on the decorative segment. And we are seeing in interiors and everywhere around, the stainless steel penetration is increasing. So we'll be able to build up more and more penetration in this category.
Shaleen Kumar: Got it, sir. Any sense on what kind of EBITDA per tonne or return ratios you're looking for this kind of investments?
Brij Bhushan Agarwal: EBITDA, generally, this is a very interesting business. So I would say, generally, it turn from around INR15,000 to INR20,000 a tonne. So but our overall calculation is in the range of INR12,000 to INR15,000. But it's fetching more in this segment because if you are making everything from the iron ore to the final steel, the EBITDA should be more than INR18,000. It's going to be interesting product.
And apart from that, 80% of the ingredient you are using from your existing product, the steel, the specialty alloy, ferroalloy, power is yours. It's a brownfield. So it's nothing where you are building up a raw material inventory within your capital cycle. So the yield of the capital is going to be definitely better.
And it's also going to create more sustainability with this kind of a business which we enter. And

there's going to be a lot of potential in the near time to expand and to invest more precious money in the value-added and more sustainable business.

Shaleen Kumar: Got it. Fair enough, sir. Bhushanji, one more thing. In this quarter, we can see there's a clear uptick in the realization for most of our segments. I just want to pick your view here because we have a lull for quite some time, there's a softness in the realization. So do you think this -- there is still room for this realization to move up from here for most of your products? You think they will be stable or you see that there's a risk for the -- given the global scenario...
Brij Bhushan Agarwal: There is no chance to go above from this level because now we are entering into a monsoon session. So -- and apart from that, I think the market is pretty good, like if you see we have -- the EBITDA is close to 14% on the overall. So I think it's a very decent might be 1% here or there, it doesn't matter. And for us, if you really ask me, market is in none of body's control. We are more focused on our efficiency and cost.
But to be more optimistic and realistic, I would say the business will remain stronger because today, still, we are fenced by the geopolitical issue. There's a lot of restrictions on the logistics side, export market. There's a lot of spending is going to come globally. Like earlier, none of the countries use to spend on the development side and all with the new revolution and new age, what I see with this multiple war crisis and all.
I see India is going to have a good say in the international participation. And the metal company in India will grow domestically with the internal demand and also will have an edge and the opportunity to participate internationally also in a very big way.
Shaleen Kumar: Fair enough, sir. Definitely. And I think there's a change in political atmosphere in West Bengal as well. I hope that also favors us. One more bit, sir. Like if I look at the quarter EBITDA, it's very good. And if I annualize it, we will be -- it's like we are crossing more than INR2,800 crores. So how should we think about it? So one leg is this where we have already achieved this number.
And then there are incremental things which are happening. For example, when I look -- I was looking at your presentation, the second phase of CRM has only started in April. So I think it was not a contributor, if my assumption is right, it was not a contributor in the fourth quarter. So the benefit should come in FY27.
Then again, as per your presentation, you should be finishing your phase 2 of aluminum, right, within FY27. So some benefit of that should come. So then if I put all these things together, can we look or expect EBITDA of more than INR3,000 crores for FY27?
Brij Bhushan Agarwal: Shaleen, when I told you last time I remember, I was always speaking close to INR1,800 crores to INR2,000 crores EBITDA for this year. You remember all my -- and fortunately, we landed into '24, '25, including other income. And on this realistic term, it was the operation was close to INR2,300 crores plus, correct?
Shaleen Kumar: Yes.
Brij Bhushan Agarwal: I would be a little bit more conservative. Like I don't want to say because for us, I've been always very, very conservative and prudent on my say on my project and on my targets and all...

Shaleen Kumar: But sir, what's wrong in my assumption here, if I simply say that I understand your...?
Brij Bhushan Agarwal: No, you'll be -- you're not wrong. You're not wrong, but maybe nearby, maybe plus or maybe 5% here and there, I expect. You're not wrong. You're right.
Shaleen Kumar: Any sense if we can get from you or Deepakji, if not now even later is helpful, what kind of EBITDA contribution you're expecting from the CRM and aluminum plant in FY27 that can help us like have some set of contribution from them. Is it possible to share?
Brij Bhushan Agarwal: I think the CRM EBITDA is going to be close to INR10,000 to INR11,000 per tonne this year from the -- and the aluminum EBITDA, I think, should remain between INR35,000 to INR40,000, because this year -- please.
Shaleen Kumar: Yes, the timeline of aluminum because it's still in the commission. So can we expect it to happen in first half of FY27?
Brij Bhushan Agarwal: First half, we will be starting commissioning and all. So we'll start seeing the effect in the second half, more better and from -- because all these high-tech plant, it takes time. And it's a greenfield for the new foil plant and all that stuff. So this will take time. But yes, definitely, it will have more and more positive impact time to time with the quarter-to-quarter.
Shaleen Kumar: Just last bit, and then I'll join back the queue. On the battery foil, so we -- our product is qualified

with the customers?
Brij Bhushan Agarwal: Yes, yes, it will be. We are all done.
Shaleen Kumar: Not sure if you would like to, but would you like to share the name of the customers who are likely...?
Brij Bhushan Agarwal: We have done this. There is a nondisclosure agreement because -- but still, we have been qualified long back once we see a battery line coming up middle of this year and all. So we will be penetrating in the battery foil.
Shaleen Kumar: And there will be more than one customer.
Brij Bhushan Agarwal: Sorry?
Shaleen Kumar: There will be more than 1 customer?
Brij Bhushan Agarwal: 2 to 3 customers are there.
Shaleen Kumar: 2 to 3 customers. Okay.
Deepak Agarwal: Shaleenji, in addition to this, as far as future guidance for EBITDA, the sir is always been a very, very conservative. But if you see in our financials with the commissioning of aluminum, with the commissioning of CRM, with the commissioning of 0.5 million tonne of sponge iron and the commissioning

of blast furnace as well in the last financial year.

The full year impact will come up in this financial year. So definitely, we will be achieved whatever we have achieved in the last financial year. But sir will always say on a very conservative side because he always believe only in the committing less, delivering more following only this policy.
Brij Bhushan Agarwal: I think this year, we will be very comfortable with our growth close to 30% over this year. Over the last year, we were very comfortable, yes.
Shaleen Kumar: I can -- like if all your projects execute and if the realization doesn't really hurt, then I don't think so any reason that why we should not have a 30% kind of profit growth -- operating profit growth.
Deepak Agarwal: Yes. Shyam Metalics will always believe on the volume growth. Shyam Metalics will never depend on the realization side. If you look into our last 4 quarter financials, you will find we will be always giving the sustainable EBITDA or sustainable volume growth is there over a period of time.
Moderator: We have next question from Ashish Kejriwal from Nuvama Wealth Management. Please go ahead.
Ashish Kejriwal: Sir, many congratulations again for a good set of numbers and delighted to hear about your midterm growth plans.
Brij Bhushan Agarwal: Thank you, Ashish. I hope we are keeping you happy with all your questions.
Ashish Kejriwal: Yes sir, so far it's going good. Sir, I have 2 questions. In fact, if I look at our inventory as well as payable days, that has increased significantly in this quarter or maybe in this year. So is there any change in the strategy? I understand that maybe we may have booked some higher iron ore or coal in order to take advantage of lower prices earlier, which could have increased our inventory days. Is it so? And what about the payable days, why it has increased? So any change in the business strategy on that front? That's my first question.
Deepak Agarwal: I can take this question. As far as sharply increasing the inventory only because of if you look into the last year financials, there were no commissioning of blast furnace, there were no commissioning of CRM. The one factor is we are positioning the raw material of CRM as well as the blast furnace, cooking coals and something.
And in addition to this, also we are taking the positioning of iron ore, iron making raw materials.
That is -- if you look into our financials also, our inventory level in the last quarter was 99 days.
Now we are taking the positioning of 123 days of inventory days. This is the only reason for increasing our inventory.
Ashish Kejriwal: Okay. So we have taken higher than what is warranted as of now, and it will be liquidated in first or second quarter. Am I right, sir?
Deepak Agarwal: Correct.

Ashish Kejriwal: Okay. And what about payable days, sir?
Deepak Agarwal: Payable days is approximately is like 130 days, 130 days.
Ashish Kejriwal: Yes. So it has increased significantly from our normal scenario. So is this a one-off type or...
Deepak Agarwal: No, this is not a one-off. We have credential -- our credential is there. So whatever we are

procuring most of the raw materials are on a credit basis. If you look into our cash conversion
ratio is very, very good.
Ashish Kejriwal: Okay. So that's great, actually. It's more of a working capital financing and if we are effectively doing it, nothing. So this is not a one-off, it can sustain for longer?
Deepak Agarwal: Correct. Correct.
Ashish Kejriwal: Okay. Great. Second question is, sir, in terms of cost of -- or cost of steel making in fourth quarter, what kind of cost increase we have witnessed? Because if I look at the price hike and EBITDA per tonne, it's almost half, like steel EBITDA per tonne increased by roughly around INR2,600 per to

nne and price increase is something like INR5,100. So what kind of price increase we have witnessed in fourth quarter, which led to lower EBITDA per tonne compared to the price hikes?
Brij Bhushan Agarwal: I'm not clear, Ashish. Can you just repeat once again?
Ashish Kejriwal: So sir, if I'm comparing fourth quarter EBITDA per tonne of steel versus third quarter, we are seeing that EBITDA per tonne increased by roughly around INR2,600, whereas the price increase in the carbon steel is around INR5,100. So roughly around INR2,500 cost increase could be there. I was just trying to get a sense of where this cost increase we have witnessed whether it's...
Brij Bhushan Agarwal: We will not be very appropriate in answering your question. But overall, I can say because when you are into such a big ecosystem, you have your bookings. You have your pre-advanced booking for more than 2 months, 3 months in the system. And there are some deliveries which has to happen. So there must be a lot of old carryover of a lesser price, which may be affecting an average outing and -- but maybe one of the reasons. And there cannot be any other reason because whatever the market is, it is a very open price.
If the EBITDA per tonne is to be the price which has gone up by some cost effect must be there because of cost is increasing because of the vessel freights and all your import prices, your limestone and everything is going up. So there must be some kind of a cost pressure also, which maybe also have some kind of a substantial pressure.
Deepak Agarwal: No, this is basically the restatement of imports, the fluctuation loss, the dollar weakness, rupee weakness, that will be the impact on the cost side also.
Ashish Kejriwal: Is it possible to quantify that, sir?

Deepak Agarwal: That we can share you. It will be...
Ashish Kejriwal: I can talk to you later on, sir, on this one.
Brij Bhushan Agarwal: Yes, yes.
Moderator: The next question is from Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: So first, just a follow-up to Amit's question earlier. What -- you put together different moving parts in terms of capex. But what exactly -- can you guide to what kind of capex can we look at in FY27 specifically?
Brij Bhushan Agarwal: Deepak, will you answer?
Deepak Agarwal: yes. As far as commissioning of capex in this financial year, our share is already shared the 0.5 million tonne of sponge iron -- we will be commissioning...
Brij Bhushan Agarwal: No, no, they're talking about the value capex, not the -- how much money we are...
Satyadeep Jain: Not the capitalization, not the...
Deepak Agarwal: No, as far as the total capex is required to be incurred is around INR10,000 crores. And this financial year, we will be incurring around INR2,900 crores from this financial year and INR3,000 crores in the next financial year and balance will be the next 2 financial years.
Satyadeep Jain: Okay. On that, sir, just generally, wanted to understand the thought process last few years, the intent was to remain net cash. As depending on different moving parts for earnings, there may be a requirement to take on short-term debt, as you mentioned. Is the company now more comfortable with debt with this size? What's the thought process on capital structure as you look at all these capex? Just wanted to understand the thought process.
Brij Bhushan Agarwal: No, very comfortable. We have been very, very mature in last 25 years. All these things, we have been handling very prudent. So all these capex, what we plan is seeing our cash flow, the net cash because we don't have any kind of a major debt. There's no interest. So whatever net cash, if you see last year on this, we must have made close to around INR1,800 crores, INR1,900 crores net cash in the company because there's hardly any interest cost.
And I think it's more than INR2,000 cro

res. So this year also, we expect that we will have a substantial cash. And when you do a capex, you have long-term plans. When you buy machines and all, you get a lot of time credits and all. So I think we are very comfortable as of now, nothing

to worry.
Deepak Agarwal: And as far as in addition to that -- in addition to this also, I would like to add one more thing. As far as debt is concerned, in our system, we have a debt policy in the system is also there. Our debt will not cross at any point 0.5x to the total equity in any point of circumstances. So we will follow this debt policy. And if you look into our financials, our cash generation over a period of

time will come up around INR2,000 crores to INR2,500 crores, and we can easily meet whatever be our capex program overall in the next 3 to 4 years.
Satyadeep Jain: Okay. Secondly, on West Bengal. So you mentioned there is optimism around improvement in infrastructure and all. Just on your Jamuria location after the HSM, the new capex that you built, what kind of optionality is there just in terms of land package between Jamuria, Sambalpur -- and my understanding was that after this capex, the land availability might be somewhat limited, but correct me if I'm wrong, and what are the plans for expansion in West Bengal capitalized in case you're looking at that optimism and activity there?
Brij Bhushan Agarwal: Satyadeep, for next 3, 4 years, we don't have to worry. And we are also in the process of procuring more land adjoining our plant because I don't see any problem as on date. And for next -- we have a clear window for next 3, 4 years, like there is no issue of any land. And some parcels and all, we are already in the process of acquiring. And it looks everything good, yes.
Moderator: The next question is from Mr. Vikas Singh from ICICI Securities. Please go ahead.
Vikas Singh: Sir, my one question only on the stainless steel capex. Given the current circumstances when the government duty protection is more towards the steel, expanding into the stainless steel where usually the quality control orders had not been there. Just wanted to understand why we have been putting still emphasis on the stainless steel could have been delayed or the ROE or ROCE of stainless steel versus steel, how is it sitting right now?
Brij Bhushan Agarwal: See the carbon steel prices is close to $800, as we talk. And the stainless steel prices are close to on an average, $120, $130. I mean to say $1,200, $1,300. So in our case, more than 80% raw material for making stainless steel is downstream. So we are doing a carbon steel development also. We are putting up an HR coil plant.
And we are also developing in the stainless steel market because the EBITDA in the stainless steel is better than the carbon steel because it is more niche, it is more expensive. And also, we have an advantage that we are doing a forward integration, and it also help us to -- for a proper capital utilization because the working capital load is very less.
For a general people, if they want to stainless steel, they have to buy scrap, they have to put an inventory of 3, 4 months and a lot of issues are there. But in our case, we have an advantage. And we are also developing into a new metal where we see that in the time to come, we should be able to position more stronger. We started with a small acquisition in the stainless steel. Right now, we are doing a run rate of around INR130 crores, INR140 crores every month in last 2, 2.5 years. Now we are thinking of doing a run rate of close to INR300 crores in next 3 years, every month. So the business is different. But we have a lot of advantage. We have our own power, we have our own alloy.
And what we are doing, we are just doing a value addition. For me, it is a new business also, and we are doing a value addition in our existing business also. Stra

tegically, we are very different as a stand-alone industry or our integration, if you see in the stainless steel business.

Vikash Singh: So in terms of ROCEs or return ratios, at current price point, how both steel and stainless steel stack up for you?
Brij Bhushan Agarwal: Very difficult question. At what hour you are asking me this question, the hour changes. But anyway, this is always a better. It is always a better. I would say, in comparison with the capital, it will have an edge of around more than 20%, 30% over the carbon steel always because it is a limited addition, the challenges are more and it is a niche market. It is not a commodity product. It is a niche product.
Moderator: The next question is from Mr. Rajesh Majumdar from 360 ONE Capital. Please go ahead.
Rajesh Majumdar: Sir, just one question from my side. What is the status of the ED case on the coal, which you mentioned in the note because this is dated 15th April, so we are in almost mid-May now? Has it been resolved? Or is there any other thing on this matter? And now...
Brij Bhushan Agarwal: There is absolutely not to worry because there's nothing -- they have given some letter. We are replying. And it's nothing to be worried of because there's nothing which is of an evidence or

something on the statement, they have given a notice. And that statement will not stand because it has been applied to almost major steel industry in the city. We are one of them, being one of the popular steel industry, so we are on the highlight, but we don't have to worry.

Rajesh Majumdar: And just a follow-up with the political change now established, this will be...

Brij Bhushan Agarwal: I can't answer all these -- your question. You should meet me separately and take the answers. It's not good.

Moderator: The next question is from Tanuj Nangalia from SKP Securities Limited. Please go ahead.

Tanuj Nangalia: Congratulations to the management on a strong set of numbers for FY26. So my first question is on the stainless side. So nickel is up nearly 20% since December on the Indonesia supply cuts. So do we see any challenges in the nickel sourcing going forward? And is the cost increase something we can fully pass through to the customers?

Brij Bhushan Agarwal: See, nickel is always going to be a challenge. Nickel in the stainless steel is always going to be a challenge. It is not going to be an easy affair. But in our portfolio of our products, more than 70% or close to 75%, our stainless is majorly without nickel. We are focusing on the grade, which has a minimalistic or no nickel. 20%, 25% to cater the complete basket, we have to have a nickel.

We have to import the nickel from Indonesia. Also, we have to import the scrap, which has a high content of nickel. But yes, it is generally in most of the time, it is passed on. So whatever the nickel price goes up, the stainless steel price goes up. But there is always a carryover of your inventory plus and minus, which is a regular transitional process, which everybody has to abide.

Tanuj Nangalia: Okay, sir. Got that. And sir, next question is on the aluminum business side. So is there any decrease in the export order booking due to the ongoing geopolitical conflict? And are we able to service...?

Brij Bhushan Agarwal: We are oversold. We are not able to supply to the international market, touchwood.

Tanuj Nangalia: Okay. And also with the rupee depreciating, do we see there is a margin tailwind given in the aluminum side, the export business?

Brij Bhushan Agarwal: These are all temporary pass on. Everybody knows India is a dominating market. They have a special supplies and all. So whatever is there, it is all passed on plus or minus. So maybe periodically, 1 or 2 months, it matters. But the consumer, they take up the price, they take

up the hit because once people have to use aluminum, there's no substitute. So it is like general other industries, yes.

Moderator: The next question is from Harish Subramanian from Unifi Capital Private Limited. Please go ahead.

Harish Subramanian: Just one question from my side on the Central Pollution Control Board, what came out in terms of the observations? So can you explain what was the non-compliance?

Brij Bhushan Agarwal: No, no, there was some kind of error, which was identified by the Board inspection, which was resumed in 4, 5 days, and we have taken all the action. And in the time to come, we will take it more seriously and see how best we can deliver. Yes.

Harish Subramanian: Sure. Within this 3 months' time period, do you believe you will be able to fully address and compliance -- and comply with the observations were given?

Brij Bhushan Agarwal: Yes, yes. Not a problem.

Moderator: The next question is from Preet Jain from Niveshaay. Please go ahead.

Preet Jain: Sir, my question is been covered.

Brij Bhushan Agarwal: I have my flight to catch. Can we...?

Moderator: This was the last question, sir. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Brij Bhushan Agarwal: Thank you.

Moderator: On behalf of Shyam Metalics and Energy Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Deepak Agarwal: Thank you.